**COPY NUMBER ___**

**THIS MEMORANDUM HAS BEEN PRODUCED IN LIMITED QUANTITIES AND MAY NOT BE REPRODUCED OR DELIVERED TO ANYONE OTHER THAN A PROSPECTIVE INVESTOR AND HIS OR HER INVESTMENT REPRESENTATIVE, IF ANY.**

Signed: 27-Oct-2026, 10:04 AM (UTC+00:00) UTC

# CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM

Signed: 27-Oct-2026, 10:05 AM (UTC+0

_____

# STOW STUFF STORAGE, LLC

(Texas Limited Liability Company)

_____
_____

**PRIVATE OFFERING**

**$1,200,000**

**One Million Two Hundred Thousand (1,200,000)**
**Class A Membership Interest Units**

**$1.00 per Unit**

**The date of this Private Placement Memorandum is**
**October 5, 2026**

Document ID: e55e1865-5287-400a-9c80-9ee1c1558a74

**PRIVATE PLACEMENT MEMORANDUM FOR ACCREDITED INVESTORS AND SELECT NON-ACCREDITED INVESTORS**

# STOW STUFF STORAGE, LLC

A TEXAS LIMITED LIABILITY COMPANY

**$1,200,000**
**One Million Two Hundred Thousand (1,200,000)**
**Class A Membership Interest Units**

**$1.00 per Unit**

This Private Placement Memorandum (this "Memorandum") relates to the private offer and sale (this "Offering") on a "best efforts" basis by Stow Stuff Storage, LLC, a Texas limited liability company (the "Company") of up to One Million Two Hundred Thousand (1,200,000) of the Class A Membership Interest Units (the "Class A Units") of the Company. Each Class A Unit is being offered at a purchase price of One and No/100 Dollars ($1.00). The aggregate purchase price of the Class A Units if all are issued and sold is One Million Two Hundred Thousand Dollars ($1,200,000). The Offering has a minimum initial amount required to close of at least the minimum amount necessary to achieve the Company's business objectives (as described herein) as determined by the Company's Manager (the "Minimum Offering Amount").

The manner in which cash is distributed to the Class A Members is described further herein.

The sole manager of the Company is Collective Storage Partners, LLC (the "Manager"), a Texas limited liability company formed on October 1, 2026, and the managers of the Manager are Douglas Chojecki of Tyler, Texas, Sonja Kapavik of Austin, Texas, and Dennis McQueen of Bryan, Texas. The Manager has complete control over the Company because of its affiliates' ownership of the sole voting Units of the Company, being the Class B Units. Biographical information regarding the members and managers of the Manager is set forth herein.

Upon the Company's acceptance of subscriptions for Class A Units in exchange for at least the Minimum Offering Amount, the Company will hold the initial closing of the sale and issuance of its Class A Units (the "Initial Closing") and proceed to use investment proceeds received in the manner described herein under "Use of Proceeds". If such minimum number of Class A Units is not sold, any amounts paid for Class A Units in the Offering will be refunded to the investors by the Company. Except as approved by the Company, the minimum investment that will be accepted from any single investor in this Offering is Fifty Thousand Dollars ($50,000); provided however, that the Manager may elect to accept a lesser amount in its discretion. Following the Initial Closing, this Offering will remain open, and the Manager may elect to sell all or any portion of the unsold Class A Units remaining available for sale following the Initial Closing in one or more subsequent closings (each a "Subsequent Closing").

The Manager shall determine in its sole discretion the number of Class A Units that the Company may sell; provided however, that the aggregate number of Class A Units authorized for sale hereby is One Million Two Hundred Thousand (1,200,000).

The Class A Units shall be referred to herein as the "Investor Units".

Offering proceeds will be used to invest in a two-property, 472-unit self-storage portfolio (approximately 54,900 net rentable square feet) having addresses of 214 16th Street, Huntsville, Texas 77340 and 7059 State Highway 75 South, Huntsville, Texas 77340, known as "Stow Stuff Storage" (the

"Property"). Additional information regarding the Property, including information regarding use of Offering proceeds is set forth in the investment summary attached hereto as **Exhibit "A"** (the "Investment Summary").

The ownership and control of the Company and the manner by which cash distributions will be paid to its members holding the Investor Units (the "Investor Members") and the members holding the Class B Units (the "Class B Members") are set forth in the Company's limited liability company agreement (the "Company Agreement"), a copy of which is attached hereto as **Exhibit "B"**. A summary of the terms and conditions of an investment in the Company is set forth herein under the section of this Memorandum entitled "SUMMARY OF PRINCIPAL TERMS".

All subscriptions for Investor Units are subject to acceptance by the Company, which reserves the right, in its sole discretion and for any reason, to reject any subscription in whole or in part or to allot to any prospective purchaser less than the number of Investor Units (including partial Units) subscribed for by such purchaser. Also, each prospective purchaser who decides to subscribe for Investor Units must submit an executed original of the Subscription Agreement covering the Offering (the "Subscription Agreement," a copy of which is attached hereto as **Exhibit "C"**) setting forth the number of Investor Units subscribed for by such purchaser, along with a wire or check payable to the Company for the full amount of the subscribed Investor Units.

The Investor Units are being offered only to selected investors meeting certain suitability standards established by the Company in a private offering. See "PLAN OF DISTRIBUTION - Purchaser Suitability Standards" below.

**THE INVESTOR UNITS OFFERED HEREBY ARE SPECULATIVE AND INVOLVE A HIGH DEGREE OF RISK. NO INVESTMENT IN INVESTOR UNITS SHOULD BE MADE BY ANY PERSON WHO IS NOT FINANCIALLY ABLE TO LOSE THE ENTIRE AMOUNT OF HIS OR HER INVESTMENT. SEE "CERTAIN RISK FACTORS."**

**THE SECURITIES OFFERED HEREBY HAVE NOT BEEN REGISTERED WITH OR APPROVED BY THE UNITED STATES SECURITIES AND EXCHANGE COMMISSION OR ANY STATE SECURITIES COMMISSION, NOR HAVE ANY OF THE FOREGOING AUTHORITIES PASSED UPON THE ACCURACY OR ADEQUACY OF THIS MEMORANDUM. ANY REPRESENTATION TO THE CONTRARY IS A CRIMINAL OFFENSE.**

**The date of this Memorandum is October 6, 2026.**



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## Additional Information

A representative of the Company will be available to consult with any potential investor who is a recipient of this Memorandum. Any additional information will be made available to a potential investor only to the extent the Company's management possesses the information or can obtain it without unreasonable effort or expense.

The Company undertakes to make available to every investor, during the course of this Offering and prior to the sale of the Investor Units, the opportunity to ask questions of, and receive answers from, the Company concerning the terms and conditions of this Offering and to obtain any appropriate additional information necessary to verify the accuracy of the information contained in this Memorandum or for any other purpose relevant to a prospective investment in the Company's Investor Units.

All communications or inquiries relating to this Memorandum should be directed to:

**Stow Stuff Storage, LLC**
Attention: Collective Storage Partners, LLC, Manager
c/o CzechMex Properties, LLC
13492 Research Blvd., Suite 120-152
Austin, Texas 78750-2254

Email: czechmexproperties@gmail.com
Ph: (512) 850-5274

Mr. Douglas Chojecki, Manager

Ms. Sonja Kapavik, Manager

Mr. Dennis McQueen, Manager

*Prospective investors who choose not to pursue this investment are asked to immediately return this Memorandum, together with any other materials relating to the Company which the prospective investor may have received from the Company or its representatives, to the Company at the address above.*



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## Explanatory Notes

The information contained herein has been prepared to assist interested parties in making their own evaluation of the Company and does not purport to contain all the information that a prospective investor may desire. The information in this Memorandum is for background purposes only and is subject to change. In all cases interested parties should conduct their own investigation, analysis and evaluation of the Company and the data set forth in this Memorandum. The information has not been independently verified and was provided by the Company and other sources deemed to be reliable.

The Company shall have no legal commitment or obligation to any prospective investor reviewing this Memorandum or making an offer to invest in the Company, unless a written stock purchase or subscription agreement and other required documentation for the investment has been fully executed, delivered and approved by the Company and any conditions to the Company's obligations under such documentation have been satisfied or waived.

References herein to "we," "us," "our," or such similar pronouns refer to the Company unless specifically noted otherwise.



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## Important Investor Notices

THIS OFFERING IS BEING MADE IN RELIANCE UPON AN EXEMPTION FROM REGISTRATION UNDER THE SECURITIES ACT OF 1933, AS AMENDED, FOR AN OFFER AND SALE OF SECURITIES THAT DOES NOT INVOLVE A PUBLIC OFFERING. THIS MEMORANDUM IS PERSONAL TO THE POTENTIAL INVESTOR AND DOES NOT CONSTITUTE AN OFFER TO ANY OTHER PERSON OR TO THE PUBLIC GENERALLY TO SUBSCRIBE FOR OR OTHERWISE ACQUIRE THE SECURITIES OF THE COMPANY. IN MAKING ITS PURCHASE OF SECURITIES, THE POTENTIAL INVESTOR WILL BE DEEMED TO HAVE MADE CERTAIN ACKNOWLEDGMENTS, REPRESENTATIONS AND AGREEMENTS AS SET FORTH IN THE INVESTOR QUESTIONNAIRE EXECUTED OR TO BE EXECUTED BY POTENTIAL INVESTORS.

THE SECURITIES OFFERED IN THIS OFFERING ARE SUBJECT TO LEGAL RESTRICTIONS ON TRANSFERABILITY AND RESALE AND MAY NOT BE TRANSFERRED OR RESOLD EXCEPT AS PERMITTED UNDER THE SECURITIES ACT OF 1933, AND APPLICABLE STATE SECURITIES LAWS.

EXCEPT AS PROVIDED HEREIN, NO PERSON IS AUTHORIZED, IN CONNECTION WITH THIS OFFERING, TO GIVE ANY INFORMATION OR TO MAKE ANY REPRESENTATION NOT CONTAINED IN THIS MEMORANDUM AND, IF GIVEN OR MADE, SUCH OTHER INFORMATION OR REPRESENTATION MUST NOT BE RELIED UPON AS HAVING BEEN AUTHORIZED BY US. THE INFORMATION CONTAINED HEREIN IS AS OF THE DATE HEREOF AND IS SUBJECT TO CHANGE, COMPLETION OR AMENDMENT WITHOUT NOTICE. NEITHER THE DELIVERY OF THIS MEMORANDUM AT ANY TIME, NOR ANY COMMITMENT TO ENTER INTO ANY FINANCING SHALL, UNDER ANY CIRCUMSTANCES, CREATE ANY IMPLICATION THAT THERE HAS BEEN NO CHANGE IN THE INFORMATION SET FORTH HEREIN OR IN THE AFFAIRS OF THE COMPANY SINCE THE DATE HEREOF. THIS MEMORANDUM SUPERSEDES ANY DOCUMENTS PREVIOUSLY SUPPLIED TO POTENTIAL INVESTORS CONCERNING THE COMPANY AND THE TERMS AND CONDITIONS OF THE OFFERING BEING MADE HEREBY.

THIS MEMORANDUM HAS BEEN PRODUCED IN LIMITED QUANTITIES AND MAY NOT BE REPRODUCED OR DELIVERED TO ANYONE OTHER THAN AN INVESTOR AND HIS OR HER INVESTMENT REPRESENTATIVE, IF ANY.

IN MAKING AN INVESTMENT DECISION REGARDING THE SECURITIES OFFERED HEREBY, THE POTENTIAL INVESTOR MUST RELY ON HIS OR HER OWN EXAMINATION OF THE COMPANY AND THE TERMS OF THIS OFFERING, INCLUDING THE MERITS AND RISKS INVOLVED. THE CONTENTS OF THIS MEMORANDUM ARE NOT TO BE CONSIDERED AS LEGAL, BUSINESS OR TAX ADVICE. THE POTENTIAL INVESTOR SHOULD CONSULT HIS OR HER OWN COUNSEL, ACCOUNTANT AND OTHER ADVISORS AS TO LEGAL, TAX, BUSINESS, FINANCIAL AND RELATED ASPECTS OF A PURCHASE OF THE SECURITIES.

THE DISTRIBUTION OF THIS MEMORANDUM AND THE OFFER AND SALE OF THE SECURITIES MAY BE RESTRICTED BY LAW IN CERTAIN JURISDICTIONS. PERSONS INTO WHOSE POSSESSION THIS MEMORANDUM OR ANY OF THE SECURITIES COME MUST



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INFORM THEMSELVES ABOUT, AND OBSERVE, ANY SUCH RESTRICTIONS. THE COMPANY IS NOT MAKING ANY REPRESENTATION TO THE POTENTIAL INVESTOR OR PURCHASER OF THE SECURITIES REGARDING THE LEGALITY OF ANY INVESTMENT THEREIN BY THE POTENTIAL INVESTOR OR PURCHASER UNDER APPLICABLE LEGAL INVESTMENT OR SIMILAR LAWS.

THIS MEMORANDUM DOES NOT CONSTITUTE AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY OF THE SECURITIES TO ANY PERSON IN ANY JURISDICTION WHERE IT IS UNLAWFUL TO MAKE SUCH AN OFFER OR SOLICITATION.

THE FINANCIAL DATA PROVIDED IN THE DISCLOSED INFORMATION WITH RESPECT TO THE COMPANY IS BASED ON INTERNAL RECORDS WHICH MAY OR MAY NOT HAVE BEEN PREPARED ACCORDING TO GENERAL ACCEPTED ACCOUNTING PRINCIPLES.

NEITHER THE COMPANY NOR ITS DIRECTORS, OFFICERS, AGENTS, OR EMPLOYEES, OR THEIR AFFILIATES ARE LICENSED SECURITIES BROKERS, AND HAVE NOT REGISTERED OR FILED ANY OFFERING OR INVESTMENT OPPORTUNITY WITH ANY FEDERAL OR STATE SECURITIES COMMISSION OR BOARD UNDER ANY FEDERAL OR STATE LAW REGARDING THE SALE OR PURCHASE OF SECURITIES SET FORTH HEREIN.

THIS MEMORANDUM CONTAINS SUMMARIES BELIEVED TO BE ACCURATE IN ALL MATERIAL RESPECTS WITH RESPECT TO CERTAIN TERMS OF CERTAIN DOCUMENTS, BUT REFERENCE IS MADE TO THE ACTUAL DOCUMENTS (COPIES OF WHICH WILL BE MADE AVAILABLE TO THE POTENTIAL INVESTOR UPON REQUEST TO THE COMPANY) FOR COMPLETE INFORMATION WITH RESPECT THERETO, AND ALL SUCH SUMMARIES ARE QUALIFIED IN THEIR ENTIRETY BY SUCH REFERENCE.

THE COMPANY RESERVES THE RIGHT, IN ITS SOLE DISCRETION AND FOR ANY REASON WHATSOEVER, TO MODIFY, AMEND OR WITHDRAW ALL OR ANY PORTION OF THIS OFFERING AND ACCEPT OR REJECT IN WHOLE OR IN PART ANY PROSPECTIVE INVESTMENT IN THE SECURITIES OR TO ALLOT LESS THAN THE NUMBER OF SECURITIES A POTENTIAL INVESTOR MAY REQUEST TO PURCHASE. THE COMPANY WILL HAVE NO LIABILITY WHATSOEVER TO ANY POTENTIAL INVESTOR IN THE EVENT THAT ANY OF THE FOREGOING SHALL OCCUR. THE COMPANY MAY NOT SELL ANY SECURITIES OR ACCEPT ANY OFFER TO PURCHASE SECURITIES UNTIL THE COMPANY HAS DELIVERED TO THE INVESTOR AND THE INVESTOR HAS EXECUTED THE SUBSCRIPTION AGREEMENT AND RELATED DOCUMENTS REFLECTING THE DEFINITIVE TERMS AND CONDITIONS OF THIS OFFERING. YOU SHOULD CAREFULLY REVIEW THE FULL TEXT OF THE STOCK PURCHASE AGREEMENT AND ALL OTHER DOCUMENTS AND AGREEMENTS PROVIDED TO YOU IN CONNECTION WITH THIS OFFERING PRIOR TO PURCHASING SECURITIES.

THE SECURITIES OFFERED HEREUNDER HAVE NOT BEEN REGISTERED UNDER APPLICABLE SECURITIES LAWS AND, THEREFORE, ANY PURCHASER THEREOF MUST BEAR THE ECONOMIC RISK OF THE INVESTMENT FOR AN INDEFINITE PERIOD OF TIME BECAUSE THE SECURITIES CANNOT BE RESOLD UNLESS THEY ARE SUBSEQUENTLY REGISTERED UNDER SUCH SECURITIES LAWS OR AN EXEMPTION FROM SUCH REGISTRATION IS AVAILABLE. THE SECURITIES OFFERED HEREUNDER HAVE SIGNIFICANT RESTRICTIONS ON TRANSFERABILITY. PLEASE SEE THE COMPANY'S COMPANY AGREEMENT FOR FURTHER INFORMATION.



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## Cautionary Note Regarding Forward Looking Statements

This Memorandum includes "forward-looking statements" within the meaning of Section 27A of the Securities Act of 1933, and Section 21E of the Securities Exchange Act of 1934. All statements other than statements of historical fact are forward-looking statements. Forward-looking statements are subject to certain risks, trends and uncertainties that could cause actual results to differ materially from those projected. Although we believe that, in making such forward-looking statements, our expectations are based upon reasonable assumptions, such statements may be influenced by factors that could cause actual outcomes and results to be materially different from those projected. We cannot guarantee that the assumptions upon which these statements are based will prove to have been correct.

When used in this Memorandum or the Investment Summary attached hereto, the words "expect," "anticipate," "intend," "plan," "believe," "seek," "estimate," and similar expressions are intended to identify forward-looking statements, although not all forward-looking statements contain these identifying words. Because these forward-looking statements involve risks and uncertainties, actual results could differ materially from those expressed or implied by these forward-looking statements for a number of important reasons, which could substantially harm the Company's business, results of operations and financial condition. Such factors include, among others, market acceptance of our products, potential competition, loss of important management, ability to obtain future capital, regulatory matters, all as discussed under "Certain Risk Factors." Upon the occurrence of any of these events, an investor could lose all or part of his or her investment.



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## Executive Summary

The Company

Stow Stuff Storage, LLC is a Texas limited liability company (the "Company") formed on October 1, 2026. The sole Manager of the Company is Collective Storage Partners, LLC, a Texas limited liability company formed on October 1, 2026 (the "Manager"). The managers of the Manager are Douglas Chojecki, an individual resident of Tyler, Texas, Sonja Kapavik, an individual resident of Austin, Texas, and Dennis McQueen, an individual resident of Bryan, Texas. The Manager has complete control over the Company because of its affiliates' ownership of the sole voting Units of the Company being the Class B Units. Biographical information regarding the members and managers of the Manager is set forth herein.

At this time, the Company's capitalization is as follows:

- Two Million Two Hundred Thousand (2,200,000) total Membership Interest Units (the "Units") are authorized for issuance and sale pursuant to this Memorandum.
- The Units shall be sold and issued in Two (2) Classes: Class A; and Class B.
- The Investor Units shall consist solely of Class A Units.
- Of the total authorized Units, One Million Two Hundred Thousand (1,200,000) have been designated as "Class A Units"; and One Million (1,000,000) have been designated as "Class B Units".
- Class B Units shall be sold and issued to the Manager and its affiliates. The Class B Units are the sole voting Membership Interests of the Company.
- One Million Two Hundred Thousand (1,200,000) Class A Units have been authorized for sale pursuant to this Memorandum.

The Manager has identified an opportunity to invest in a two-property, 472-unit self-storage portfolio (approximately 54,900 net rentable square feet) having addresses of 214 16th Street, Huntsville, Texas 77340 and 7059 State Highway 75 South, Huntsville, Texas 77340, known as "Stow Stuff Storage" (the "Property"). Additional information regarding the Property and the Company's investment strategy is set forth in the investment summary attached hereto as **Exhibit "A"** (the "Investment Summary").

The Manager currently expects the Property to consist of Stow Stuff Storage I (214 16th Street, Huntsville, Texas; 212 units; approximately 19,500 net rentable square feet; 1.67 acres; built 1978) and Stow Stuff Storage II (7059 State Highway 75 South, Huntsville, Texas; 260 units; approximately 35,400 net rentable square feet; 2.00 acres; built 2010), to be acquired for a contract purchase price of approximately $3,020,000 (approximately $55 per net rentable square foot) against a list price of approximately $3,200,000. The acquisition is expected to be funded with the $1,200,000 raised in this Offering and an acquisition loan of approximately $2,114,000 (30% down payment; 7.00% interest rate; 12-month interest-only period; 25-year amortization). The Manager currently projects a five-year hold and a 7.5% exit capitalization rate, resulting in a pro forma exit value of approximately $4,560,000, a projected leveraged internal rate of return of 18.4%, a projected equity multiple of 2.12x and projected average cash-on-cash returns of 8.62%. These figures are estimates only, are not guaranteed, and are subject to the risks described under "Certain Risk Factors."



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Additional Information

Additional information regarding the Company's investment in the Property is set forth in the Investment Summary attached hereto as **Exhibit "A"**. Information regarding the capitalization and equity ownership of the Company before and after the sale of the securities offered hereby, and a summary of terms of the securities offered hereby is set forth in the section of this Memorandum entitled "SUMMARY OF PRINCIPAL TERMS".

The Offering

The Company is offering (the "Offering") for sale, subject to the terms and conditions described in this Memorandum, a maximum of One Million Two Hundred Thousand (1,200,000) Class A Membership Interest Units (the "Class A Units") in exchange for One Million Two Hundred Thousand Dollars ($1,200,000) in immediately payable United States funds. Each Investor Unit is being offered at a purchase price of One and No/100 Dollars ($1.00). While the foregoing amount is the maximum number of Units that may be offered hereby, the Company may elect to hold the initial closing (the "Initial Closing") of its sale and issuance of Investor Units for at least the minimum amount required to achieve its business objectives (as described herein) as determined by the Company's Manager (the "Minimum Offering Amount").

The purpose of this Offering is to invest in the Property. The business of the Company with respect to the Property shall be referred to herein as the "Business".

As noted above, immediately prior to the Offering, none of our Investor Units are issued and outstanding. The Class B Units will be held by affiliates of the Manager, Collective Storage Partners, LLC, a Texas limited liability company managed by Douglas Chojecki, an individual resident of Tyler, Texas, Sonja Kapavik, an individual resident of Austin, Texas, and Dennis McQueen, an individual resident of Bryan, Texas. The Manager and its related persons have complete control over the Company because of their ownership of the sole voting Units of the Company, being the Class B Units.

The Company's Manager has determined the offering price of the Investor Units in the exercise of its business judgment. There was no independent appraisal done of the Investor Units in the determination of the offering price. This Offering is not underwritten and the Company has not employed any underwriters, brokers, or salespersons in connection with the Offering.

Cash Distributions

The Manager shall determine the amount of cash available for distribution to the Members of the Company from time to time.

As noted above, the Investor Units will consist solely of Class A Units.

One Hundred Percent (100%) of available cash first shall be paid to the Members holding the Class A Units (the "Class A Members") until each Class A Member shall have received a simple interest preferred return of Seven Percent (7%) per annum of each Member's Unreturned Capital Contribution (the "Class A Preferred Return").

Thereafter, One Hundred Percent (100%) of available cash shall be paid to the Class A Members until each Class A Member shall have received aggregate distributions equal to the Class A Member's Unreturned Capital Contribution.



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Any unpaid Class A Preferred Return shall accrue but shall not compound.

Thereafter, Seventy Percent (70%) of available cash shall be paid to the Class A Members pro rata according to the number of Class A Units held by each, and Thirty Percent (30%) of cash shall be paid to the Class B Members pro rata according to the number of Class B Units held by each.

Investor Suitability

The Investor Units will be offered and sold to investors who are "accredited investors" as defined in Rule 501(a) of Regulation D under the Securities Act of 1933, as amended (the "Securities Act") as described in the Subscription Agreement, which prospective investors must complete and execute in order to purchase Investor Units in the Offering. Investors must be able to bear the economic risks of an investment in the Company, including total loss of investment. The Investor Units may also be offered to a limited number of non-"accredited investors" who the Manager deems suitable to invest in an offering of this nature.

The Investor Units will be offered and sole in reliance on the exemption from U.S. federal securities registration found in Regulation D Rule 506(b) and corresponding state-level securities registration ("Blue Sky") exemptions. The Company intends to conduct the current offering of Investor Units authorized for sale hereby in reliance on Rule 506(b) for a certain period of time, and then close the current round. Thereafter, the Company intends to conduct a second (2nd) offering of the unsold Investor Units whereby it will instead rely on Rule 506(c) of Regulation D, and sell the unsold Investor Units to one or more qualified third party "accredited investors" ONLY. The Company currently anticipates that soft commitments under Rule 506(b) will be due by October 23, 2026; that the Company will switch to Rule 506(c) on October 27, 2026; that investor subscriptions will be finalized and funds will be due by November 13, 2026; and that the acquisition of the Property will close on or about November 20, 2026.



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## Management

Stow Stuff Storage, LLC is a Texas limited liability company (the "Company") and was formed on October 1, 2026 by Collective Storage Partners, LLC, a Texas limited liability company also formed on October 1, 2026, the Company's sole manager (the "Manager"). The managers of the Manager are Douglas Chojecki, an individual resident of Tyler, Texas, Sonja Kapavik, an individual resident of Austin, Texas, and Dennis McQueen, an individual resident of Bryan, Texas. The Manager has complete control over the Company because of ownership of the sole voting Units of the Company, being the Class B Units, by the Manager. Biographical information regarding the managers of the Manager, Douglas Chojecki, Sonja Kapavik and Dennis McQueen, is set forth on the pages immediately following this section.

The Company is conducting an Offering of up to One Million Two Hundred Thousand (1,200,000) of the Company's Class A Membership Interest Units (the "Class A Units"). Each Class A Unit is being offered at a purchase price of One and No/100 Dollars ($1.00). The aggregate purchase price of the Class A Units (the Class A Units shall be referred to herein as the "Investor Units") if all are issued and sold is One Million Two Hundred Thousand Dollars ($1,200,000). The Offering has a minimum initial amount required to close of at least the amount necessary for the Company to implement its business plans (as described herein) (the "Minimum Offering Amount"). Upon the Company's acceptance of subscriptions for Investor Units in exchange for at least the Minimum Offering Amount, the Company will hold the initial closing of the sale and issuance of its Investor Units (the "Initial Closing") and proceed to use investment proceeds received in the manner described herein under "Use of Proceeds". If such minimum number of Investor Units is not sold, any amounts paid for Investor Units in the Offering will be refunded to the investor. Except as approved by the Company, the minimum investment that will be accepted from any single investor in this Offering is Fifty Thousand Dollars ($50,000) for Fifty Thousand (50,000) Investor Units; provided however, that the Manager may elect to accept a lesser amount in its discretion. Any Investor Units remaining unsold at the Initial Closing may be sold from time to time by the Company following the Initial Closing in the Company's discretion.

All management and voting control of the Company resides with the Manager because of its controlling ownership of the voting Class B Units. The Investor Members should not expect to take any part in the day-to-day management affairs of the Company or have voting approval rights regarding Company matters.

### Manager Compensation

In addition to distributions of a portion of the cash available for distribution, the Manager and its affiliates will receive the following fees from the Company:

- The Company shall pay the Manager an asset management fee (the "Asset Management Fee") equal in amount to Three Percent (3%) of gross revenues from the Property, payable monthly in arrears;

- The Company shall pay the Manager an acquisition fee (the "Acquisition Fee") at the closing of the purchase of the Property equal to Three Percent (3%) of the Property purchase price; and



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- The Company also shall pay the Manager a disposition fee (the "Disposition Fee") equal in amount to Two Percent (2%) of the gross sales price in the event of a sale of the Property, or Two Percent (2%) of net proceeds upon a refinancing of Company debt.

**Property Management Fee**

The Company has the right to engage third-parties to manage day-to-day operations of the Property and undertake work necessary to maintain and operate the Property, including related third parties. The Company initially shall pay a property management fee (the "Property Management Fee") in accordance with the prevailing market rate for the management of similar properties in the general geographic area, and on the economic basis, as determined in the discretion of the Manager; provided however, that the amount of the Property Management Fee may increase in the future given prevailing market conditions; and provided further, that such increased amount of Property Management Fees shall in any event be on commercially reasonable terms. The Property Management Fee shall be paid monthly in arrears. The Company initially has elected to engage the Manager to serve as property manager and will pay the Manager the Property Management Fee for its services unless and until a third-party property manager is engaged, if ever.

**Related Party Transactions; Conflicts of Interest**

None of the economic benefits accruing to the Manager from the Company were negotiated in an arms' length transaction. The Manager and its principals have established the economic arrangement with the Company without any negotiation. Consequently, the possibility exists that there is a conflict of interests between the Manager and its affiliates on the one hand, and the Investor Members on the other. Nevertheless, the Manager has determined that the amounts payable to them under economic arrangements with the Company have been disclosed to potential investors and are commercially reasonable, considering the technical requirements for managing the project being undertaken by the Business, the amount of time that will be required of the Manager in the discharge of its duties to the Company and the Business, and the risk of nonpayment of Company debt obligations that the Manager or their related parties may be required to guarantee on behalf of the Company. For additional disclosure regarding the compensation to the Manager and potential conflicts of interest issues, see the section of this Memorandum entitled "MANAGEMENT."

The Manager will control all aspects of the Company's day-to-day business operations. The Members (in their capacity as such) will not participate in the management of the Company and must rely entirely on the skill and judgment of the Manager to implement the business plan described herein. The Members (in their capacity as such) may not have access to the site where the Business is located without being accompanied by the Manager's representatives.

The Company may engage a third-party construction management firm to serve as construction manager with respect to any capital expenditure or development plans for the Property. The Company also may elect to engage the Manager or another related party to provide construction services in connection with the Company's plans with respect to the Property. The Company anticipates that a project management fee in an amount equal to up to Five Percent (5%) of the total project costs associated with the Manager's future development plans with respect to the Property would be a reasonable amount to pay for such services. In any event, such amount shall be on commercially-reasonable terms no worse than what could be obtained from an unrelated third-party service provider.

The foregoing summary of terms is qualified in its entirety by the Company Agreement of the Company (the "Company Agreement"), a copy of which is attached as **Exhibit "B"**.



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## REIMBURSEMENT OF EXPENSES; CONTRACTORS

The Manager will be entitled to reimbursement from Offering proceeds received from the Members for all out-of-pocket costs and certain expenses incurred on behalf of the Company in connection with the pursuit of the Company's investment objectives prior to the date that any investment funds were accepted from third-party investors.

The Manager intends to contract on behalf of the Company with third-parties to undertake and complete certain of the Business's activities. Such persons will serve as contractors to the Company that will charge the Company commercially reasonable rates.

## INDEMNIFICATION

The Company Agreement requires the Company to indemnify the Manager, its affiliates and all other persons acting under their direction and control against all liabilities, costs and expenses arising out of any matter in which such indemnified party was an authorized representative of the Company.

### Manager Biographical Information

The following sets forth biographical information of the managers of Collective Storage Partners, LLC, the Company's sole Manager.

### DOUGLAS CHOJECKI

### Manager, Collective Storage Partners, LLC

Mr. Chojecki has been a licensed Professional Engineer since 1989 and is currently registered in Texas and Florida. He has actively invested in real estate for many years, and real estate investment is now his primary focus. His engineering career has included years of cost-reduction experience and roles dedicated to serving customers and increasing sales.

Mr. Chojecki has invested in residential real estate for over 15 years, owning multiple single-family houses. He has no prior experience owning or operating self-storage properties.

During the last five years, Mr. Chojecki has also been self-employed as a Contract Engineer (July 2023 – present) analyzing and certifying manufacturing equipment for lifting applications, including contracting with Wastequip to transition product data into a new ERP system.

Chief Engineer, Hodge Products Inc., San Diego, California (November 2022 – July 2023). Designed and oversaw product development and initial production for a new business venture; consulted with customers to develop product specifications and resolve warranty issues; and collaborated with the owner to establish a new fabrication facility in Fort Worth, Texas.

Vice President of Engineering, Wastequip, San Antonio and Tyler, Texas (August 2015 – November 2022). Developed and led a multi-site division engineering team supporting 17 manufacturing sites; served as a contributing member of multiple American National Standards Institute (ANSI) committees for the Z245 subject area; designed highly specialized waste management products, for which he was awarded two U.S. patents, and, as a Professional Engineer, tested products to industry requirements and certified lifted product applications; traveled to customer sites to gather voice-of-customer input and worked closely with product management to define new product ideas and requirements; brought legacy



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engineering data for almost 40,000 active parts under revision control, including eliminating over 20,000 active parts; and represented the company as its corporate technical expert in multiple litigation matters.

Mr. Chojecki has focused his career on technical solutions, with a specialty in product development and introduction to market, including a heavy emphasis on product cost control in design and manufacturing. He has also focused on understanding the markets for products and matching product specifications to market demands, and expects to apply his experience in analyzing market requirements to add value to the Company.

**SONJA KAPAVIK**

**Manager, Collective Storage Partners, LLC**

Ms. Kapavik is a real estate investor, entrepreneur and property management professional with more than 15 years of experience in real estate investment, operations, marketing and client relations, with a background in student housing, short-term rentals and property management.

During the last five years, together with her husband, Brian, Ms. Kapavik established CzechMex Properties, LLC on November 23, 2011, a family-driven real estate business focused on acquiring, managing and developing real estate opportunities in Texas. Through CzechMex Properties, LLC, Ms. Kapavik has invested in and managed multiple properties.

Ms. Kapavik focuses on creating well-performing real estate assets, strong tenant experiences and long-term value, drawing on her experience in real estate operations, property management, marketing and client relations.

**DENNIS MCQUEEN**

**Manager, Collective Storage Partners, LLC**

Mr. McQueen is a technology industry veteran of Advanced Micro Devices (AMD), where his background included engineering, corporate strategy, product management, business development and sales. He applies that experience to commercial real estate investing through McQ Properties, LLC.

In June 2026, Mr. McQueen participated as a joint venture partner in the acquisition of the 126-unit Anna Self Storage. He is currently leading the underwriting and acquisition efforts for the Property on behalf of the Manager.

Through McQ Properties, LLC, Mr. McQueen built a single-family rental portfolio using a buy, rehab, rent, refinance and repeat (BRRRR) strategy and sold those assets in 2022, reinvesting the proceeds in commercial real estate. As a general partner, he contributed to asset underwriting, due diligence and capital raising for a 60-unit multifamily property in Sealy, Texas, and in May 2026 served as a general partner in the acquisition of the 136-unit Edgewood Apartments. He also holds limited partner positions in approximately 337 value-add multifamily units in Texas and North Carolina.

Mr. McQueen focuses on asset underwriting, due diligence, capital raising and lender relationships across multifamily and self-storage assets, drawing on his corporate strategy and product management background. He participates in real estate mentorship programs, including the Massive Masters Mastermind.



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## The Offering and Description of Investor Units

The Company hereby offers to sell (the "Offering") to qualified third-party investors One Million Two Hundred Thousand (1,200,000) of its Class A Membership Interest Units (the "Class A Units") at a price of $1.00 per Class A Unit for gross Offering proceeds of One Million Two Hundred Thousand Dollars ($1,200,000). The Class A Units shall be referred to herein as the "Investor Units". The total cost of each Investor Unit is payable in immediately available funds, upon subscription, by wire transfer to the bank account directed by the Company, or if acceptable to the Company, by check. The Members, as third-party investors, must meet certain suitability standards. See "PLAN OF DISTRIBUTION - PURCHASER SUITABILITY STANDARDS," below. The Offering will continue indefinitely unless earlier terminated in the sole discretion of the Company.

The initial closing (the "Initial Closing") will be held immediately upon the Company's receipt of at least the minimum amount required to achieve its business objectives (as described herein) as determined by the Company's Manager (the "Minimum Offering Amount") in immediately payable United States funds in exchange for the Company's sale and issuance of at least One Million Two Hundred Thousand (1,200,000) Investor Units. The Company may sell unsold Investor Units in one or more subsequent closings following the Initial Closing (each, a "Subsequent Closing") as determined by the Manager in its discretion.

Subscriptions will be accepted and approved in writing by the Company from time to time during the offering period. At its discretion, the Company may choose to accept subscriptions one at a time as they are received.

Potential investors of any Investor Units must understand and acknowledge that all or substantially all of the voting control of the Company's Business is held by the Company's sole Class B Member, being the Manager. The Investor Members will have little to no voting control over the Company's Business.

### COMPANY ORGANIZATIONAL DOCUMENTS

The relevant documents related to the organization of the Company are (i) the Company's Certificate of Formation, and (ii) the Company Agreement of the Company (collectively, the "Organizational Documents"), a copy of which is attached hereto as **Exhibit "B"**. The Organizational Documents include all the terms and conditions of the organization of the Company. Certain significant aspects of the Company Agreement are summarized below. The summaries below are qualified in their entirety by the Company Agreement.

### CAPITAL CONTRIBUTIONS

No Member shall be required to make any additional Capital Contributions to the Company beyond the amount paid as the Member's initial Capital Contribution. Any future Capital Contributions made by any Member shall only be made with the consent of the Manager and in connection with an issuance of Investor Units made in compliance with the Company Agreement. Any other advance of funds to the Company by a Member shall be considered a loan.

No Member shall be required to lend any funds to the Company and no Member shall have any personal liability for the payment or repayment of any Capital Contribution by or to any other Member, or



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for payment or repayment of any Company debt (unless guaranteed by the Member by separate agreement).

## EVIDENCE OF OWNERSHIP OF COMPANY INTERESTS

Members will not receive certificates evidencing the ownership of their respective Investor Units. Each Member will receive a counter-signed Subscription Agreement reflecting the Manager's acceptance of such Member's investment in the Investor Units, and the Members' ownership of such Investor Units will be maintained in the books and records of the Company.

## CONTROL OF THE COMPANY

Purchasers of the Investor Units will have the status of Members in the Company but will have little to no control over the management or conduct of the affairs of the Company. The Manager will have the sole and absolute right and authority to act for and on behalf of the Company and in connection with all aspects of the business and operations of the Company. The Company Agreement shall provide that the Class B Members have the right to elect the Manager of the Company, and the Investor Members (i.e., Members of the Company owning the Investor Units) shall not have the right to remove or elect the Manager of the Company. Members will be bound by all agreements made by the Manager on behalf of the Company. The Manager shall have no liability to the Company or the Members other than as provided for in the Texas Business Organizations Code ("TBOC") and will have a duty of care and a duty of loyalty to the Company and the other members in accordance therewith.

The Manager has the right and broad discretion to determine whether additional cash capital calls will be made to finance the Company's continuing business operations. In the event that the Manager determines that the Company requires additional capital, the Manager may approve the sale and issuance of additional Membership Interests in the Company.

Members of the Company will not be required to be liable for the debts, obligations, or liabilities of the Company except by separate guarantee of the Members.

## DISTRIBUTIONS AND ALLOCATIONS

Net income and net loss of the Company will be generally allocated each Fiscal Year among the Members in a manner such that the Capital Account Balance of each Member immediately after making such allocations will equal as nearly as possible the Distributions that would be made to each member if the Company were dissolved, its affairs wound up, its assets sold for cash and its liabilities satisfied. This method of allocation is sometimes referred to as the "Targeted Capital Account Method." Each Member must report the amount of income or loss allocated to him on his individual income tax return. This could result in a Member having a tax liability even though the Member receives no cash distributions from the Company. See the section of this Memorandum entitled "Certain Income Tax Risks and Consequences" for additional information regarding the tax treatment of an investment in the Investor Units.

The Manager shall determine the amount of cash available for distribution to the Members of the Company from time to time.

The manner in which cash available for distribution shall be paid to the members is described below.

One Hundred Percent (100%) of available cash first shall be paid to the Members holding the Class A Units (the "Class A Members") until each Class A Member shall have received a simple interest



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preferred return of Seven Percent (7%) per annum of each Member's Unreturned Capital Contribution (the "Class A Preferred Return").

Thereafter, One Hundred Percent (100%) of available cash shall be paid to the Class A Members until each Class A Member shall have received aggregate distributions equal to the Class A Member's Unreturned Capital Contribution.

Any unpaid Class A Preferred Return shall accrue but shall not compound.

Thereafter, Seventy Percent (70%) of available cash shall be paid to the Class A Members pro rata according to the number of Class A Units held by each, and Thirty Percent (30%) of cash shall be paid to the Class B Members pro rata according to the number of Class B Units held by each.

## BOOKS AND RECORDS

The books and records of the Company will be kept at the principal office of the Company. Each Member will have access thereto at all reasonable times and may make copies at their own expense. The books of account are intended to be kept in accordance with the cash method of accounting. The Manager will furnish each Member with an unaudited balance sheet, cash flow statement, income statement, and a statement of changes in Member's capital of the Company for each year in accordance with the terms of the Company Agreement.

## DISPOSITIONS OR TRANSFERS OF COMPANY INTERESTS

The disposition or transfer of Class A Units (or any Membership Interests) in the Company is substantially restricted and any such disposition or transfer must be made in strict accordance with the Company Agreement, as amended, and federal and state securities laws and rules. Any attempted transfer that is not in strict accordance with the Company Agreement, as amended, will be null and void. A Member may not sell, assign, transfer, convey, gift, exchange, or dispose of in any way all or any portion of his Membership Interests without the consent of the Manager.

## CONFLICTS OF INTEREST

The Company's Manager and its respective affiliates and related parties may own interests in other real estate that competes with the Business in the same or other markets. Certain conflicts of interests between the Company, the Manager, their affiliates, and/or such other businesses could arise in any of such instances. If any transactions are entered into with parties related to the Manager, the Manager intends for such transactions to be on terms not more favorable to their economic interests than the terms that could be obtained generally in the market through arms' length negotiations.

We may utilize the services of other persons who are related to the Company and its Manager. These arrangements also create a potential for conflicts of interest, but the Company will only retain such related parties to perform ordinary and necessary services required by the Company and its Business on terms that are determined commercially reasonable by the Company and its Manager.

## ALTERNATIVE DISPUTE RESOLUTION

The resolution of any and all disputes among the Members and the Company must be attempted first through good faith negotiation between the parties. If such disputes are unresolved through negotiations, then such disputes shall be submitted to mediation. Finally, if the dispute remains



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unresolved through mediation then such dispute shall be submitted to BINDING ARBITRATION through the American Arbitration Association with the arbitration taking place in Dallas, Texas.



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## Use of Proceeds

The gross proceeds to be received by the Company from the sale of all of Class A Units authorized for sale in this Offering is One Million Two Hundred Thousand Dollars ($1,200,000). The proceeds received from this offering will be invested in a two-property, 472-unit self-storage portfolio (approximately 54,900 net rentable square feet) having addresses of 214 16th Street, Huntsville, Texas 77340 and 7059 State Highway 75 South, Huntsville, Texas 77340, known as "Stow Stuff Storage" (the "Property"), as further described in the Investment Summary attached hereto as **Exhibit "A"** (the "Investment Summary").

### Company Operations

We intend to use the net proceeds of the Offering in accordance with the financial projections and plans of the Investment Summary attached hereto as **Exhibit "A**". The Company currently anticipates that the Offering proceeds, together with an acquisition loan of approximately $2,114,000, will fund total project capitalization of approximately $3,314,000, consisting of the $3,020,000 purchase price, a $90,600 Acquisition Fee, $48,320 of closing costs, an $81,420 capital expenditure reserve and $73,660 of other reserves.

### Offering Expenses

Offering expenses will include, but not be limited to, professional fees, accounting, marketing, administrative, tax preparation, travel, postage, filing fees and other miscellaneous expenses.

The following offering expenses incurred by persons related to the Manager on behalf of the Company will be reimbursed to the Manager at closing:

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| Marketing | $25,000 |
| Office Administration | $10,000 |
| Travel | $11,500 |
| Legal and Consulting Fees | $25,000 |
| Secured Investor Portal | $4,000 |

Legal, accounting, and bookkeeping fees, the costs of cost segregation studies and financing, and any other costs related to the Property and the Offering which have been paid by persons related to the Manager on behalf of the Company likewise will be reimbursed.

### Sales and Distribution Expenses

No sales fees or commissions shall be paid to the Manager or its principals.

## Determination of Offering Price



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There is no established trading market for the Investor Units nor is one expected to develop. The offering price of $1.00 per Investor Unit was arbitrarily determined by the Company. The Offering price does not necessarily have any relationship to earnings, the actual value of the Company's assets, or the actual market value of the Investor Units.



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## Summary of Principal Terms

The following Summary of Principal Terms governing a Member's investment in the Company is qualified in its entirety and should be read in connection with the Company Agreement and Subscription Agreement of **Stow Stuff Storage, LLC**, a Texas limited liability company, the forms of which are attached hereto as **Exhibit "B"** and **Exhibit "C"**, respectively.

Capitalized terms not otherwise defined herein shall have the same meanings given such terms in the Company Agreement of the Company.

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| **The Company:** | Stow Stuff Storage, LLC (the "Company") is a newly-formed limited liability company organized under the laws of the State of Texas. The Company will commence operations on October 6, 2026. |
| **Investment Objective:** | The investment objective of the Company is to invest in a two-property, 472-unit self-storage portfolio (approximately 54,900 net rentable square feet) having addresses of 214 16th Street, Huntsville, Texas 77340 and 7059 State Highway 75 South, Huntsville, Texas 77340, known as "Stow Stuff Storage" (the "Property"). The Company's investment strategy with respect to the Property is further described in the investment summary attached hereto as **Exhibit "A"** (the "Investment Summary"). |
| **Manager:** | The Company is managed by Collective Storage Partners, LLC, a Texas limited liability company (the "Manager"). The Manager will exercise exclusive control over the day-to-day management of the business affairs of the Company. No Member in its capacity as such shall take part in the management of the Company. |
| **Capital Contributions Sought:** | The Company is seeking a maximum of $1,200,000 in Capital Contributions from qualified investors in exchange for the Company's sale and issuance of its Class A Membership Interest Units (the "Class A Units" or the "Investor Units") for a per Investor Unit price of $1.00. The minimum Capital Commitment to the Company for any Member will be $50,000 for Fifty Thousand (50,000) Investor Units, although the Manager reserves the right to modify this amount in its sole discretion. |
| **Eligible Investors:** | The Investor Units being sold hereunder may be purchased only by investors who qualify as "accredited investors" as defined in the Company's Subscription Agreement and a limited number of non-"accredited investors". The Company will be relying on the exemption from securities registration found in Rule 506(b) under Regulation D of the Securities Act of 1933, as amended and corresponding state-level (i.e., "Blue Sky" law) exemptions. Please see the Subscription Agreement for further information.<br><br>To comply with the United States Patriot Act requirements, the Company may require additional information as necessary and as |



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| | described in the Subscription Agreement, and the Company reserves the right to reject any investor for any reason or for no reason in its sole discretion. |
| **Subscriptions; Initial Closing; Subsequent Closings:** | The Manager will hold the initial closing of the Company's sale and issuance of its Investor Units (the "Initial Closing") immediately upon the Company's receipt of at least the minimum amount required to achieve its business objectives (as described herein) in exchange for the Company's sale and issuance of Investor Units (the "Minimum Offering Amount"). |
| **Subscription Process:** | Members purchasing Investor Units shall do so pursuant to the procedures set forth in the form Subscription Booklet attached hereto as **Exhibit "C"**. |
| **Affiliated Investors:** | The Manager and/or its affiliates may make an initial commitment to the Company's investment program, either through an investment in the Company, through co-investment arrangements, or through waiver of fees otherwise due and payable to the Manager by the Company, in exchange for Investor Units having a fair market value equal to the fair market value contributed by such affiliated investors. Such affiliated investors may not bear other fees and profit sharing in favor of the Manager, but do share pro rata in all other applicable Company expenses. |
| **Term:** | The term of the Company is indefinite but the Manager anticipates a five (5) year holding period for the Property. |
| **Company Expenses; Manager Overhead:** | The Company bears the expenses of its organization and the offering of Investor Units (including legal and accounting fees, printing costs, travel, "blue sky" filing fees and expenses and out-of-pocket expenses).<br><br>The Company bears all costs and expenses directly related to its investment program, including without limitation expenses related to underwriting and private placements, interest on debt balances or borrowings, and professional services fees charged by consultants.<br><br>The Company also bears all out-of-pocket costs related to its administration, including accounting, audit and legal expenses, costs of any litigation or investigation involving the Company's activities, and costs associated with reporting and providing information to existing and prospective Members. However, the Manager may, in its sole discretion, choose to absorb any such expenses incurred on behalf of the Company.<br><br>Expenses of the Company may include reimbursement of the Manager for expenses incurred, or payments for services rendered in connection with the organization of the Company prior to the time that any investment proceeds were received from Members purchasing Investor Units. |



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**Manager Fees:**

The Company's Company Agreement will provide for the following fees payable to the Manager as expenses:

1. an asset management fee (the "Asset Management Fee") equal in amount to Three Percent (3%) of gross revenues from the Property, payable monthly in arrears;

2. an acquisition fee (the "Acquisition Fee") payable upon closing of the acquisition of the Property equal to Three Percent (3%) of the Property purchase price; and

3. a disposition fee (the "Disposition Fee") equal in amount to Two Percent (2%) of the gross sales price of the Property upon any sale thereof, or Two Percent (2%) of the net proceeds from the refinancing of any Company debt

The Company retains discretion to engage related or unrelated third parties to perform services for the Company in connection with the implementation of its business plans. The Company initially shall pay a property management fee (the "Property Management Fee") in accordance with the prevailing market rate for the management of similar properties in the general geographic area, and on the economic basis, as determined in the discretion of the Manager; provided however, that the amount of the Property Management Fee may increase in the future given prevailing market conditions; and provided further, that such increased amount of Property Management Fees shall in any event be on commercially reasonable terms. The Property Management Fee shall be paid quarterly in arrears. The Company initially has elected to engage the Manager to serve as property manager and will pay the Manager the Property Management Fee for its services, unless and until a third-party property manager is engaged, if ever.

In connection with the Company's plans for the Property, the Company may engage a third-party construction management firm to serve as construction manager with respect to development or capital expenditure plans for the Property, or it may engage the Manager to serve in this way. In connection with such construction management services, whether rendered by an affiliate of the Company, the Manager or an unrelated third party, the Company anticipates that it will pay a project management fee in an amount equal to up to Five Percent (5%) of the total construction costs associated with the future development plans with respect to the Property.

**Use of Affiliates Services; Related Party Transactions:**

The Manager may retain one or more of its affiliates to perform services for the Company on terms no less favorable to the Company than those available from unaffiliated third parties for a comparable level of quality and service.

**Cash Distributions:**

The Company will make distributions of Available Cash in such amounts as the Manager shall determine; provided, however, the



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Manager will retain cash to pay for the Company's operating expenses, establishing appropriate reserves for capital expenditures, contingent liabilities, and such other purposes deemed necessary by the Manager.

The Company may make distributions in-kind in the sole discretion of the Manager.

The manner in which cash shall be paid to the members is described below.

One Hundred Percent (100%) of available cash first shall be paid to the Members holding the Class A Units (the "Class A Members") until each Class A Member shall have received a simple interest preferred return of Seven Percent (7%) per annum of each Member's Unreturned Capital Contribution (the "Class A Preferred Return").

Thereafter, One Hundred Percent (100%) of available cash shall be paid to the Class A Members until each Class A Member shall have received aggregate distributions equal to the Class A Member's Unreturned Capital Contribution.

Any unpaid Class A Preferred Return shall accrue but shall not compound.

Thereafter, Seventy Percent (70%) of available cash shall be paid to the Class A Members pro rata according to the number of Class A Units held by each, and Thirty Percent (30%) of cash shall be paid to the Class B Members pro rata according to the number of Class B Units held by each.

**Allocation of Income, Expenses, Gains and Losses:** Income, expenses, gains and losses of the Company will generally be allocated among the Members in a manner consistent with the distribution of proceeds described in "Distributions" above.

**Tax Distributions:** The Manager does not intend to make distributions to Members to satisfy tax liabilities associated with their ownership of the Investor Units. The Members may be required to pay for the tax liability associated with allocations of net income and gain from the Investor Units from their own funds.

**Withdrawals:** Generally, Members may not withdraw from the Company prior to conclusion of its term or upon its dissolution, whichever is later. In addition, Members may not transfer any of their Investor Units, rights or obligations under the Membership Agreement except with the consent of the Manager, which may provide or withhold consent in its sole discretion.

The Manager reserves the right, in their sole discretion, to compel the withdrawal of any Member's Interest in the Company, in part or in its entirety, as of the end of an accounting period on not less than 30 days' prior written notice (or not less than five days' prior written notice if the



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| | Manager determines in its sole discretion that such Member's continued participation in the Company may cause the Company or the Manager to violate any applicable law). |
| **Dissolution and Liquidation:** | Dissolution of the Company will occur at the conclusion of its term, and may occur upon the occurrence of other events, including without limitation any event which results in the Manager ceasing to be the Manager of the Company. Upon the occurrence of any such event, the Manager (or a liquidator elected by a majority in interest of the Investor Units if the Manager is unable to perform this function) are charged with winding up the affairs of the Company, liquidating its assets to the extent feasible and making liquidating distributions pro rata in accordance with the distribution schedule set forth above and otherwise in accordance with the Company Agreement. |
| **Transfers:** | With certain exceptions set forth in the Company Agreement, Investor Units are not transferable except with the prior written consent of the Manager, which consent may be withheld in the Manager's sole discretion. In addition to any other terms or conditions the Manager may choose in their sole discretion to impose on such transfer, the Manager will not permit the transfer of any Member's Interest unless it receives an opinion of counsel from such Member in form and substance satisfactory to the Manager and its counsel to the effect that such transfer will not constitute a violation of any applicable federal or state securities laws. The Manager will require any transferee or assignee of any Member to agree in writing to be bound by the Company Agreement. |
| **Duty of Care; Indemnification:** | The Company Agreement provides that the Manager and its affiliates are not liable to the Company or the Members for any loss or damage arising by reason of being or having been the Manager or from any acts or omissions in the performance of its services as Manager in the absence of willful misconduct, recklessness, or gross negligence or as otherwise required by law, and contains provisions for the indemnification of the Manager, its affiliates, and its service providers by the Company (but not by the Members individually) against any liabilities arising by reason of being or having been the Manager or in connection with the Company Agreement or the Company's business or affairs to the fullest extent permitted by law. The Manager is not personally liable to any Member for the repayment of any positive balance in such Member's capital account or for contributions by such Member to the capital of the Company or by reason of any change in the federal or state income tax laws applicable to the Company or its investors. |
| **Non-Exclusivity; Allocation of Opportunities:** | None of the officers, Manager, members, employees or affiliates of the Company are precluded from engaging in or owning an interest in other business ventures or investment activities of any kind, whether or not such ventures are competitive with the Company. |



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The Company Agreement requires that the Manager act in a manner that they consider fair, reasonable and equitable with respect to the Company and the Members; provided however, the Company Agreement does not impose any specific obligations or requirements concerning the allocation of time, effort or investment opportunities to the Company or any restrictions on the nature or timing of investments for the account of the Company and for the Manager's own accounts or for other accounts that the Manager or its affiliates may manage. The Manager is not obligated to devote any specific amount of time to the affairs of the Company and is not required to accord exclusivity or priority to the Company with respect to investment opportunities.

Situations may occur where the Company could be disadvantaged because of the investment activities conducted by the Company or affiliates of the Manager for their own or other investment accounts.

**Fiscal Year:** The Company has a fiscal year ending on December 31 of each calendar year.

**Reports to Members:** The Company furnishes to its Members as soon as practicable (but no later than ninety (90) days) after the end of each taxable year and no later than sixty (60) days after the end of the second ($2^{nd}$) and fourth ($4^{th}$) fiscal quarters of each year, reports containing financial statements as well as such tax information as is necessary for each Member to complete federal and state income tax or information returns, along with any other tax information required by law. The Manager selects the Company's independent accountants in their sole discretion.

The Company will endeavor to provide Members with estimates of the taxable income or loss allocated to their investment in the Company with respect to any fiscal year on or before April 15 of the immediately following fiscal year, but since final Schedules K-1 may not be available at that time, Members may be required to obtain extensions of the filing date for their income tax returns at the federal, state and local levels.

**Tax Status:** The Company itself should not be subject to U.S. federal income taxation. Each Member otherwise subject to U.S. federal income tax is required to include in such Member's taxable income such Member's share of the Company's income and gains, when realized by the Company (regardless of cash distributions from the Company to such Member), and may claim, to the extent allowable, such Member's share of the Company's losses and deductions. Due to the nature of the Company's activities, the Company's income or loss for U.S. federal income tax purposes for a particular taxable period may differ from its financial or economic results. The deductibility of a Member's share of any Company losses or deductions may be limited. See Appendix B for a discussion of the tax consequences associated with an investment in the Company.

**ERISA:** The Manager intends to use reasonable best efforts to either (i) prohibit plans subject to Title I of the U.S. Employee Retirement Income



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Security Act of 1974, as amended ("ERISA"), or Section 4975 of the Code from investing in the Company or (ii) provide that investment by "benefit plan investors" in the Company will not be "significant." The Company also may qualify under an "operating company" exemption from the "Plan Asset" rules found under regulations promulgated under ERISA by the U.S. Department of Labor.

**Amendment of the Company Agreement:**

The Company Agreement may be amended by written agreement of Members holding a majority of the Investor Units and the Members holding a majority of the Class B Units.

Notwithstanding the foregoing, the Manager may amend the Company Agreement without the consent of any Member at any time (i) to comply with applicable laws and regulations; (ii) to make changes that do not adversely affect the rights or obligations of any Member; (iii) to cure any ambiguity or correct or supplement any conflicting provisions of the Company Agreement; or (iv) with respect to any other amendment, if any Member objecting to such amendment has an opportunity to withdraw from the Company as of a date that is not less than forty-five (45) days after the Manager has furnished written notice of such amendment to each Member and that is prior to the effective date of the amendment.

The Manager has the absolute discretion to agree with a Member to waive or modify the application of any provision of the Company Agreement with respect to such Member, without obtaining the consent of any other Member (other than a Member who is materially and adversely affected by such waiver or modification).

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## Certain Risk Factors

The Investor Units offered hereby are speculative, involve a high degree of risk, and should be considered only by persons who can afford the loss of their entire investment. The following constitute some of the potential risks of an investment in the Investor Units and should be carefully considered by prospective investors prior to purchasing any Investor Units. The order of the following is not intended to be indicative of the relative importance of any described risk, nor is the following intended to be inclusive of all risks of an investment in the Investor Units.

### Risks Relating to the Company's Investment in the Property

Speculative Nature of Investment

The Company will invest all its assets in a two-property, 472-unit self-storage portfolio (approximately 54,900 net rentable square feet) having addresses of 214 16th Street, Huntsville, Texas 77340 and 7059 State Highway 75 South, Huntsville, Texas 77340, known as "Stow Stuff Storage" (the "Property"). This type of investment is risky in that its success depends entirely on the estimation of the Manager regarding market trends. Demand for the Property purchased by the Company may not increase, in which case, the value of the Property may decrease. The Company is entirely reliant on the judgment of the Manager in the exercise of its investment decisions.

Newly Formed Entities; No Operating History

The Company was recently organized and has no operating history upon which prospective investors may evaluate its performance. The Manager is also a newly formed entity and has no operating history as the manager of an investment vehicle such as the Company. Accordingly, there is no track record of the Company or the Manager on which investors may base an investment decision, and the Company's prospects must be considered in light of the risks, expenses and difficulties frequently encountered by new businesses. There can be no assurance that the Company will operate profitably or achieve its investment objectives.

Limited Experience of Management

The managers of the Manager, Douglas Chojecki, Sonja Kapavik and Dennis McQueen, have limited experience in acquiring, owning, operating and managing self-storage properties and in sponsoring and managing an investment vehicle such as the Company. This lack of experience may result in errors in judgment with respect to the acquisition, operation, financing, refinancing or disposition of the Property, which could adversely affect the Company's results of operations, the amount of cash available for distribution to the Investor Members and the value of the Investor Units. The Company believes this risk is mitigated by the fact that the Company has engaged certain of its investors as consultants to advise the Company on its business practices. However, there can be no assurance that such consultants will continue to advise the Company, that the Company will follow their advice, or that their advice will prove to be correct or will offset the limited experience of the Company's management.

Reliance On Manager



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The Company's sole Manager is Collective Storage Partners, LLC, a Texas limited liability company. The loss of the Manager's services to the Company could have a material adverse effect on the Company's investment performance, and thus, could result in reduced profits or a loss of investment for the Investor Members.

Reliability of Projections

The projections included in the Investment Summary are subject to substantial risk, uncertainties and contingencies and are based on hypothetical assumptions and events over which we have only partial or no control. The selection of assumptions underlying such projected information required the exercise of the Manager's business judgment, and changes in the facts or circumstances underlying such assumptions could materially affect the projections. As a result, no assurance can be made that we will achieve the operating or financial results set forth in the projections included in the Investment Summary. Our projections have not been reviewed or authenticated by an independent third party.

Indemnification of Officers and Managers; Limitations of Liability

The TBOC and our Company Agreement provide for the indemnification of our Manager and its officers and managers. It is possible that the indemnification obligations imposed under these provisions could result in a charge against our earnings and therefore affect our profitability and availability of funds for the payment of distributions to our Members.

Our Company Agreement removes the liability of the Manager to the Company and our investors except in certain limited cases.

Conflicts of Interest

The Manager and its affiliates will be subject to various conflicts of interest in connection with the Company. The Manager will receive the Acquisition Fee, the Asset Management Fee, the Disposition Fee and, for so long as it serves as property manager, the Property Management Fee, and the Company may engage the Manager or another related party to provide construction services for a project management fee of up to Five Percent (5%) of total project costs. These fees and arrangements have not been determined through arm's-length negotiation, and certain of them are payable regardless of whether the Company is profitable. In addition, the Class B Units entitle their holders to Thirty Percent (30%) of available cash after the Class A Members have received the Class A Preferred Return and the return of their Unreturned Capital Contributions, which may create an incentive for the Manager to pursue riskier strategies or to time a sale or refinancing of the Property in a manner that benefits the Class B Members. The managers of the Manager and their affiliates may also own, operate or invest in other self-storage or real estate properties, including properties that compete with the Property, and will devote only such time to the Company's affairs as they deem necessary. There can be no assurance that any conflict will be resolved in favor of the Company or the Investor Members.

Limited Investor Control Over Management

Investor Members will have little to no control over the management or conduct of the affairs of the Company. The Manager will have sole and absolute authority to act for and on behalf of the Company, including with respect to the operation, financing, refinancing and sale of the Property. Under the Company Agreement, the Class B Members have the right to elect the Manager, and the Investor Members will not have the right to elect or remove the Manager. Investor Members will have only limited voting rights, and certain matters may be approved by the Class B Members without the consent



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of the Investor Members. Accordingly, prospective investors should not purchase Investor Units unless they are willing to entrust all aspects of the management of the Company to the Manager.

Dependence on hiring and retaining key personnel

Our success depends to a significant degree upon the skills of the key employees of the Manager. We may be unsuccessful in retaining our existing key personnel or in attracting and retaining additional key personnel. The loss of services of key personnel, including the loss of the services of any of Douglas Chojecki, Sonja Kapavik or Dennis McQueen (either through death, disability, termination of employment, or resignation), or the inability to attract, hire and retain additional qualified personnel could have a material adverse effect upon our business and operating results. We do not have "key man" life insurance policies insuring the lives of our key employees.

Illiquidity of Real Estate Investments

Real estate investments are not as liquid as other types of investments, and this lack of liquidity may limit the Company's ability to react promptly to changes in economic, financial, investment or other conditions. In addition, significant expenditures associated with real estate investments, even with real estate purchased for all cash, include real estate taxes and maintenance costs, and these are generally not reduced when circumstances cause a reduction in income (if any) from the investments. Thus, the Company's ability to maintain its assets and stay current on real estate taxes may be restricted. The lack of liquidity may limit the Company's ability to vary their portfolio promptly in response to changes in economic financial, investment or other conditions and, as a result, could adversely affect their financial condition, results of operations, and cash flows.

The Company's ability to dispose of its properties on advantageous terms depends on factors beyond their (and our) control, including competition from other sellers and the availability of attractive financing for potential buyers of the properties they acquire. The Company cannot predict the various market conditions affecting real estate investments that will exist at any particular time in the future. Due to the uncertainty of market conditions which may affect the future disposition of the properties the Company acquire, we cannot assure our Members that the Company will be able to sell such properties at a profit in the future. If that is the case, the Company will not be profitable. Accordingly, the extent to which our Members will receive cash distributions and realize potential appreciation on our real estate investments will be dependent upon fluctuating market conditions. Furthermore, the Company may be required to expend funds to correct defects or to make improvements before a property can be sold. We cannot assure our Members that the Company will have funds available to correct such defects or to make such improvements.

Risks of Borrowing

Because the Company will incur indebtedness, a portion of the cash flow of each will be dedicated to the payment of principal and interest on such indebtedness. Typical loan agreements also might contain restrictive covenants which may impair the Company' operating flexibility, which may include, among other things, restrictions against the sale or transfer of any Units. Such loan agreements would also provide for default under certain circumstances, such as failure to meet certain financial covenants. A default under a loan agreement could result in the loan becoming immediately due and payable and, if unpaid, a judgment in favor of such lender which would be senior to the rights of owners of Investor or Class B Units of the Company. A judgment creditor would have the right to foreclose on any of the Company's assets resulting in a material adverse effect on the Company's business, operating results or financial condition.



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The Company may acquire the Property subject to existing financing or by borrowing funds. The Company may also incur or increase their indebtedness by obtaining loans secured by certain of its properties in order to use the proceeds for acquisition of additional properties. In general, for any particular property, the Company will expect that the property's cash flow will be sufficient to pay the cost of its mortgage indebtedness, in addition to the operating and related costs of the property. However, if there is insufficient cash flow from the property, the Company may be required to use funds from other sources to make the required debt service payments, which generally would reduce the amount available for distribution to Members. The incurrence of mortgage indebtedness increases the risk of loss from the Company' investments since one or more defaults on mortgage loans secured by its properties could result in foreclosure of those mortgage loans by the lenders with a resulting loss of the Company' investment in the properties securing the loans. For tax purposes, a foreclosure of one of the Company' properties would be treated as a sale of the property for a purchase price equal to the outstanding balance of the indebtedness secured by the mortgage. If that outstanding balance exceeds the Company's tax basis in the property, the Company would recognize a taxable gain as a result of the foreclosure, but it would not receive any cash proceeds as a result of the transaction.

Mortgage loans or other financing arrangements with balloon payments in which all or a substantial portion of the original principal amount of the loan is due at maturity, may involve greater risk of loss than those financing arrangements in which the principal amount of the loan is amortized over its term. At the time a balloon payment is due, the Company may or may not be able to obtain alternative financing on favorable terms, or at all, to make the balloon payment or to sell the property in order to make the balloon payment out of the sale proceeds. If interest rates are higher when the Company obtains replacement financing for its existing loans, the cash flows from its properties, as well as the amounts the Company may be able to distribute to Investor Members, could be reduced. In some instances, the Company may only be able to obtain recourse financing, in which case, in addition to the property or other investment securing the loan, the lender may also seek to recover against and of the Company's other assets for repayment of the debt. Accordingly, if the Company does not repay a recourse loan from the sale or refinancing of the property or other investment securing the loan, the lender may seek to obtain repayment from one or more of such other assets.

Additional Financing

We cannot be certain that additional financing will be available on reasonable terms when required or at all. From time to time, we may need additional financing. Our ability to obtain additional financing, if and when required, will depend on investor demand, our operating performance, the condition of the capital markets, and other factors. Our inability to obtain financing if needed could impair our expected results of operations.

Floating Interest Rate Risk

The Company's acquisition financing for the Property may bear interest at a floating or variable rate, and any future financing or refinancing may also bear interest at a variable rate. Increases in market interest rates would increase the Company's debt service obligations, reduce the cash available for distribution to Members, and could make it more difficult for the Company to satisfy any debt service coverage or other financial covenants under its loan documents. Any interest rate cap or other hedging arrangement the Company obtains may not fully protect against rising rates, may be costly to obtain or renew, and may expire before the related loan is repaid.

Refinancing Risk



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The Company's loan secured by the Property may mature before the Manager expects to sell the Property. At maturity, the Company may be unable to refinance the loan on favorable terms, or at all, due to higher interest rates, tighter lending standards, a decline in the Property's value or operating income, or other conditions in the credit markets. A refinancing at higher interest rates or in a lower loan amount could reduce distributions to Members or require the Company to seek additional capital, which could dilute the interests of existing Members. If the Company is unable to refinance or repay the loan when due, it may be forced to sell the Property on unfavorable terms or the lender may foreclose on the Property, which could result in the loss of all or a substantial part of the Members' investment.

Claims

As with other businesses, the Company may be subject to various third-party claims, the cost of which cannot be anticipated in advance. Such claims might include, for example, allegations of damages resulting from employment discrimination, breach of contract, premises liability, product liability, personal injury, sexual harassment and other matters that cannot be predicted. Even if such claims are meritless, the Company may incur expenses in defending against or settling them. The Company will maintain liability insurance in amounts and with deductibles determined by the Manager to be reasonable under the circumstances.

Month-to-Month Rentals

Substantially all of the storage units at the Property are expected to be rented to customers on a month-to-month basis. Customers generally may vacate on short notice, and the Company may be unable to re-rent vacated units promptly or at comparable rental rates. As a result, the Property's occupancy and rental income may decline quickly in response to local economic conditions, new competing supply, seasonal fluctuations in demand or other factors. Many of the Property's expenses, such as mortgage payments, real estate taxes, insurance, utilities and maintenance costs, generally are not reduced when rental revenues decline. A significant reduction in occupancy or rental rates could materially and adversely affect the Company's operations, cash flow and ability to make distributions to Members. In addition, the Company may not be able to sell the Property at the price, on the terms or within the time frame it may seek, and the recovery of any portion or all of a Member's investment and any potential return thereon will depend on the amount of net proceeds the Company is able to realize from a sale or other disposition of the Property.

Property Liabilities

The Company intends to perform appropriate due diligence for each property or other real estate related investment it acquires. The Company also will seek to obtain appropriate representations and indemnities from sellers in respect of such properties or other investments. The Company may, nevertheless, acquire properties or other investments that are subject to uninsured liabilities or that otherwise have problems. In some instances, the Company may have only limited or perhaps even no recourse for any such liabilities or other problems or, if the Company has received indemnification from a seller, the resources of such seller may not be adequate to fulfill its indemnity obligation. As a result, the Company could be required to resolve or cure any such liability or other problems, and such payment could have an adverse effect on the Company' cash flow available to meet other expenses or to make distributions to Members.

Uninsured Losses

The Manager will attempt to assure that all of the Company' properties are comprehensively insured (including liability, fire, and extended coverage) in amounts sufficient to permit replacement in



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the event of a total loss, subject to applicable deductibles. However, to the extent of any such deductible and/or in the event that any of the Company' properties incurs a casualty loss which is not fully covered by insurance, the value of the Company' assets will be reduced by any such loss. Also, certain types of losses, generally of a catastrophic nature, resulting from, among other things, earthquakes, floods, hurricanes or terrorist acts may not be insurable or even if they are, such losses may not be insurable on terms commercially reasonable to the Company. Further, the Company may not have a sufficient external source of funding to repair or reconstruct a damaged property; there can be no assurance that any such source of funding will be available to the Company for such purposes in the future.

Environmental Regulations and Liabilities

Federal, state and local laws and regulations impose environmental controls, disclosure rules and zoning restrictions which directly impact the management, development, use, and/or sale of real estate. Such laws and regulations tend to discourage sales and leasing activities and mortgage lending with respect to some properties, and may therefore adversely affect the Company's business, and thus the Company's business specifically, and the real estate industry in general. Failure by the Company to uncover and adequately protect against environmental issues in connection with an investment may subject the Company to liability as the buyer of such property or asset. Environmental laws and regulations impose liability on current or previous real property owners or operators for the cost of investigating, cleaning up or removing contamination caused by hazardous or toxic substances at the property.

The Company may be held liable for such costs as a subsequent owner and developer of such property. Liability can be imposed even if the original actions were legal and the Company had no knowledge of, or was not responsible for, the presence of the hazardous or toxic substances. The Company may also be held responsible for the entire payment of the liability if the Company is subject to joint and several liability and the other responsible parties are unable to pay. Further, the Company may be liable under common law to third parties for damages and injuries resulting from environmental contamination emanating from the site, including the presence of asbestos containing materials. Insurance for such matters may not be available. Any Company liability could negatively affect its profitability.

Terrorist Attacks or Other Acts of Violence or War

Terrorist attacks may harm the Company's results of operations, which in turn would harm the Company's. Harm to the Company will negatively affect the value of a Member's investment. There can be no assurance that there will not be more terrorist attacks against the United States or U.S. businesses. These attacks or armed conflicts may directly or indirectly impact the value of the property the Company owns or that secure its loans. Losses resulting from these types of events may be uninsurable or not insurable to the full extent of the loss suffered. Moreover, any of these events could cause consumer confidence and spending to decrease or result in increased volatility in the United States and worldwide financial markets and economy. They could also result in economic uncertainty in the United States or abroad. Adverse economic conditions resulting from terrorist activities could reduce demand for space in the Company's properties due to the adverse effect on the economy and thereby reduce the value of the Company's properties.

Geographic Risks

The Company intends to buy, hold, and sell real estate assets within specific geographic markets. If the commercial or residential real estate markets or general economic conditions in this geographic area decline, the anticipated increased demand for the Company's assets may not occur, and thus, the



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value of the Company's properties in these areas could decline. Any of these events could materially adversely affect the Company's business, financial condition or results of operations because the Company's business is dependent on the success of the Company's investment strategy.

Competition and New Self-Storage Supply

The self-storage industry is highly competitive, and barriers to entry are relatively low. The Property will compete with other self-storage facilities in the Huntsville, Texas area, including facilities owned or operated by large national operators with greater resources, brand recognition, marketing capabilities and revenue management systems than the Company. The development of new self-storage facilities, or the expansion of existing facilities, near the Property could increase the supply of available storage space, reduce the Property's occupancy and rental rates, and require the Company to offer rental concessions or increase marketing expenditures.

Dependence on Self-Storage Demand

Demand for self-storage space is affected by local population and household growth, housing activity, residential moves, business activity and general economic conditions, and may also fluctuate seasonally. A decline in any of these factors in the market served by the Property could reduce demand for storage units and adversely affect the Company's revenues and results of operations.

Customer Defaults and Lien Sales

Customers who fail to pay rent when due may be subject to the Company's lien rights and lien-sale remedies under Chapter 59 of the Texas Property Code. Enforcing these remedies is time-consuming, the proceeds of lien sales are often less than the amounts owed, and any failure to follow the required notice and sale procedures could expose the Company to claims by customers. Increased customer delinquencies could reduce the Property's revenues and cash flow.

Self-Storage Operational and Technology Risks

The Property's performance depends on effective day-to-day management, including leasing, pricing, collections, marketing, security and maintenance. The Manager initially will serve as property manager, and the Company's results may suffer if the Manager or any third-party property manager does not manage the Property effectively. Self-storage facilities also rely on online marketing, access-control systems and third-party software for rentals and payments, and any failure, disruption or security breach of these systems could interrupt operations, expose customer information and subject the Company to liability. In addition, the Company may be subject to claims arising from theft of or damage to customers' stored goods.

**Risks Relating to the Offering**

Determination of Offering Price

There is no market for the Investor Units. The offering price for the Investor Units has been determined by the managers of the Manager in the exercise of their judgment and discretion. There has not been an independent appraisal or valuation of the Investor Units. Such appraisal or valuation could result in a different price per Unit than that set forth in the Memorandum.

No Prior Public Market; Limited Trading Market Expected



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Presently there is no market for the Investor Units. It is unlikely that an established trading market will develop for the Investor Units upon completion of this Offering or at any time in the future. We do not expect to register the Investor Units with the Securities and Exchange Commission, the securities regulator of any state, or with any stock exchange in the foreseeable future. As a result, investors who may need or wish to dispose of all or a part of their investment in the Investor Units may not be able to do so.

We are not Subject To Public Company Regulation

As a private company, we will not be subject to many requirements of the federal securities laws, such as public disclosure requirements, the requirement to prepare audited financial statements, proxy regulation and other matters. We do not intend to become subject to such regulation in the foreseeable future.

Transferability Restrictions

The purchase of Investor Units should be viewed as a long-term investment. The offer and sale of the Investor Units will not be registered under the Securities Act of 1933 or under any state securities or "blue sky" laws and are offered pursuant to exemptions from registration that depend in part upon the investor's investment intent. Investors will be required to represent that they are purchasing the Investor Units for their own account for investment purposes only and not with a view to resale or distribution. No subsequent transfer of the Investor Units may be made unless such transfer is registered under the Securities Act of 1933 and applicable state securities or "blue sky" laws, or an exemption is available. In connection with any such transfer, we may require that the investor provide us with an opinion of legal counsel stating that the transfer complies with such securities laws and pay any cost incurred in connection with such transfer as a precondition to the effectiveness of any such transfer.

No Tax Distributions

The Company does not intend to distribute cash to Members in amounts at least sufficient for the Members to pay for income tax liability associated with their ownership of Investor Units, being equity interests in a business entity that is taxed as a partnership, unless there is sufficient cash available for such distributions as determined by the Manager. In the event the Company does not make cash distributions to the Members in such amounts as are sufficient for the Members to pay their tax liabilities, the Members would have to pay such tax liabilities from other non-Company sources of cash, including the Members' own cash, "out of pocket".



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## Certain Income Tax Risks and Consequences

The following is a summary of the principal federal income tax considerations relating to the Company's anticipated treatment as a partnership for federal income tax purposes. The Company hereinafter is sometimes referred to as a partnership and a prospective purchaser of Investor Units as a Member is sometimes referred to as a partner. The following discussion is not comprehensive, and no attempt has been made in the following discussion to comment on all tax matters that may affect the partners. Each prospective purchaser should also carefully consider the income tax consequences of individual participation in the Company. It should be noted that the law, regulations, and administrative rulings with respect to federal income tax matters are subject to change at any time and from time to time by Congress, the Treasury Department and the Internal Revenue Service ("IRS"), and that interpretations of such laws and regulations now in effect are also subject to change by court decisions. Subsequent changes in the tax laws may cause the tax consequences to vary substantially from the consequences described below and may have retroactive effect. There can be no assurance that the IRS or a court will agree with the following discussion or any of the positions taken by the Company for federal income tax reporting purposes. It must be emphasized that a tax ruling has not been sought from the IRS with respect to any of the tax matters set forth in this Memorandum, nor is such a request contemplated.

**ACCORDINGLY, EACH PROSPECTIVE PURCHASER IS URGED TO CONSULT HIS OWN TAX ADVISOR WITH RESPECT TO HIS OWN TAX SITUATION, INCLUDING THE APPLICATION AND EFFECT OF STATE, LOCAL, OR FOREIGN TAX LAWS OR ANY POSSIBLE CHANGE IN THE TAX LAWS AFTER THE DATE HEREOF.**

### CLASSIFICATION AS A PARTNERSHIP

The tax and other economic benefits to be derived from a purchase of Investor Units in the Company depend, in part, upon the Company being treated as a partnership for federal income tax purposes. On the basis of the Internal Revenue Code of 1986, as amended (the "Code"), the existing and proposed regulations promulgated there under (the "Treas. Regs."), and current administrative rulings and court decisions, all of which are subject to change, the Company should be classified as a partnership for federal income tax purposes and not as an association taxable as a corporation.

If the company is classified as a partnership, then the company itself will be disregarded as a taxable entity and each item of "partnership" income, gain, loss, deduction and credit will flow through to the individual partners for inclusion in their individual income tax returns. Under the Code and the applicable Treasury Regulations, an organization which qualifies as a partnership under state law and which is not subject to taxation as a corporation under Code §7704(a) generally is classified as a partnership for federal income tax purposes if it does not elect to be classified for such purposes as a corporation. Prior to promulgation of Treasury Regulations §301.7701-2 and §301.7701-3, classification as a partnership for federal income tax purposes was dependent upon whether the organization had a preponderance of enumerated corporate characteristics. New regulations issued in 1997 simplified the classification issue. The Company's "partnership representative" will attempt to take any actions they determine are appropriate under the regulations to ensure partnership classification.[1]

[1] Following the Bipartisan Budget Act of 2015, Pub. L No. 114-74 ("BBA"), the Company must appoint by majority vote a "partnership representative," who will remain as the partnership representative until resignation or upon majority vote of the Company.



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## FEDERAL TAXATION OF A PARTNERSHIP AND ITS PARTNERS

If taxed as a partnership as we anticipate, the Company itself will not be subject to any federal income taxes. Instead, each Member will be required to take into account in computing his federal income tax liability, his distributive share of all Company income, gain, loss, deduction and credit, including items of tax preference, for the taxable year of the Company ending within or with the taxable year of the Member, whether or not he or she has received or will receive any cash distributions from the Company. Therefore, it is possible that a Member would be allocated taxable income or gain (i) even though the Member receives no cash distributions from the Company or (ii) greater than the amount of cash distributed to such Member from the Company.

The Company will file an annual partnership information income tax return reporting its operations for each fiscal year and each Member will be provided with the necessary federal income tax information to report his or her respective share of the Company items.

## ALLOCATION OF PROFITS AND LOSSES FOR TAX PURPOSES

Each Partner's distributive share of items of income, gain, loss, deduction and credit of the Company for federal income tax purposes will be determined in accordance with the allocation thereof set forth in the Company Agreement.

Net income and net loss of the Company will be generally allocated each Fiscal Year among the Members in a manner such that the Capital Account Balance of each Member immediately after making such allocations will equal as nearly as possible the Distributions that would be made to each member if the Company were dissolved, its affairs wound up, its assets sold for cash and its liabilities satisfied. This method of allocation is sometimes referred to as the "Targeted Capital Account Method." No losses will be allocated to a Member which would cause that Member's capital account to become negative.

Generally, the allocations of taxable income and loss will not differ from the Members' interests in the Company. Section 704(b) of the Code provides that an allocation which deviates from the partners' actual interests in a partnership will not be recognized for federal income tax purposes unless it has substantial economic effect. In essence, this requirement looks to whether a partner who benefits from a special allocation also bears the economic cost and risk of such allocation. The treasury regulations establish tests which examine the economic effect of an allocation and the substantiality of the effect.

To meet the economic effect test of the Treasury Regulations, the Company must (1) properly maintain its capital accounts, (2) distribute proceeds upon liquidation in accordance with the Member's capital account balances, and (3) upon the distribution of such proceeds, require the Members to restore to the Company the amount of any deficit in their capital accounts. The economic effect of an allocation is substantial under the Treasury Regulations if there is a reasonable possibility that the allocation will affect substantially the dollar amounts to be received by the Members from the Company, independent of tax consequences.

The alternate test for economic effect of the Treasury Regulations is satisfied if the Company must (1) properly maintain its capital accounts, (2) distribute proceeds upon liquidation in accordance with the Member's capital account balances, and (3) the partnership agreement contains a qualified income offset.

If these tests are not satisfied, the IRS may challenge any sharing arrangements contemplated by the Company Agreement and seek to reallocate the Members' distributive shares of tax items according to their "actual interests" in the Company.



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The "Targeted Capital Account Method" of allocation does not technically meet the aforementioned tests. However, it is believed that the allocations will be consistent with the Members' actual interests in the Company.

The determination of the Members' actual interests in the Company is an important inquiry for two related reasons. First, the presence of special allocations may or may not correspond to the true overall economic arrangements among the Members. Throughout the treasury regulations, the effect of the sharing arrangements provided for in the Company Agreement is compared to the Member's true economic relationships. Treas. Reg. §1.704-1(b)(3) provides guidance for determining the actual interests of the Members. Second, if such a comparison of allocated and actual interests leads to the conclusion that the special allocations do not accurately reflect economic reality, the same guidelines must be consulted in order to properly reallocate tax items. Under Treas. Reg. §1.704-1(b)(3), a partner's actual interest in a partnership is determined by taking into account all the facts and circumstances relating to the economic arrangements of the partners. The Members' interests are presumed to be equal unless proven otherwise. The factors to be considered in determining actual interests include (1) the Members' relative contributions to the Company, (2) the interests of the Members in economic profits and losses (if different from that in taxable income or loss), (3) the interests of the Members in cash flow and other non-liquidating distributions, and (4) the rights of the Members to distributions of capital upon liquidation. If the IRS applied these factors in a challenge of the Company's sharing arrangements, it might alter the tax consequences to the Members. It is not possible to evaluate with certainty the strength of any such possible challenge by the IRS, however, because the regulations provide little guidance with respect to the weight assigned to each of the four factors considered when determining the Member's actual interest in a partnership.

## CALCULATION OF PARTNERS' ADJUSTED TAX BASIS

The amount of any Members loss or deduction that a Member may be allowed in computing his federal income tax liability and that may be offset against his income from other sources is limited to the "adjusted tax basis" of his interest in the Company at the end of the Company's taxable year in which such loss or deduction was incurred. A Member's adjusted tax basis in his interest is determined initially by his capital contributions to the Company plus his proportionate share of nonrecourse indebtedness to which Company property is subject, limited to the fair market value of the property securing such indebtedness. The Company is not expected to have any nonrecourse indebtedness. A Member's basis will be increased by his distributive share of the Company's taxable income and decreased (but not below zero) by (i) his distributive share of the Company's distributions (including, for this purpose, his proportionate share of decreases in nonrecourse indebtedness, if any) and (ii) his distributive share of Company losses. To the extent that losses of the Company are allocated to the Members in excess of their tax basis, the losses may only be deducted by the Members in a subsequent year to the extent that their tax basis has been increased at the end of such year. If the tax basis of a Member is reduced to zero, the amount of any distributions (including any reduction in his share of nonrecourse indebtedness, if any) in excess of his share of the income reported by the Company for any year will be treated as gain from the sale or exchange of the Membership Interest.

## LIMITATION OF DEDUCTIONS TO AMOUNT AT RISK

Section 465 of the Code limits the amount of loss which a partner may deduct to the amount the taxpayer has "at risk." For the purpose of computing this limitation, the amount "at risk" is limited to the amount of money and the adjusted basis of other property the taxpayer has contributed to the particular activity and amounts borrowed for use in the activity to the extent the taxpayer is personally liable for repayment of such borrowed amount, all as calculated at the end of the taxable year. Since the Members



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will not be personally liable for the Company liabilities, their "at risk" amount will be limited to their cash contribution to the Company.

If a taxpayer's amount "at risk" is reduced below zero certain previously allowed losses will be recaptured and recognized as income. The amount recaptured will be reduced by income from the activity. A reduction in the "at risk" amount can result from the shift of recourse to nonrecourse debt, the entry into a guarantee or stop loss arrangement, or the payment of recourse liabilities from cash flow in excess of taxable income.

## PASSIVE ACTIVITY INCOME AND LOSS

Section 469 of the Code provides that losses from a passive activity cannot be used to offset other income such as salary, interest, dividends, and active business income, but may be used to offset income from passive activities. Passive activities include trade or business activities in which the taxpayer (or spouse) is not involved on a regular, continuous and substantial basis and rental activities where payments are primarily for the use of tangible property. Except as provided in the regulations, generally no interest in a partnership as a partner will be treated as an interest with respect to which a taxpayer materially participates. Thus, all losses allocated to the partners, if any, will likely be treated as losses from a passive activity.

Furthermore, except with respect to interest earned on temporary investments, any income from the partnership allocated to the partners should be treated as income from a passive activity. As such, Members with excess losses from other passive activities may be able to use those losses to offset income from the Company.

## NET INVESTMENT INCOME TAX

The Net Investment Income Tax (NIIT) is imposed by section 1411 of the Internal Revenue Code. The NIIT applies at a rate of 3.8% to certain net investment income of individuals, estates and trusts that have income above the statutory threshold amounts.

Individuals will owe the tax if they have Net Investment Income and also have modified adjusted gross income over the following thresholds:

| Filing Status | Threshold Amount |
|---|---|
| Married filing jointly | $250,000 |
| Married filing separately | $150,000 |
| Single | $200,000 |
| Head of household (with qualifying person) | $200,000 |
| Qualifying widow(er) with dependent child | $250,000 |

Modified adjusted gross income for most individuals is equal to adjusted gross income.

In general, investment income includes, but is not limited to, interest, dividends, capital gains, rental and royalty income, non-qualified annuities, income from businesses involved in trading of financial instruments or commodities and businesses that are passive activities to the taxpayer (within the meaning of section 469). To calculate Net Investment Income, investment income is reduced by certain expenses properly allocable to the income.



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To the extent that gains are not otherwise offset by capital losses, the following gains are taken into account in computing Net Investment Income: gains from the sale of interests in partnerships and S corporations (to the extent the partner or shareholder was a passive owner).

In order to arrive at Net Investment Income, Gross Investment Income is reduced by deductions that are properly allocable to items of Gross Investment Income. Examples of deductions, a portion of which may be properly allocable to Gross Investment Income, include investment interest expense, investment advisory and brokerage fees, expenses related to rental and royalty income, tax preparation fees, fiduciary expenses (in the case of an estate or trust) and state and local income taxes.

## METHOD OF DEPRECIATION AND ACCOUNTING

Generally, the Company intends to depreciate any furniture and equipment it owns using the straight-line method of depreciation over a period of 5 or 7 years depending upon the type of property. Buildings and improvements will be depreciated using a straight-line method over a period of 39 years. The Company intends to adopt a hybrid method of accounting pursuant to Treas. Reg. 1.446-1(c)(I)(iv) for both reporting and income tax purposes. Under this method, the Company will account for purchases and sales using the accrual method and all other items of income and expenses will be reported using the cash method. The Company will be leasing much of its furniture, and equipment and will determine the method for deducting such costs in accordance with the Internal Revenue Code depending on whether such leases are determined to be capital leases or operating leases.

## CERTAIN OTHER EXPENSES

The Company has incurred costs in connection with the organization of the Company and will incur additional expenses associated with offering the Investor Units. Organization expenses are those costs incident to the creation of a company that are properly capital charges and would be amortizable if the Company had an ascertainable life. These include primarily legal fees in connection with the negotiation and preparation of the Organizational Documents. The Company has elected to amortize these costs over a period of 60 months as permitted by Section 709(b) of the Internal Revenue Code. Costs attributable to the offering of membership interests may not be deducted currently. The Company has also elected to amortize certain travel, professional and other pre-developmental costs over a period of 60 months as permitted under Section 195 of the Internal Revenue Code. The amortization of expenses in this manner is not compliant with *generally accepted accounting principles* ("*GAAP"*).

## SALE OR OTHER DISPOSITION OF MEMBERSHIP (PARTNERSHIP) INTERESTS

Gain or loss realized on the sale or exchange of a membership interest in an entity taxed as a partnership owned for more than one year will generally be taxable as long-term capital gain unless the member is deemed to be a dealer in such membership interests. The gain will be measured by the difference between his adjusted cost basis for the partnership interest and the amount realized upon the sale.

For this purpose and as noted above, the Member's basis includes his share of Company liabilities, if any, with respect to which neither the Company nor any Member is personally liable. On any such sale the Member's ratable share of any such nonrecourse indebtedness is treated as the amount realized from the sale.

Gain or loss realized on the sale or exchange will be treated as ordinary income to the extent of any Section 751 property. If the Member is deemed to hold the membership interest for investment purposes (and not as a dealer) the principal item of Section 751 property would be his share of the



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depreciation which would have been recaptured as ordinary income under Section 1245 of the Code if the Company's property had been sole or exchanged in a taxable transaction. All depreciation previously claimed with respect to the Company's personal property will be subject to recapture.

## ADJUSTMENT OF COST BASIS OF COMPANY ASSETS

The Company, at the request of a Member who is transferring his membership interest but in the discretion of the Manager, may make the election permitted under Section 754 of the Code to have the cost basis of its assets adjusted (as to the transferee Member) in the case of a distribution of property or in the case of a transfer of any membership interest or portion thereof. Such election, if made, initially will affect only the transferee Member by requiring an adjustment in the basis of Company property which will reflect the difference between the cost to him of his membership interest and his proportionate share of the Company's basis for its underlying property. Once the election under Section 754 is made, it is applicable to all other transfers in that year and in subsequent years and may not be revoked without the consent of the I.R.S.

Such adjustment will not directly affect the initial Members but may produce a difference in the amount of depreciation deductions, gains, or losses on sales and other dispositions of Company property by the transferee Member, and the amount thereof reportable by the other Members. For example, if a transferee Member pays more for his membership interest than his pro-rata share of the Company's basis for its underlying property and the election is made, his depreciation deductions and losses on sales and exchanges of Company property generally will be greater than the amount reported by Members who paid less for their membership interest. Conversely, if a transferee Member pays less for his membership interest than his pro rata share of the Company's basis for its underlying property and the election is made, then his depreciation deductions and losses on sales and other dispositions of Company property generally will be less than the amount reportable by other Members.

## PRESUMPTION OF PROFIT INTENT

Section 183 of the Code provides a limitation upon deductions attributable to "an activity not engaged in for profit." If an activity is deemed not to be engaged in for profit, deductions are limited to the amount of deductions allowable without regard to whether a trade or business is being conducted (such as interest and real estate taxes) plus the amount of other deductions up to a total of the gross income derived from the activity. The determination of whether an activity is engaged in for profit is a factual determination which is based on all of the circumstances of a particular case.

## PROCEDURE FOR AUDIT OF PARTNERSHIP

The Internal Revenue Code contains special procedures for the audit of a company by the Internal Revenue Service. All such audits will be at the company level and no deficiency will be assessed against an individual partner until the correctness of any challenge by the Service to a company's tax return is determined at the administrative or judicial level.

The Manager will elect a "Partnership Representative" of the Company. It will keep all Members informed as to the status of any audit, the terms of any proposed settlement, and the procedures by which a Member may opt out of such a settlement. Any such event may result in the Company's income and therefore items of income, gain, loss and credit allocated to each of the Members being adjusted. Any such adjustment will require the Members to file amended individual returns for the years involved and may also result in an audit to each Member's individual tax returns.



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## LIQUIDATION OR TERMINATION OF THE COMPANY

Upon the termination or liquidation of the Company, gain will be recognized only to the extent that money distributed to a Member, including the reduction in each Member's share of Company liabilities, exceeds the adjusted basis of his membership interest. Losses on termination or liquidation will not be recognized unless the Member receives only money and certain unrealized receivables in distribution, and these losses will be recognized only to the extent that the money and the basis of the receivables are less than the Member's adjusted basis of his membership interest.

Generally, upon termination or liquidation of the Company, any gain or loss recognized by the Members will be capital gain or loss. However, to the extent that gain realized is attributable to Section 751 property, generally unrecognized receivables and excess depreciation deductions, the gain will be taxed as ordinary income. In addition, as discussed in "Sale or Other Disposition of Partnership Interests," a long term capital gain may, in some cases, be subject to re-characterization as ordinary income.

## ALTERNATIVE MINIMUM TAX

Potential investors are also subject to the alternative minimum tax provisions of Section 55 of the Internal Revenue Code. The tax is payable if it exceeds the regular tax otherwise payable for the year a portion of the annual depreciation on the Company's personal property will be a tax preference item. Tax preference items also include, among other things, accelerated depreciation on real property and certain personal property, certain tax-exempt bond interest and certain losses from passive trades and businesses. EACH PROSPECTIVE INVESTOR SHOULD CONSULT HIS TAX ADVISOR TO DETERMINE WHETHER HE WILL BE SUBJECT TO THE ALTERNATIVE MINIMUM TAX BEFORE HE DECIDES TO PURCHASE AN INVESTOR UNIT.

## STATE AND LOCAL INCOME TAX CONSEQUENCES

In addition to the federal income tax consequences described above, prospective purchasers should consider any state and local tax consequences of a purchase in the Company. The Company will be subject to certain margin, sales, and property taxes. Each purchaser should contact his personal tax advisor for additional information.

## PENSION PROFIT SHARING PLAN CONSIDERATION

If an interest in the Company is, at any time, acquired by a tax-exempt retirement plan or other tax-exempt entity, any taxable income realized from the Company will likely be treated as unrelated business taxable income and be subject to tax in the hands of the tax-exempt entity.

## IMPORTANCE OF OBTAINING PROFESSIONAL ADVICE

The foregoing analysis is not intended as a substitute for careful tax planning. The tax matters relating to the Company and the transactions described herein are complex and are subject to varying interpretations. Moreover, the effect of existing income tax laws and possible changes in such laws will vary with the particular circumstances of each investor. In addition, no legal opinion as to the tax consequences of an investment in the Company has been obtained by the Company. Each prospective investor should consult with and rely on his own advisors with respect to the possible tax consequences of an investment in the Company.



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## PLAN OF DISTRIBUTION

## PURCHASER SUITABILITY STANDARDS

The Investor Units offered hereby are suitable only for a purchaser (i) whose business and investment experience, either alone or together with a purchaser representative, makes the purchaser capable of evaluating the merits and risks of the prospective purchase in the Company, and (ii) who can afford to bear the economic risk of such purchase for an indefinite period and has no need for liquidity in such purchase. Each purchaser will be required to represent, among other things, that the purchaser (i) is acquiring the Investor Units for the purchaser's own account, as principal, and not with a view to resale or distribution; (ii) is aware that transfer of the Investor Units may be restricted by the Securities Act of 1933, as amended (the "Securities Act"), applicable state securities laws, the Company Agreement, and the absence of a market for the Investor Units; and (iii) has carefully read this Memorandum and all exhibits hereto and has evaluated, understands and is capable of bearing the economic risk, including the complete loss, of the purchaser's purchase (See "CERTAIN RISK FACTORS").

Each prospective purchaser will also be required to represent, among other things, that the purchaser (i) is an Accredited Investor as defined below; (ii) does not have overall commitments to purchases that are not readily marketable, and that acquisition of Investor Units will not cause such overall commitment to become disproportionate to the purchaser's net worth; (iii) has adequate net worth and means to sustain a complete loss of the purchase in the Company and has no need for liquidity in the purchase in the Company; and (iv) has evaluated the risks of purchasing Investor Units in the Company. The Company may refuse to admit any prospective purchaser who does not meet the suitability standards or for any other reason or no reason.

This offering is intended to be conducted as a private placement under Section 4(a)(2) of the Securities Act and will be made primarily to "Accredited Investors" as that term is defined in Rule 501(a) of Regulation D promulgated under the Securities Act (individually an "Accredited Investor" and collectively the "Accredited Investors"), and a limited number of investors who are not "Accredited Investors". The Company will be relying on the exemption from securities registration found in Rule 506(b) of Regulation D promulgated under the Securities Act.

Each purchaser must meet at least one of the following requirements to qualify as an "Accredited Investor":

i. The purchaser is a natural person whose net worth (i.e., total assets in excess of total liabilities), individually or jointly with spouse, exceeds $1,000,000 (exclusive of the value of the purchaser's primary residence); or

ii. The purchaser is a natural person whose personal income exceeded $200,000 (or joint income with such purchaser's spouse exceeded $300,000) for each of the past two years and who reasonably expects the same level of income for the current year; or

iii. The purchaser is a trust with total assets in excess of $5,000,000 not formed for the specific purpose of acquiring a Investor Unit and whose purchase is directed by a sophisticated person as described in Rule 506(b)(2)(ii) of Regulation D; or



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iv. The purchaser is an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986, a corporation, a Massachusetts or similar business trust or a Company, not formed for the specific purpose of acquiring an Investor Unit, with total assets in excess of $5,000,000.00; or

v. The purchaser is a bank, savings and loan association or any other institution defined in Section 3(a)(5)(A) of the Securities Act acting in its individual or fiduciary capacity, a registered broker or dealer, an insurance company, a registered purchase company, a business development company, a licensed Small Business Investment Company, an employee benefit plan (if the purchase decision is made by a plan fiduciary which is either a bank, savings and loan association, insurance company or registered purchase advisory or if the employee benefit plan has total assets in excess of $5,000,000) or, if a self-directed plan, with purchase decisions made solely by persons who are Accredited Investors, or a private business development company; or

vi. The purchaser is an entity (e.g. a corporation, company, partnership, or trust) all of the owners of which meet the requirements of categories i, ii, iii, iv, or v above.

Unless the Company is satisfied that a prospective purchaser meets the Accredited Investor standards or general requirements listed above, or any other requirement that the Company chooses to establish, no subscription will be accepted from such prospective purchaser.

## SUBSCRIPTION PROCEDURES

Each prospective purchaser is being furnished with a copy of this Memorandum (including all exhibits hereto) together with a separate subscription package, which includes execution copies of the documents described below. Each prospective purchaser who decides to subscribe for Investor Units is required to follow the procedures set forth below.

Upon reaching a decision to purchase, each purchaser may subscribe for Investor Units in the manner described as follows:

(i) deliver to the Company at the address or email address set forth below a completed Subscription Agreement (in the form attached hereto as **Exhibit "C"**) setting forth the number of Investor Units subscribed for by such purchaser delivered to the addresses or email address set forth below; and

(ii) a wire to the Company's bank account, or check, for the full amount of the subscribed Investor Units.

*[Remainder of page intentionally left blank.]*



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For wire transfer instructions, contact us via email or phone.

**Stow Stuff Storage, LLC**
Attention: Collective Storage Partners, LLC, Manager
c/o CzechMex Properties, LLC
13492 Research Blvd., Suite 120-152
Austin, Texas 78750-2254

Email: czechmexproperties@gmail.com
Ph: (512) 850-5274

Mr. Douglas Chojecki, Manager

Ms. Sonja Kapavik, Manager

Mr. Dennis McQueen, Manager

The Subscription Agreement, a form of which is attached hereto as **Exhibit "C"**, requires the purchaser to make certain representations, warranties and covenants, including a representation that such purchaser is acquiring Investor Units for his or her own account and not with a view to the distribution thereof in any transaction that would violate federal or state securities laws.

Each purchaser also will agree not to sell, transfer, pledge, hypothecate or otherwise dispose of any interest in the Company except in accordance with the Company Agreement and either pursuant to an effective registration statement under the Securities Act and applicable state securities laws or pursuant to an available exemption from registration there under. See "CERTAIN RISK FACTORS - ILLIQUIDITY". No purchaser will have the right to require registration of the Investor Units under the Securities Act and such registration is not contemplated.

The Company reserves the right, at its sole discretion, to reject for any reason any subscription in whole or in part or to allocate to any prospective purchaser less than the number of Investor Units subscribed for by such purchaser.



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## Additional Documentation and Information

The Company intends to make available such additional information as the offeree reasonably requests and to afford offeree the opportunity to ask questions of and receive answers from the Company to the extent the Company possesses such information or can acquire it without unreasonable effort or expense.

Inquiries to the Company should be made to the Company's Manager at the following address and contact information:

**Stow Stuff Storage, LLC**
Attention: Collective Storage Partners, LLC, Manager
c/o CzechMex Properties, LLC
13492 Research Blvd., Suite 120-152
Austin, Texas 78750-2254

Email: czechmexproperties@gmail.com
Ph: (512) 850-5274

Mr. Douglas Chojecki, Manager

Ms. Sonja Kapavik, Manager

Mr. Dennis McQueen, Manager



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**Exhibit "A"**
**Investment Summary**

**[See following pages.]**



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**Exhibit “B”**

**Company Agreement**



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**Exhibit “C”**

**Subscription Agreement**



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**COMPANY AGREEMENT**

**OF**

**STOW STUFF STORAGE, LLC**

Effective Date: October 6, 2026

THE MEMBERSHIP INTERESTS IN THE COMPANY GOVERNED BY THIS COMPANY AGREEMENT HAVE BEEN ACQUIRED FOR INVESTMENT AND HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED (THE "SECURITIES ACT") OR THE SECURITIES LAWS OF ANY STATE. WITHOUT SUCH REGISTRATION, THESE SECURITIES MAY NOT BE SOLD OR OTHERWISE TRANSFERRED, EXCEPT UPON DELIVERY TO THE COMPANY OF AN OPINION OF COUNSEL SATISFACTORY TO THE COMPANY THAT REGISTRATION IS NOT REQUIRED FOR TRANSFER, AND THAT THE TRANSFER IS NOT IN VIOLATION OF THE SECURITIES ACT OR ANY APPLICABLE STATE SECURITIES LAWS. THE SALE OR OTHER TRANSFER OF SUCH MEMBERSHIP INTERESTS IS ALSO SUBJECT TO THE RESTRICTIONS SET FORTH IN ARTICLE IX OF THIS COMPANY AGREEMENT.

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# COMPANY AGREEMENT

# OF

# STOW STUFF STORAGE, LLC

This COMPANY AGREEMENT is hereby adopted as the limited liability company agreement of Stow Stuff Storage, LLC, a Texas limited liability company, and is hereby executed, ratified, confirmed and approved for good and valuable consideration by its Members to be effective as of [_____], 2026.

## ARTICLE I

## DEFINITIONS

Section 1.1. Terms Defined. When used in this Agreement, the following terms shall have the meanings set forth below:

"Acquisition Fee" shall have the meaning given such term in Section 4.12(a).

"Additional Units" shall have the meaning given such term in Section 3.2(c)(i).

"Adjusted Capital Account Deficit" means, with respect to any Member, the deficit balance, if any, in such Member's Capital Account as of the end of the relevant fiscal year or other period, after giving effect to the following adjustments: (a) any amounts that such Member is, or is deemed to be, obligated to restore pursuant to Section 1.704-1(b)(2)(ii)(c) of the Treasury Regulations, the penultimate sentence of Section 1.704-2(g)(1) of the Treasury Regulations, or the penultimate sentence of Section 1.704-2(i)(5) of the Treasury Regulations, shall be credited to such Capital Account; and (b) the items described in Sections 1.704-1(b)(2)(ii)(d)(4), (5), and (6) of the Treasury Regulations shall be debited to such Capital Account. For these purposes, no Member who has an unconditional obligation to restore any deficit balance in his Capital Account in accordance with the requirements of Section 1.704-1(b)(2)(ii)(b)(3) of the Treasury Regulations shall have an Adjusted Credit Account Deficit. The foregoing definition of Adjusted Capital Account Deficit is intended to comply with the provisions of Section 1.704-1(b)(2)(ii)(d) of the Treasury Regulations and shall be interpreted consistently therewith.

"Affiliate" shall mean a Person (i) which is directly or indirectly, through one or more intermediaries, controlling, controlled by, or under common control with the Person in question, or (ii) in which the Person in question is a manager, officer, director or has a financial interest. The term "control," as used in the immediately preceding sentence, means, with respect to an entity that is a corporation, the right to exercise, directly or indirectly, more than fifty percent (50%) of the voting rights attributable to the shares of such corporation and, with respect to a Person that is not a corporation, the possession, directly or indirectly, of the power to direct or cause the direction of the management or policies of such Person.

"Agreement" means this Company Agreement, including Schedule "A", as originally executed and as subsequently amended from time to time.

"Asset Management Fee" shall have the meaning given such term in Section 4.12(b).

"Bona Fide Offer" shall have the meaning set forth in Section 9.4(a).

"Business Day" means any day on which banks are open for business in Austin, Texas, other than weekend days.

"Capital Account" shall have the meaning set forth in Section 3.4.

"Capital Contribution" shall mean cash and the fair market value of any property other than cash (net of liabilities the Company assumes or to which the property is subject) that is contributed to the capital of the Company by the Members, as set forth in the Member's Subscription Agreement.

"Cash Flow" shall mean, for the period in question, the amount by which (a) the aggregate cash receipts of the Company from any source (including loans) exceed the (b) sum of (i) the cash expenditures of the Company plus (ii) a cash reserve in the amount determined by the Manager to be sufficient to meet the working capital requirements of the Company, including current operating expenses, debt payment, capital improvements, and replacements, and (iii) estimated reserves for contingent liabilities, expenses and costs.

"Certificate" shall mean the Certificate of Formation filed on behalf of the Company with the Texas Secretary of State in accordance with all applicable statutes.

"Class A Member" shall mean a Member of the Company holding Class A Units, designated as such on the signature page of this Agreement and on Schedule "A", as may be amended from time after the Effective Date.

"Class A Preferred Return" shall mean an amount equal to Seven Percent (7%) per annum, based on 365 or 366 days, as the case may be, for the actual number of days in the period for which the Class A Preferred Return is being determined, cumulative but not compounded, of the average daily balance of the Unreturned Capital Contributions of the Class A Members from time to time following the date that each Class A Member purchases one or more Class A Units.

"Class A Unit" shall mean a Unit of the Company's Membership Interests held by a Class A Member having the rights and preferences as set forth herein and designated as such on Schedule "A".

"Class B Member" shall mean a Member of the Company holding Class B Units, designated as such on the signature page of this Agreement and on Schedule "A", as may be amended from time after the Effective Date.

"Class B Unit" shall mean a Unit of the Company's Membership Interests held by a Class B Member having the rights and preferences as set forth herein and designated as such on Schedule "A".

"Closing" shall have the meaning given such term in Section 3.2(b).

"Code" shall mean the Internal Revenue Code of 1986, as amended.

"Company" shall mean Stow Stuff Storage, LLC, a Texas limited liability company created pursuant to the Certificate and governed by this Agreement.

"Disposition Fee" shall have the meaning given such term in Section 4.12(e).

"Dispute" shall have the meaning given such term in Section 11.9(a).

"Dispute Notice" shall have the meaning given such term in Section 11.9(a)(i).

"Effective Date" means the date first set forth above.

"Electing Member" shall have the meaning in Section 3.2(c).



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"Fair Market Value" shall have the meaning set forth in Section 9.5(c).

"Final Closing" shall have the meaning given such term in Section 3.2(b).

"Fiscal Quarter" means any one (1) of the four (4) three-month periods ending on March 31, June 30, September 30, and December 31 of each calendar year, that constitute the Company's Fiscal Year.

"Fiscal Year" means the period commencing on January 1 of each year and ending on December 31 of such year.

"Governmental Authority" means any federal, state, local or foreign government or political subdivision thereof, or any agency or instrumentality of such government or political subdivision, or any self-regulated organization or other non-governmental regulatory authority or quasi-governmental authority (to the extent that the rules, regulations or orders of such organization or authority have the force of law), or any arbitrator, court or tribunal of competent jurisdiction.

"Initial Closing" shall have the meaning given such term in Section 3.2(b).

"Liquidating Event" shall mean the sale, merger, condemnation or exchange of all or substantially all of the assets of the Company, or other transaction which, individually or together with any similar transaction or transactions, results in the disposition of all or substantially all of the assets of the Company and occurs in the course of liquidation of the Company or upon and with respect to which event the Company is wound up and all payments, including payments on any promissory notes, have been received.

"Liquidator" shall be the Person specified in Section 10.2(b).

"Majority of the Managers" shall mean (i) in determining whether a quorum exists at a meeting of the Managers, a majority in number of all of the Managers, and (ii) at a properly called meeting at which a quorum of Managers is present, a majority in number of the Managers present at such meeting.

"Majority in Membership Interests" shall mean Members owning more than one half (1/2), or fifty percent (50%), of the Membership Interests of a specific class.

"Managers" initially shall mean such Persons, whether one or more, as may be appointed to the position of manager of the Company in accordance with the provisions of this Agreement.

"Member" shall mean Members, any transferees of Membership Interests, and any new Members admitted to the Company pursuant to Article IX.

"Membership Interest" shall mean a Member's interest set forth opposite such Member's name on Schedule "A" attached hereto, in the income, gains, losses, deductions, tax credits, voting rights and distributions of the Company, in each case as may be affected by the provisions of this Agreement. Membership Interests of the Company shall be denominated in Units, and shall be divided into Class A Units and Class B Units.

"Non-Selling Members" shall have the meaning set forth in Sections 9.4(b) and 9.5(b).

"Non-Selling Member Units" shall have the meaning set forth in Section 9.4(c).

"Notification" means a writing containing any information required by this Agreement to be communicated to any Person, which may be personally delivered, sent by registered or certified mail,



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postage prepaid, or sent by email transmission, to such Person, at the last known address of such Person on the Company records. Any such Notification shall be deemed to be given (i) when delivered, in the case of personal delivery, (ii) five (5) Business Days following the date on which it is deposited in a regularly maintained receptacle for the deposit of United States mail, addressed and sent as aforesaid, in the case of mail, and (iii) three (3) Business Days after confirmed receipt by the addressee, in the case of email transmission. Any communication containing information sent to any Person other than as required by the foregoing sentences, but which is actually received by such Person, shall constitute Notification as of the date of such receipt for all purposes of this Agreement.

"Offering Memorandum" means that Confidential Private Placement Memorandum to which this Agreement is attached as an exhibit.

"Officer" shall mean an individual appointed by the Managers pursuant to Section 4.11(a) to be an officer of the Company.

"Operations" shall mean all activities arising in the ordinary course of the Company's business not constituting a Liquidating Event.

"Participating Members" shall have the meaning set forth in Section 9.5(b).

"Permitted Transfers" shall have the meaning set forth in Section 9.2.

"Permitted Transferee" shall mean a person to whom a Membership Interest was transferred under a Permitted Transfer.

"Person" shall mean an individual, partnership, joint venture, corporation, trust, limited liability company, estate or other legal entity or organization.

"Proceeding" shall have the meaning set forth in Section 6.2(d).

"Project Management Fee" shall have the meaning set forth in Section 4.12(d).

"Property" shall mean that certain two-property, 472-unit self-storage portfolio (approximately 54,900 net rentable square feet) having addresses of 214 16th Street, Huntsville, Texas 77340 and 7059 State Highway 75 South, Huntsville, Texas 77340, known as "Stow Stuff Storage"and as further described in the Offering Memorandum.

"Property Management Fee" shall have the meaning set forth in Section 4.12(c).

"Purchase Event" shall have the meaning set forth in Section 9.5(a), including those Transfers identified as Purchase Events in subsections (b) through (g) of the definition of Transfer below.

"Purchase Price" shall have the meaning set forth in Section 9.5(b).

"Purchase Price Payment" shall have the meaning set forth in Section 9.5(b).

"ROFR Notice" shall have the meaning set forth in Section 9.4(a).

"ROFR Period" shall have the meaning set forth in Section 9.4(c).

"Section" shall mean any section or subsection in this Agreement.



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"Selling Member" shall have the meaning set forth in Sections 9.4(a) and 9.5(b).

"Subscription Agreement" shall mean that certain agreement entered into by and between the Company and each person subscribing for Units and attached to the Offering Memorandum as an exhibit.

"TBOC" shall mean the Texas Business Organizations Code.

"Transfer" shall mean any change in the record ownership of a Membership Interest, whether made voluntarily or involuntarily by operation of law, including, but not limited to, the following:

(a) A sale or gift to any Person other than a Permitted Transfer;

(b) A general assignment for the benefit of creditors, or any assignment to a creditor resulting from the creditor's foreclosure upon or execution against such Membership Interest (which shall be a Purchase Event);

(c) The filing by the transferor Member of a voluntary bankruptcy petition (which shall be a Purchase Event); or

(d) The entry of a judicial order granting the relief requested by the petitioner in an involuntary bankruptcy proceeding filed against the transferor Member (which shall be a Purchase Event).

"Unit" means a unit-denominated Membership Interest representing a fractional part of the Membership Interests of all of the Members, and shall include all types and classes of Units, including the Class A Units and the Class B Units; *provided*, *that* any type or class of Unit shall have the privileges, preference, duties, liabilities, obligations and rights set forth in this Agreement.

"Unreturned Capital Contribution" shall mean with respect to any Member, the sum of all Capital Contributions made by such Member reduced by all distributions to such Member pursuant to Section 7.2 and Section 7.4.

Section 1.2. Number and Gender. Whenever the context requires, references in this Agreement to the singular number shall include the plural, and the plural number shall include the singular, and words denoting gender shall include the masculine, feminine and neuter.

## ARTICLE II

## GENERAL

Section 2.1. Name. The business of the Company shall be conducted under the name "Stow Stuff Storage, LLC."

Section 2.2. Registered Office; Registered Agent. The registered office and registered agent of the Company in the State of Texas shall be as specified in the Certificate or as designated by the Managers in the manner provided by applicable law. The offices of the Company shall be at such places as the Managers may designate, which need not be in the State of Texas.

Section 2.3. Term. The Company shall continue until dissolved pursuant to Section 10.1.



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Section 2.4. No State-Law Partnership. No provisions of this Agreement shall be deemed or construed to constitute the Company as a partnership or joint venture, or any Member or Manager as a partner or joint venturer of any other Member or Manager, for any purposes other than federal and state tax purposes.

Section 2.5. Purpose of the Company. The purpose of the Company shall be to transact any and all other lawful business for which limited liability companies may be formed under the TBOC; provided however, that the Company will not acquire, own, hold, lease, operate, manage, maintain, develop or improve any assets other than the Property and such personalty as may be necessary for the operation of the Property and will conduct and operate its business as presently conducted and operated.

## ARTICLE III

## CAPITAL CONTRIBUTIONS; LOANS; MEMBERSHIP INTERESTS

Section 3.1. Capital Contributions. The Class A Members shall make initial Capital Contributions to the Company in the amounts set forth in each Member's Subscription Agreement. The Class B Member has made Capital Contributions to the Company as set forth in the Company's books and records.

Section 3.2. Members; Membership Interests.

(a) Schedule "A" attached hereto shall list the identity of the Members and the number and class of Units held by each. Schedule "A" shall be amended from time to time following the Company's sale and issuance of the Class A Units.

(b) The Company authorizes the sale and issuance of a total of Two Million Two Hundred Thousand (2,200,000) of its Membership Interests denominated as "Units". The Units shall be sold and issued in two (2) classes: Class A Units; and Class B Units. The Company may sell up to One Million Two Hundred Thousand (1,200,000) Class A Units. The per Unit purchase price of each Class A Unit is One Dollar ($1.00). None of the Class A Units have been sold as of the date hereof. One Million (1,000,000) Class B Units have been authorized for sale hereby. The Class B Units shall be sold and issued to the Manager and its Affiliates. The Class B Units shall be the sole voting Membership Interests of the Company, and the Class A Units shall have no voting rights except as expressly provided in this Agreement. The Company's Class A Units shall be sold and issued pursuant to Subscription Agreements completed by the Members following each Member's payment of the purchase price for the Units subscribed, and the Manager's acceptance of the Member's subscription for an investment in the Class A Units. The minimum that may be accepted from any purchaser of Class A Units is Fifty Thousand Dollars ($50,000) for Fifty Thousand (50,000) Class A Units, subject to the Manager's discretion to accept a lesser amount. The initial closing ("Initial Closing") of the Company's sale and issuance of its Class A Units shall occur upon the Company's receipt of sufficient consideration in exchange for the Company's sale and issuance of Class A Units for the Company to commence the implementation of its investment objectives as described in the Offering Memorandum as the Manager shall determine in its reasonable discretion. Following the Initial Closing and thereafter, all investment proceeds received by the Company in exchange for the Class A Units sold shall be immediately available for the Company's use. Following the Initial Closing, the Company may sell and issue additional Class A Units in one or more additional closings (each, a "Closing") in its discretion thereafter. The Company shall hold the final closing (the "Final Closing") on the earliest of (i) the date that the Company sells all of the Class A Units; or (ii) the date the Company elects to hold the Final Closing without selling all of the Class A Units.



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(c) The Company may sell and issue additional Membership Interests (in addition to those authorized under Section 3.2(b)), and admit additional Members of the Company, in the manner described as follows:

(i) In the event that the Manager shall have authorized the offering for sale and issuance of additional Membership Interests (the "Additional Units") and the admission of one or more additional Members, such sale only may be made, and the admission of the additional Member(s) shall become effective only in accordance with the provisions of this Section 3.2(c).

(ii) Upon the Manager's authorization of Additional Units, the Company shall provide notice to each Member setting forth the material terms and conditions of the Additional Units, and thereafter, each Member shall have the right to purchase that percentage of the Additional Units equal to the number of Units held by such Member divided by the total number of Units held by all Members. Each Member shall notify the Company whether the Member will exercise the pre-emptive right set forth herein with respect to the Additional Units within ten (10) days following the Company's notice. Any Additional Units not so purchased (the "Shortfall Units") shall be reallocated among the Members (each, an "Electing Member") exercising their right to purchase the number of Additional Units such Member is entitled to purchase. In such event, the percentage of the Shortfall Units that each Electing Member is entitled to purchase is the percentage determined by dividing the number of Units held by each Electing Member by the total number of Units held by all of the Electing Members. In the event that any Electing Member subsequently elects not to purchase the number of Shortfall Units pursuant to the foregoing formula, such Electing Member shall be excluded from participating in the purchase of the Shortfall Units, and the Shortfall Units that such Electing Member shall have been entitled to purchase shall be reallocated among the Electing Members electing to purchase their maximum number of Shortfall Units pursuant to the formula described in the preceding sentence. In the event that the Members determine that they do not wish to purchase all of the Additional Units being offered, the Company may sell and issue all remaining Shortfall Units to a third party on the same terms set forth in the notice.

(iii) Prior to the admission of any additional Member to the Company, the proposed additional Member shall execute this Agreement as a Member and shall agree to be bound by the terms and conditions hereof. Further, the proposed additional Member shall agree to execute such additional documents and instruments as the Company may reasonably request (including, without limitation, amendments to the Certificate) as may be necessary or appropriate to confirm such proposed additional Member as a Member in the Company. Upon the admission of an additional Member as a Member of the Company, Schedule "A" of this Agreement shall be amended to reflect the admission of the additional Member and the respective Membership Interests of all of the Members.

(iv) Any new Member shall pay or reimburse the Company for all reasonable legal, filing, and publication costs that the Company may incur in connection with the admission of the new Member as a Member of the Company.

Section 3.3. Additional Capital Contributions. Except as provided in Article VII, no Member shall have any obligation to make any additional Capital Contributions to the Company.

Section 3.4. Capital Accounts. The Company shall establish and maintain a capital account ("Capital Account") for each Member in accordance with Section 704(b) of the Code and Treasury



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Regulations Section 1.704-1(b)(2)(iv). Except as otherwise provided in this Agreement, the Capital Account balance of each Member shall be credited (increased) by (i) the amount of cash contributed by such Member to the capital of the Company, (ii) the fair market value of property contributed by such Member to the capital of the Company (net of liabilities secured by such property that the Company assumes or takes subject to under Code Section 752), and (iii) such Member's allocable share of Company income and gain (or items thereof) including income and gain exempt from federal taxation and income and gain attributable to adjustments to reflect book value pursuant to Treasury Regulations Section 1.704-1(b)(2)(iv)(g), but excluding income and gain attributable to tax items which differ as a result of the revaluation of Company property as described in Treasury Regulations Section 1.704-1(b)(4), and the Capital Account balance of each Member shall be debited (decreased) by (i) the amount of cash distributed to such Member, (ii) the fair market value of property distributed to such Member (net of liabilities secured by such property which the Member assumes or takes subject to under Code Section 752), (iii) such Member's allocable share of expenditures of the Company described in Code Section 705(a)(2)(B), and (iv) such Member's allocable share of Company losses, depreciation and other deductions (or items thereof) including loss and deduction attributable to adjustments to reflect book value pursuant to Treasury Regulations Section 1.704-1(b)(2)(iv)(g) but excluding expenditures described in (iii) above and loss or deduction attributable to tax items which differ as a result of the revaluation of Company property or excess percentage depletion as described in Treasury Regulations Section 1.704-1(b)(4)(i) and (ii). Notwithstanding the foregoing, a Member's Capital Account shall not be adjusted to reflect gain or loss attributable to the disposition of property contributed by such Member to the extent such Member's Capital Account reflected such inherent gain or loss in the property on the date of its contribution to the Company.

Section 3.5. Member Loans. A Member, or an Affiliate of a Member, may, but is not obligated to, loan or cause to be loaned to the Company such additional sums as the Managers deem appropriate or necessary for the conduct of the business of the Company. Loans made by a Member or an Affiliate of a Member, shall be upon such terms and for such maturities as the Managers shall deem reasonable in view of all the facts and circumstances and the repayment of which may be designated in priority to distributions of Cash Flow. An advance by a Member constitutes a loan from that Member to the Company and is not a capital contribution unless otherwise agreed between that Member and the Company, and approved by the Managers.

Section 3.6. Other Matters Relating to Capital Contributions.

(a) No Member shall be entitled to withdraw, or to obtain a return of, any part of its contribution to the capital of the Company, or to receive property or assets other than cash in return thereof, and no Member shall be liable to any other Member for a return of its contributions to the capital of the Company, except as provided in this Agreement.

(b) No Member shall be entitled to priority over any other Member, either with respect to a return of its contributions to the capital of the Company, or to allocations of taxable income, gains, losses or credits, or to distributions, except as provided in this Agreement.

(c) No interest shall be paid on any Member's Capital Contribution.

Section 3.7. Deficit Capital Account Balances. Upon liquidation of the Company, no Member with a deficit balance in his Capital Account shall have any obligation to restore such deficit balance, or to make any contribution to the capital of the Company.

Section 3.8. Certification of Units.



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(a) The Managers in their sole discretion may, but shall not be required to, issue certificates to the Members representing the Units held by such Member.

(b) In the event that the Company shall issue certificates representing Units in accordance with Section 3.8(a), then in addition to any other legend required by applicable law, all certificates representing issued and outstanding Units shall bear a legend substantially in the following form:

THE UNITS REPRESENTED BY THIS CERTIFICATE ARE SUBJECT TO A LIMITED LIABILITY COMPANY AGREEMENT AMONG THE COMPANY AND ITS MEMBERS, A COPY OF WHICH IS ON FILE AT THE PRINCIPAL EXECUTIVE OFFICE OF THE COMPANY, AND A COPY OF WHICH WILL BE SUPPLIED AT NO CHARGE TO THE RECORD HOLDER. NO TRANSFER, SALE, ASSIGNMENT, PLEDGE, HYPOTHECATION OR OTHER DISPOSITION OF THE UNITS REPRESENTED BY THIS CERTIFICATE MAY BE MADE EXCEPT IN ACCORDANCE WITH THE PROVISIONS OF SUCH LIMITED LIABILITY COMPANY AGREEMENT.

THE UNITS REPRESENTED BY THIS CERTIFICATE HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, OR UNDER ANY OTHER APPLICABLE SECURITIES LAWS AND MAY NOT BE TRANSFERRED, SOLD, ASSIGNED, PLEDGED, HYPOTHECATED OR OTHERWISE DISPOSED OF EXCEPT (A) PURSUANT TO A REGISTRATION STATEMENT EFFECTIVE UNDER SUCH ACT AND LAWS, OR (B) PURSUANT TO AN EXEMPTION FROM REGISTRATION THEREUNDER.

Section 3.9. Reimbursement For Organizational Expenses. The Manager shall be reimbursed from Capital Contributions of the Members for certain expenses related to the organization of the Company and pursuit of its investment strategy and business plan as set forth in the Offering Memorandum. Reimbursement of organizational expenses shall be paid prior to any distributions to Members and shall be deducted prior to arriving at the Company's Cash Flow. Such sums shall be payable to the Manager in addition to and not in lieu of the sums to which the Manager or its Affiliates may also entitled by virtue of being a Member in the Company.

## ARTICLE IV

## MANAGEMENT BY MANAGERS

Section 4.1. Managers. The Company's Manager shall have authority to manage the Company's business affairs. The Manager shall be elected by the Class B Member in accordance with Article V. The Class A Members shall have no right to select or remove the Manager of the Company. Managers need not be residents of the State of Texas or Members of the Company. Notwithstanding any other provision contained in this Agreement, the Manager, by vote of a Majority of the Managers, may delegate any of the powers of the Manager contained in Section 4.3, or any other powers, to a third person. Such delegated powers may be revoked at any time in the same manner as they are delegated.

Section 4.2. Number and Tenure. There initially shall be One (1) manager who shall serve as the sole Manager of the Company until any successors are qualified and duly elected. The initial Manager of the Company is Collective Storage Partners, LLC, a Texas limited liability company. The number of Managers may be increased or decreased from time to time by action of the Managers or the Members, provided that no decrease shall have the effect of shortening the term of any incumbent Manager. Unless sooner removed in accordance with this Agreement, Managers shall hold office until the Members' next



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annual meeting and until their successors have been elected and qualified. Members entitled to vote in the election of Managers shall elect Managers to hold office until the next succeeding annual meeting.

Section 4.3. Powers of Managers. The Managers shall have full, complete, and exclusive power to manage and control the Company, and shall have the authority to take any action they deem to be necessary, convenient, or advisable in connection with the management of the Company.

Section 4.4. Resignation and Removal. Any Manager may resign at any time. Such resignation shall be made in writing and shall take effect at the time specified therein or, if no time be specified, at the time of its receipt by the other Managers. Any and all Managers may be removed at any special meeting of Members by the affirmative vote of a Majority in Membership Interests of the Class B Members and a final adjudication by a court of competent jurisdiction that the Manager has committed a material breach of its obligations as the Manager under this Agreement or has engaged in any act of willful misconduct or fraud, provided that the Company shall have first obtained the release of all Managers and their Affiliates from any and all personal guarantees or obligations undertaken by any Manager or Affiliate for the benefit of the Company.

Section 4.5. Vacancies. Any vacancy may be filled by the affirmative vote of a Majority in Membership Interests of the Class B Members. A Manager elected to fill a vacancy shall be elected for the unexpired term of his or her predecessor. Any vacancy occurring in the Managers to be filled by reason of an increase in the number of Managers may be filled by the Managers for a term of office continuing only until the next election of one or more Managers by the Members or may be filled by election at a Member annual or special meeting called for that purpose.

Section 4.6. Regular Meetings. The Managers may designate times to conduct regular meetings to discuss the Company's regular business affairs and other matters deemed necessary or advisable in the pursuit of the Company's purposes. No notice of regular meetings for which the Managers have designated a time need be given to Managers.

Section 4.7. Special Meetings. Special meetings of the Managers may be held at any time upon the call of any Company Manager. Notice of the time, place, and purpose of such meeting shall be delivered to each Manager not less than 10 days nor more than 60 days before the meeting. Notice of the time, place, and purpose of such meeting may be waived in writing before or after such meeting, and shall be equivalent to the giving of notice. Attendance of a Manager at such meeting shall also constitute a waiver of notice thereof, except where such Manager attends for the express purpose of objecting to the transaction of any business on the ground that the meeting is not lawfully called or convened. Any business to be transacted at any special meeting of the Managers shall be confined to the purposes specified in the notice or waiver of notice of such special meeting.

Section 4.8. Place of Meeting. Manager meetings may be held either within or without the State of Texas, at whatever place is specified in the call of the meeting. In the absence of specific designation, the meetings shall be held at the Company's registered office. The Managers may appoint from among themselves a Chairman who shall preside at the meetings.

Section 4.9. Quorum. At all meetings of the Managers, the presence of a Majority of the Managers shall be necessary and sufficient to constitute a quorum for the transaction of business, and the act of a Majority of the Managers present at any meeting at which there is a quorum shall be the act of the Managers, except as may be otherwise specifically provided by statute, the Certificate or this Agreement. If a quorum shall not be present at any meeting of Managers, the Managers present thereat may adjourn the meeting, without notice other than announcement at the meeting, until a quorum shall be present.



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Section 4.10. Action Without Meeting; Telephone Meetings.

(a) Any action required or permitted to be taken at a meeting of the Managers or members of any committee designated by the Managers may be taken without a meeting if a consent in writing, setting forth the action so taken, is signed by all of the Managers or members of the committee, as the case may be. Such consent shall have the same force and effect as a unanimous vote at a meeting.

(b) Subject to applicable notice provisions and unless otherwise restricted by the Certificate, the Managers, or members of any committee designated by the Managers, may participate in and hold a meeting by means of conference telephone or similar communications equipment by means of which all persons participating in the meeting can hear each other, and participation in such meeting shall constitute presence in person at such meeting, except where a person's participation is for the express purpose of objecting to the transaction of any business on the ground that the meeting is not lawfully called or convened.

Section 4.11. Officers.

(a) Officers of the Company may be appointed by the Managers. The Managers may appoint a President, one or more Vice Presidents, a Secretary, a Treasurer and any other Officer or assistant Officers as they deem appropriate. Any two (2) or more offices may be held by the same person. Each Officer shall be appointed for such term and shall exercise such powers, perform such duties and have such authority as determined from time to time by the Managers.

(b) The following Officers of the Company, if appointed, shall have such powers and duties, except as modified by the Managers, as generally pertain to their offices, respectively, as well as such powers and duties as from time to time shall be conferred by the Managers and by this Agreement:

(i) President. The President of the Company, subject to the control of the Managers, shall have the responsibility for the general direction of the affairs of the Company, and general supervision over its other officers, responsibility for the general direction of the operational affairs of the Company, and general overall responsibility for the day-to-day operations of the Company. The President may sign in the name of the Company (1) all contracts or other instruments authorized by the Managers and (2) all contracts or instruments in the usual and regular course of business of the Company, except in cases where the signing thereof shall be expressly delegated by the Managers or by this Agreement to some other officer or agent of the Company or when the Managers shall have expressly provided that the President shall not have such authority. In addition, the President shall perform all duties incident to the office of chief executive officer and such other duties as from time to time may be assigned to him or her by the Managers or as prescribed by this Agreement.

(ii) Vice Presidents. At the request of the President, or in his or her absence or disability, the Vice Presidents, in the order of their election, shall perform the duties of the President, and, when so acting, shall have all the powers of, and be subject to all restrictions upon, the President. The Vice Presidents shall perform such duties as may from time to time be assigned to them by the Managers or the President.

(iii) Secretary. The Secretary shall keep the minutes of all meetings of the Members and Managers and shall have general charge of such books and records of the



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Company as the Managers may direct, and in general shall perform all duties and exercise all powers incident to the office of Secretary and such other duties and powers as the Managers or the President may from time to time assign to or confer on the Secretary.

(c) Each Officer of the Company shall hold office until his successor is chosen and qualified in his stead or until his death or until his resignation or removal from office. Any Officer appointed by the Managers may be removed either with or without cause by the Managers, but such removal shall be without prejudice to the contract rights, if any, of the individual so removed. If the office of any Officer becomes vacant for any reason, the vacancy may be filled by the Managers.

Section 4.12. Manager Fees. The Company shall pay to the Manager (and such persons as the Manager may direct) the following compensation as Company expenses:

(a) Acquisition Fee. The Company shall pay the Manager an acquisition fee (the "Acquisition Fee") at the closing of the Company's purchase of the Property equal to Three Percent (3%) of the Property purchase price;

(b) Asset Management Fee. The Company shall pay the Manager an asset management fee (the "Asset Management Fee") equal to Three Percent (3%) of gross revenues derived from the Property, which amount shall be paid monthly in arrears;

(c) Property Management Fee. The Company initially has engaged the Manager to serve as property manager of the Property, unless and until a third-party property manager is engaged, and shall pay a property management fee (the "Property Management Fee") in accordance with the prevailing market rate for the management of similar properties in the general geographic area, as determined in the discretion of the Manager; provided however, that the amount of the Property Management Fee may increase in the future given prevailing market conditions; and provided further, that any such increased Property Management Fee shall in any event be on commercially reasonable terms. The Property Management Fee shall be paid monthly in arrears;

(d) Project Management Fee. If the Company engages the Manager or an Affiliate of the Manager to provide construction management services with respect to any development or capital expenditure plans for the Property, the Company shall pay a project management fee (the "Project Management Fee") in an amount equal to up to Five Percent (5%) of the total construction costs associated with such plans, on commercially reasonable terms no less favorable to the Company than those available from an unaffiliated third party; and

(e) Disposition Fee. The Company also shall pay the Manager a disposition fee (the "Disposition Fee") equal in amount to Two Percent (2%) of the gross sales price in the event of a sale of the Property, and/or Two Percent (2%) of the net proceeds upon a refinancing of Company debt.

The foregoing amounts are payable to the Manager in addition to and not in lieu of the sums to which the Manager is also entitled by virtue of being a Class B Member of the Company. The payment of the foregoing fees shall be in all respects subordinate to the Company's repayment of indebtedness encumbering the Property, and the Company shall not pay any of the foregoing fees until such time as the Company is current with respect to all of its payment obligations under such indebtedness.

## ARTICLE V

## MEETINGS OF MEMBERS



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Section 5.1. Meetings. Meetings of the Members, for any purpose or purposes, may be called by any Member. Notice of the time, place, and purpose of such meeting shall be delivered to each Member not less than 10 days nor more than 60 days before the meeting. Notice of the time, place, and purpose of such meeting may be waived in writing before or after such meeting, and shall be equivalent to the giving of notice. Attendance of a Member at such meeting shall also constitute a waiver of notice thereof, except where such Member attends for the express purpose of objecting to the transaction of any business on the ground that the meeting is not lawfully called or convened. Any business to be transacted at any special meeting shall be confined to the purposes stated in the notice or wavier of notice of such special meetings.

Section 5.2. Place of Meetings. Meetings of Members for all purposes may be held at such time and place, within or without the State of Texas, as determined by the Members.

Section 5.3. Quorum. At each meeting the holders of a Majority in Membership Interests issued and outstanding and entitled to vote thereat, present in person or represented by proxy, shall be requisite and shall constitute a quorum of the Members for the transaction of business except as otherwise provided by statute, the Certificate or this Agreement. If, however, such quorum shall not be present or represented at any meeting of the Members, the Members entitled to vote thereat, present in person or represented by proxy, shall have power to adjourn the meeting, until a quorum shall be present or represented. At such adjourned meeting at which a quorum shall be present or represented, any business may be transacted which might have been transacted at the meeting as originally notified.

Section 5.4. Voting by Members. With respect to any matter other than a matter for which the affirmative vote of the holders of a specified portion of the Membership Interests entitled to vote is required by the Act (and that is not otherwise limited herein as may be permitted by statute), the affirmative vote of the holders of a Majority in Membership Interests entitled to vote represented in person or by proxy at a meeting of Members at which a quorum is present shall be the act of the Members, unless otherwise provided in the Articles or this Agreement; provided however, that the Managers shall be elected solely by the Class B Member and the Class A Members shall not have the right to remove, vote for, or appoint Managers of the Company.

Section 5.5. Voting Procedure. At any meeting of the Members, every Member having the right to vote shall be entitled to vote in person, by proxy appointed by an instrument in writing subscribed by such Member, or by its duly authorized attorney-in-fact. No form of proxy or power of attorney bearing a date more than eleven (11) months prior to said meeting shall be valid, unless said instrument provides for a longer period. Each proxy shall be revocable unless the proxy form conspicuously states that the proxy is irrevocable and the proxy is coupled with an interest.

Section 5.6. Action Without Meeting; Telephone Meetings.

(a) Any action required or permitted to be taken at a meeting of the Members may be taken without a meeting without prior notice, and without a vote, if a consent or consents in writing, setting forth the action so taken, shall be signed by the holder or holders of Membership Interests having not less than the minimum number of votes that would be necessary to take such action at a meeting at which the holders of all Membership Interests entitled to vote on the action were present and voted. Prompt notice shall be given to any Member of the approval of any decision requiring Member approval if such decision was approved without a meeting of the Members and such Member did not approve the decision in writing.

(b) Subject to applicable notice provisions and unless otherwise restricted by the Certificate, Members may participate in and hold a meeting by means of conference telephone or similar communications equipment by means of which all individuals participating in the meeting



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can hear each other, and participation in such meeting shall constitute presence in person at such meeting, except where an individual's participation is for the express purpose of objecting to the transaction of any business on the ground that the meeting is not lawfully called or convened.

Section 5.7. Participation. The Members, in their capacity as Members, shall take no part in the control, management, direction, or operation of the affairs of the Company and shall have no power to bind the Company, except as specifically provided herein.

## ARTICLE VI

## LIMITATION OF LIABILITY; INDEMNIFICATION

Section 6.1. Limitation of Liability. The Members, the Managers and any persons serving as Officers, agents, employees, attorneys and representatives of the Company shall not be liable, responsible, or accountable in damages or otherwise to the Company or the other Members for any mistake of fact or judgment in operating the business of the Company or for any act performed (or omitted to be performed) in good faith (including, without limitation, pursuant to advice of legal counsel) and within the scope of this Agreement, unless such actions or inactions shall have resulted from gross negligence, recklessness, willful misconduct, or fraud.

Section 6.2. Indemnification.

(a) The Company shall indemnify any person who was, is, or is threatened to be made a named defendant or respondent in a Proceeding (as such term is defined below) because the person (i) is or was a Manager or Officer of the Company, an Affiliate of the Manager, or a Person engaged by the Manager or the Company to provide services to or on behalf of the Company and acting under the direction and control of the Manager (a "Service Provider"), or (ii) while a Manager or Officer of the Company, is or was serving at the request of the Company as a director, manager, officer, partner, venturer, proprietor, trustee, employee, agent, attorney or similar functionary of another foreign or domestic corporation, partnership, joint venture, sole proprietorship, trust, employee benefit plan, or other enterprise, to the fullest extent that a limited liability company may grant indemnification to a manager or officer under the TBOC, as the same exists or may hereafter be amended. Such right shall be a contract right and as such shall run to the benefit of any Manager or Officer who is elected and accepts the position of Manager or Officer of the Company or elects to continue to serve as a Manager or Officer of the Company while this Article VI is in effect. Any repeal or amendment of this Article VI shall be prospective only and shall not limit the rights of any such Manager or Officer or the obligations of the Company with respect to any claim arising from or related to the services of such Manager or Officer in any of the foregoing capacities prior to any such repeal or amendment of this Article VI. Such right shall include the right to be paid or reimbursed by the Company for expenses incurred in defending any such Proceeding in advance of its final disposition to the maximum extent permitted under the TBOC, as the same exists or may hereafter be amended. If a claim for indemnification or advancement of expenses hereunder is not paid in full by the Company within 90 days after a written claim has been received by the Company, the claimant may at any time thereafter bring suit against the Company to recover the unpaid amount of the claim, and if successful in whole or in part, the claimant shall be entitled to be paid also the expenses of prosecuting such claim. It shall be a defense to any such action that such indemnification or advancement of costs of defense are not permitted under the TBOC, but the burden of proving such defense shall be on the Company. Neither the failure of the Company (including its Managers or any committee thereof, special legal counsel, or Members) to have made its determination prior to the commencement of such action that indemnification of, or advancement of costs of defense to, the claimant is permissible in the



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circumstances nor an actual determination by the Company (including its Managers or any committee thereof, special legal counsel, or Members) that such indemnification or advancement is not permissible, shall be a defense to the action or create a presumption that such indemnification or advancement is not permissible. In the event of the death of any person having a right of indemnification under the foregoing provisions, such right shall inure to the benefit of his heirs, executors, administrators, and personal representatives. The rights conferred above shall not be exclusive of any other right which any person may have or hereafter acquire under any statute, regulation, resolution of Members or Managers, agreement, or otherwise.

(b) The Company may additionally indemnify any person covered by the grant of mandatory indemnification contained above to such further extent as is permitted by law and may indemnify any other person to the fullest extent permitted by law.

(c) To the extent permitted by then applicable law, the grant of mandatory indemnification to any person pursuant to this Article VI shall extend to Proceedings involving the negligence of such person.

(d) As used herein, the term "Proceeding" means any threatened, pending, or completed action, suit, or proceeding, whether civil, criminal, administrative, arbitrative, or investigative, any appeal in such an action, suit, or proceeding, and any inquiry or investigation that could lead to such an action, suit, or proceeding.

## ARTICLE VII

## DISTRIBUTIONS; ALLOCATIONS

Section 7.1. Allocation of Net Income and Loss from Operations and Upon Liquidating Event. Net income, gain, deduction and loss for each fiscal year from Operations, and upon a Liquidating Event, shall be determined for financial accounting purposes in accordance with the method of accounting used for federal income tax purposes and the books and records of the Company. Except as provided in Section 7.3 and Section 7.5, net income, gain, deduction and loss shall be allocated among the Members (prior to any distributions of Cash Flow attributable thereto) in the manner as set forth below.

(a) After taking into account the special allocations set forth in this Article VII, all items of income, gain, loss, deduction and credit will be allocated among the Members in accordance with the following provisions: except as otherwise provided by Section 704(c) of the Code and Treasury Regulation Section 1.704-1(b)(2)(iv)(f)(4), all items of gain or loss resulting from the net income or net loss of the Company or the sale, assignment, transfer, conveyance, gift, pledge, hypothecation, or other encumbrance or any other disposition, whether voluntary, involuntary, or by operation of law Company property other than in the ordinary course of the Company's business shall be allocated for income tax purposes for each fiscal year of the Company among the Members in such a manner as shall cause the Capital Accounts of the Members (as adjusted through the end of such fiscal year) to equal, as nearly as possible, the amounts such Members would receive if all cash on hand at the end of such fiscal year were distributed to the Members under Section 7.2, assuming all assets owned by the Company at the end of such fiscal year were sold for cash at the values reflected for such assets on the books of the Company, all liabilities of the Company were satisfied in cash in accordance with their terms (limited in the case of Member nonrecourse debt and Company nonrecourse liabilities to the fair market value of the assets securing such liabilities), and any remaining cash was distributed to the Members under Section 7.2.



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(b) Items of deduction, loss, and credit not specifically provided for above, including depreciation, cost recovery, and amortization deductions, shall be allocated to the Members in the same manner that the costs and expenses of the Company that gave rise to such items of deduction, loss, and credit were allocated pursuant to Section 7.1(a)).

(c) All recapture of income tax deductions resulting from the sale, assignment, transfer, conveyance, gift, pledge, hypothecation, or other encumbrance or any other disposition, whether voluntary, involuntary, or by operation of law of Company property shall, to the maximum extent possible, be allocated to the Member to whom the deduction that gave rise to such recapture was allocated hereunder to the extent that such Member is allocated any gain from the sale, assignment, transfer, conveyance, gift, pledge, hypothecation, or other encumbrance or any other disposition, whether voluntary, involuntary, or by operation of law of such property.

Section 7.2. Payments to Members and Distributions of Cash Flow. Subject to all requirements of the TBOC, the Managers shall distribute Cash Flow when available to the Members (as determined by the Manager in its sole discretion), in the manner set forth below.

(a) One Hundred Percent (100%) of available cash first shall be paid to the Class A Members pro rata according to the number of Class A Units held by each until each Class A Member shall have received distributions equal to the Class A Preferred Return;

(b) Thereafter, One Hundred Percent (100%) of available cash shall be paid to the Class A Members pro rata according to the number of Class A Units held by each until each Class A Member shall have received aggregate distributions equal to the Class A Member's Unreturned Capital Contribution; and

(c) Finally, Seventy Percent (70%) of available cash shall be paid to the Class A Members pro rata according to the number of Class A Units held by each, and Thirty Percent (30%) of cash shall be paid to the Class B Members pro rata according to the number of Class B Units held by each.

No distributions shall be paid prior to the time that Company revenue exceeds expenses.

Section 7.3. Special Allocations.

(a) Minimum Gain Chargeback. Notwithstanding any provision of this Article VII, if there is a net decrease in Company minimum gain during any fiscal year or other period, prior to any other allocation pursuant hereto, each Member shall be specially allocated items of Company income and gain for such year (and, if necessary, subsequent years) in an amount and manner required by Treasury Regulation Section 1.704-2. Notwithstanding any provision of this Article VII, if there is a net decrease in Member nonrecourse debt minimum gain, any Member with a share of that Member nonrecourse debt minimum gain as of the beginning of such year shall be allocated items of income and gain for the year (and, if necessary, for succeeding years) equal to that Member's share of the net decrease in the Member's nonrecourse debt minimum gain, as provided in Treasury Regulation Section 1.704-2(i)(4).

(b) Limitation on Losses. The aggregate amount of losses and deductions allocated pursuant to Section 7.1 hereof and the next sentence of this Section 7.3(b) to any Member for any fiscal year shall not exceed the maximum amount of losses and deductions that may be allocated to such Member without causing such Member to have an Adjusted Capital Account Deficit at the end of such fiscal year. All losses and deductions in excess of the limitation in this Section 7.3(b)



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with respect to any Member shall be allocated solely to the other Members in proportion to their Membership Interests. If no other Member may receive an additional allocation of Losses pursuant to this Section 7.3(b), such additional losses and deductions not allocated pursuant to Section 7.1 of this Agreement or the preceding sentence shall be allocated solely to those Members that bear the economic risk for such additional losses and deductions within the meaning of Section 704(b) of the Code and the Treasury Regulations thereunder. If it is necessary to allocate losses and deductions under the preceding sentence, the Managers shall, in accordance with the Treasury Regulations promulgated under Section 704(b) of the Code, determine those Members that bear the economic risk for such additional losses and deductions.

(c) Qualified Income Offset. Any Member who unexpectedly receives an adjustment, allocation or distribution described in Treasury Regulation Section 1.704-1(b)(2)(ii)(d)(4), (5) or (6) that causes or increases a negative balance in its Capital Account beyond the sum of (i) the amount such Member is obligated to restore pursuant to any provision of this Agreement, (ii) the amount such Member is deemed to be obligated to restore pursuant to Treasury Regulation Section 1.704-2, and (iii) its share of Company minimum gain shall be allocated items of income and gain sufficient to eliminate such increase or negative balance caused thereby, as quickly as possible, to the extent required by such Treasury Regulation; provided that an allocation pursuant to this Section 7.3(c) shall be made only if and to the extent that such Member would have a deficit Capital Account in excess of such sum after all other allocations provided for in this Article VII have been made as if this Section 7.3(c) were not in this Agreement.

(d) Gross Income Allocation. If a Member has a deficit Capital Account at the end of any Fiscal Year that exceeds the sum of (i) the amount that Member is obligated to restore, and (ii) the amount the Member is deemed to be obligated to restore pursuant to the penultimate sentences of Regulations Sections 1.704-2(g)(1) and 1.704-2(i)(5), then each such Member shall be specially allocated items of income and gain of the Company in the amount of the excess as quickly as possible, *provided* that an allocation pursuant to this Section 7.3(d) shall be made if and only to the extent that the Member would have a deficit Capital Account in excess of that sum after all other allocations provided for in this Article VII have been tentatively made without considering Section 7.3(a).

(e) Nonrecourse Deductions. Nonrecourse Deductions for any fiscal year shall be specially allocated to the Members pro rata in accordance with each Member's Membership Interest. “Nonrecourse Deductions” has the meaning set forth in Sections 1.704-2(b)(1) and 1.704-2(c) of the Regulations.

(f) Partner Nonrecourse Deductions. Any Partner Nonrecourse Deductions for a fiscal year shall be specially allocated to the Members who bear the economic risk of loss for the liability to which such deductions are attributable in accordance with Section 1.704-2(i)(1) of the Regulations. “Partner Nonrecourse Deductions” has the meaning set forth in Section 1.704-2(i)(2) of the Regulations.

(g) Section 704(b) Limitation. Notwithstanding any other provision of this Agreement to the contrary, no allocation of any item of income or loss shall be made to a Member if such allocation would not have “economic effect” pursuant to Treasury Regulation Section 1.704-1(b)(2)(ii) or otherwise be in accordance with its interest in the Company within the meaning of Treasury Regulation Sections 1.704-1(b)(3) and 1.704-2. To the extent an allocation cannot be made to a Member due to the application of this Section 7.3(g), such allocation shall be made to the other Member(s) entitled or required to receive such allocation hereunder.



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(h) Curative Allocations. Any allocations of items of income, gain, or loss pursuant to Sections 7.3(a) through (d) shall be taken into account in computing subsequent allocations pursuant to this Article VII, so that the net amount of any items so allocated and the income, losses and other items allocated to each Member pursuant to this Article VII shall, to the extent possible, be equal to the net amount that would have been allocated to each Member had no allocations ever been made pursuant to Sections 7.3(a) through (d).

Section 7.4. Distributions Upon Liquidation of Company.

(a) Upon liquidation of the Company the assets of the Company shall be distributed no later than the later of ninety (90) days after the date of such liquidation or the end of the Company's taxable year in which the liquidation occurs and shall be applied in the following order of priority:

(i) To the payment of debts and liabilities of the Company (including amounts owed to Members or former Members);

(ii) Unless inconsistent with Treasury Regulation Section 1.704-1(b)(2)(ii)(b), or any successor provision, to set up any reserves which the Managers deem reasonably necessary for contingent or unforeseen liabilities or obligations of the Company arising out of or in connection with the business of the Company; and

(iii) To the Members in the same manner as Distributions are made under Section 7.2.

(b) If a transfer of an interest in the Company results in a termination of the Company for federal income tax purposes under Section 708(b)(1)(B) of the Code (or any successor provision thereto), Section 7.4(a)(iii) shall not apply and a Member's portion of the constructive liquidating distribution of the Company's assets that is deemed to occur under Treasury Regulation Section 1.708-1(b)(1)(iv) (or any similar or successor provision) shall be determined in accordance with the Capital Accounts of the Members as determined after taking into account all Capital Account adjustments for the Company's taxable year ending on the date of such termination.

Section 7.5. Additional Tax Allocation Provisions.

(a) For income tax purposes, allocations of income, gain, deduction and loss (and items thereof) shall be made in accordance with the foregoing allocations of income, gain, deduction and loss for financial purposes.

(b) Notwithstanding anything to the contrary contained herein, items of income, gain, loss and deduction with respect to property, other than cash, contributed to the Company by a Member or with respect to an adjustment to the Members' Capital Accounts to reflect a revaluation of the assets of the Company, shall be allocated among the Members so as to take into account the variation between the basis of the property to the Company and its fair market value at the time of contribution or, in the case of a revaluation of the assets of the Company, the variation between the basis of the assets of the Company to the Company and its fair market value as of the date of revaluation, as provided in Section 704(c) of the Code and Regulations thereunder and Treasury Regulations Section 1.704-1(b)(2)(iv)(g).

Section 7.6. Tax Distributions. Notwithstanding the provisions of Sections 7.1 and 7.2, to the extent that for any fiscal year the amount of net income and gains of the Company allocated to a Member



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exceeds the sum of (i) losses of the Company for prior fiscal years reduced by (ii) the amount of net income and gains of the Company for prior fiscal years allocated to that Member pursuant to this Article VII, the Managers may, in their reasonable discretion, distribute to such Member an amount of available unreserved Cash Flow, if any, equal to (a) the amount reasonably calculated by the Managers based upon an assumed uniform tax rate for all Members to equal the amount of each Member's tax liability on that excess allocated to such Member, less (b) the aggregate amount of prior distributions by the Company to that Member that were not required by this provision; except that no such distribution will be made to the extent that (x) the Company is restricted from the payment of distributions under the terms of any note or agreement relating to borrowings by the Company, or (y) the Managers reasonably determine that such cash is necessary for the operation of the Company's business. Any distributions allowed by this Section 7.6 for any year should be made no later than September 1 of the following year, but the Managers may, to the extent practical, make such distributions quarterly based on projections of income. Any distributions made to a Member under this section will be offset against subsequent distributions due to that Member under this Article Seven.

## ARTICLE VIII

## FISCAL MATTERS

Section 8.1. Books and Records. The Company shall keep full and accurate books and records of all of its transactions in accordance with both regulatory and generally accepted accounting principles, consistently applied. Without limiting the generality of the foregoing, the Company shall keep:

(a) A current list of the following items:

(i) the name and mailing address of each Member;

(ii) the last known street address of the business or residence of each Member; and

(iii) the Membership Interest of each Member.

(b) Copies of the Company's federal, state and local tax returns for each of the Company's six (6) most recent tax years.

(c) A copy of this Agreement, the Certificate, all amendments and restatements, and executed copies of any powers of attorney under which this Agreement, the Certificate and any and all amendments or restatements thereto have been executed.

(d) A written statement of

(i) the amount of any cash contribution made by each Member in addition to the Capital Contributions set forth in Section 3.1 and a description and statement of the agreed value of any other contribution made by each Member, and the amount of any cash contribution and a description and statement of the agreed value of any other contribution that the Member has agreed to make in the future as an additional contribution;

(ii) the times at which additional contributions are to be made or events requiring additional contributions to be made;



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(iii) events requiring the Company to be dissolved and its affairs wound up; and

(iv) the date on which each Member became a Member.

(e) Correct and complete books and records of account of the Company.

All of such books and records shall, at all times, be maintained at the principal place of business of the Company and the Members shall have the right to inspect and copy any of them, at their own expense, during normal business hours.

Section 8.2. Tax Returns. The Managers shall cause to be prepared and filed on or before the Company's applicable filing due date (including extensions), any required federal, state and local tax returns for the Company.

Section 8.3. Bank Accounts. The Managers shall open and maintain a special bank account or accounts in a bank or other financial institution, the deposits of which are insured by an agency of the United States government, in which shall be deposited all funds of the Company. There shall be no commingling of the property and assets of the Company with the property and assets of any other Person.

Section 8.4. Tax Elections. The Managers shall be entitled to determine any election available to the Company for federal, state or local tax purposes.

Section 8.5. Partnership Representative. The Manager shall serve as the "partnership representative" of the Company pursuant to Section 6223 of the Code. The partnership representative shall be authorized, empowered, and required to represent the Company (at the Company's expense) in connection with all examinations of the Company's affairs by tax authorities, including resulting administrative and judicial proceedings, and to expend Company funds for professional services and costs associated therewith.

Section 8.6. Reports and Statements. Within sixty (60) days after the end of the second (2nd) and fourth (4th) fiscal quarters of the Company and within ninety (90) days after the end of each fiscal year, the Manager will prepare and cause to be delivered to the Members the following:

(a) a profit and loss statement of the Company;

(b) a balance sheet of the Company;

(c) a cash flow statement;

(d) a statement of changes in the Members' capital; and

(e) such tax information as is necessary for each Member to complete its federal and state income tax or information returns, and such other information as, in the judgment of the Manager, is reasonably necessary for the Members to be advised of the results of operations of the Company.

## ARTICLE IX

## TRANSFERS OF MEMBERSHIP INTERESTS



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Section 9.1. Transfers of Membership Interests.

(a) Consent to Transfer. Except as otherwise permitted by this Agreement, no Member may directly or indirectly Transfer all or any part of its Membership Interests without the prior written approval of the Managers. In addition, (i) no Transfer by a Member of any of a Member's Membership Interests as security for the payment of a debt shall be valid unless approved by the Managers and made pursuant to a pledge or hypothecation agreement that requires the pledgee or secured party to be bound by all of the terms and conditions of this Agreement; and (ii) no Transfer by a Member to a direct or indirect competitor of the Company, in the sole determination of the Managers, shall be valid. Any purported transfer that violates any provision of this Agreement shall be void *ab initio*.

(b) Compliance with Agreement. Each of the Members agrees to vote, sell, convey, Transfer and deliver the Membership Interests, and all other securities of the Company that are owned by the Member, whether now owned or hereafter acquired, in accordance with the terms of this Agreement.

Section 9.2. Permitted Transfers. The following Transfers shall be permitted under this Agreement ("Permitted Transfers") and shall be subject to the provisions of Section 9.3; however, Permitted Transfers shall not be subject to the transfer restrictions set forth in Sections 9.4 and 9.5.

(a) a Transfer to a trust or other entity solely for the benefit of the Member or one or more members of such Member's immediate family and their descendants, if the Member or another Member is the trustee of the trust;

(b) a Transfer to an entity if, following the Transfer, at least a majority interest in the entity is owned by the transferring Member or if the entity is controlled by the transferring Member;

(c) a Transfer to another Member; or

(d) a redemption or repurchase of Membership Interests by the Company.

Section 9.3. Conditions to Permitted Transfers.

(a) The Member or the transferee must file with the Company a written and dated instrument of such Transfer, in form and substance reasonably satisfactory to the Managers, executed by both the transferor and the transferee, which instrument shall (i) contain the acceptance by the transferee of all of the terms and provisions of this Agreement, to the extent applicable to an assignee of a Membership Interest, (ii) contain such representations as the Managers may deem reasonably necessary or advisable to assure that such Transfer need not be registered under any applicable federal or state securities laws, (iii) instruct the Managers as to the Membership Interest transferred and to whom and at what address Company distributions and Notifications in respect of such Membership Interest should thereafter be sent, and (iv) contain any information required under the Code that is requested by the Managers.

(b) Unless expressly waived by the Managers, the transferor or transferee shall deliver to the Company an opinion of counsel acceptable to the Managers that (i) such Transfer is exempt from the registration requirements of the Securities Act of 1933, as amended, applicable state securities laws, and any rules or regulations promulgated thereunder, and will not otherwise cause the Company to be in violation of such laws and regulations, (ii) the Transfer will not result in the



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termination of the Company within the meaning of Section 708(b) of the Code, and (iii) the Transfer will not adversely affect the status of the Company as a partnership under the Code.

(c) The transferor Member and the transferee shall have received a written acknowledgment from the Managers that the Transfer has been approved by the Managers of the Company; provided, however, that the Membership Interests of any individual Member shall be transferable without the approval of the Managers if both of the following factors apply: (i) such Transfer occurs by reason of the death of the Member and each transferee is a member of such Member's immediate family (i.e., spouse, parent or child of such Member), or a trust, corporation or other entity controlled by or for the benefit of such Member or members of such Member's immediate family; and (ii) each transferee otherwise complies with the provisions of Sections 9.3(a) and 9.3(b) (except that the instrument described in Section 9.3(a) need not be executed by the transferor Member).

Section 9.4. Right of First Refusal.

(a) A Member (the "Selling Member") who wishes to accept a bona fide offer to purchase some or all of his Membership Interests (a "Bona Fide Offer") will give Notification in writing to the Company setting out the terms of the Bona Fide Offer (the "ROFR Notice"), including the amount of Membership Interests to be sold, the name and address of each Person proposing to purchase such Membership Interests (and the names of the officers, directors, managers, and 10% or more beneficial owners of any such Person), and the sales price and terms of payment of the Bona Fide Offer.

(b) The Notification will constitute an offer to the Company, valid for 30 days following the Company's receipt of Notification thereof, to purchase the Membership Interests subject to such Bona Fide Offer at the price and on the terms proposed in the Bona Fide Offer. If at the end of the 30-day period, the Company has not elected to purchase all of the Selling Member's Membership Interests that are subject to the Bona Fide Offer, the Selling Member will make the same offer with respect to Membership Interests that the Company did not elect to acquire to each of the other Members (the "Non-Selling Members") by Notification, giving the same information with respect to the Bona Fide Offer as was given to the Company. The Non-Selling Members shall then have the option to purchase their pro rata share of the unpurchased Membership Interests (determined pro rata in accordance with the respective ownership of Membership Interests in the Company by all Non-Selling Members who exercise this option) for a period of 30 days from receipt of the Notification; provided that, at the Closing of any purchase of a Selling Member's interest, the purchaser, whether the Company or one or more Non-Selling Members, shall repay all indebtedness to the Selling Member and/or obtain the release of the Selling Member from all guarantees.

(c) To the extent that the Company and the Non-Selling Members have not exercised their respective rights of first refusal as to the Units that the Selling Member is proposing to sell within the time periods specified in Section 9.4(b), then the Selling Member shall be free to sell any such Units to such prospective purchaser on the same terms and conditions as outlined in the ROFR Notice; provided however, that in the event such Units are not sold within one hundred twenty (120) days of the date of the ROFR Notice, they shall once again be subject to the right of first refusal provided herein.

(d) Any material modification of a Bona Fide Offer made after delivery of the ROFR Notice to the Company and the Non-Selling Members will be deemed to be a new Bona Fide Offer and the procedure set forth in this Section 9.4 shall re-commence.



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Section 9.5. Options Arising on Purchase Events.

(a) Purchase Events. Each of the following events shall be a purchase event ("Purchase Event") and shall give rise to the purchase options as further described in this Section 9.5:

(i) those Transfers described in the definition of Transfer in Section 1.1 of this Agreement;

(ii) the dissolution, liquidation, or termination of a Member that is an entity, unless the Membership Interests are distributed pro rata to the beneficial owners of such entity;

(iii) if a Member that is not a natural person ceases to be controlled by the Person who controlled such Member as of the date that the Member becomes a party to this Agreement; and

(iv) if any Membership Interests owned by a Member are transferred by operation of law, including, but not limited to, (A) any adjudication in bankruptcy; (B) the appointment of a receiver for the assets of a Member; or (C) a merger, combination, consolidation, sale of substantially all of the assets, or other transaction pursuant to which the Member does not own at least 51% of the resulting entity.

(b) Purchase Options.

(i) Within 30 days of the occurrence of a Purchase Event, the Member that is the subject of the Purchase Event (or, if applicable, the heirs, assigns, successors, or personal or legal representative of the Member) (also a "Selling Member") shall give Notification to the Company that the Purchase Event has occurred. The Company shall, within 15 days of the receipt of such Notification, give Notification to each of the other Members (also "Non-Selling Members") of the occurrence of the Purchase Event. As of the date Notification is given to the Non-Selling Members, the procedure described in Section 9.5(c) for the determination of the purchase price of the Membership Interests (the "Purchase Price") shall commence.

(ii) The Company shall have the option, exercisable by written Notification to the Selling Member within 30 days of determination of the Purchase Price, to purchase the Membership Interests for the Purchase Price and pay for such Membership Interests in accordance with Section 9.5(d) (the "Purchase Price Payment"). If the Company does not, within the time specified, exercise its option to purchase all of the Selling Member's Membership Interests, the Company shall immediately notify the Non-Selling Members of the number of Membership Interests available for purchase and the Purchase Price, and the Non-Selling Members shall have an option, exercisable by written Notification to the Company and the Selling Member, within 30 days following receipt of Notification from the Company, to purchase the Membership Interests that the Company has not elected to acquire. Purchases by the Non-Selling Members, unless they agree otherwise, shall be pro rata (determined in accordance with the respective ownership of Membership Interests in the Company by all Non-Selling Members who exercise this option) for the Purchase Price Payment. Non-Selling Members who participate in the appraisal process and/or exercise their option to purchase are referred to as "Participating Members." Any Membership



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Interests not purchased by the Company or the Participating Members will remain the property of the Selling Member.

(c) Purchase Price. The Purchase Price will be the fair market value of the Selling Member's Membership Interests as of the last day of the month preceding the month in which any Purchase Event occurs (the "Fair Market Value"). At the Closing of any purchase of a Selling Member's interest, the purchaser, whether the Company or one or more Non-Selling Members, shall repay all indebtedness of the Company to the Selling Member, (and the Selling Member shall assign its right to payment to the purchaser) and/or obtain the release of the Selling Member from all guarantees of the Company's indebtedness.

(i) For a period of 30 days following Notification to the Non-Selling Members that a Purchase Event has occurred, the Company, the Selling Members, and the Participating Members may negotiate to agree on the Fair Market Value of the Selling Member's Membership Interests. If the parties cannot agree on the Fair Market Value, the Company, the Selling Member, and the Participating Members (acting by vote of holders of a majority of their Membership Interests) will each have the right, within 45 days after receipt of Notification that a Purchase Event has occurred, to appoint an appraiser. The appraisers who have been timely appointed shall, within 30 days of the appointment of the first appraiser, but in no event less than 45 days following the Notification, select one appraiser who shall, within 90 days of his selection, determine the Fair Market Value of the Selling Member's Membership Interests and deliver to the Company, the Selling Member and the Participating Members a written appraisal supported by analysis. The appraisal will be conclusive and binding on all parties. If only one appraiser is appointed, that appraiser shall make a written determination as to the Fair Market Value of the Selling Member's Membership Interests supported by analysis. Each appraiser selected pursuant to this Section must be independent and experienced in appraising similar closely held businesses.

(ii) The Selling Member, the Company, and the Participating Members will each be responsible for the fees and expenses of the appraiser appointed by them and for one-third of the fees and expenses of the appraiser conducting the appraisal. The Participating Members shall bear the expense pro rata, according to the number of Membership Interests owned by each. No Person shall be required to pay any portion of the appraisers' fees if, within 30 days of Notification of a Purchase Event, he relinquishes his right to purchase the Membership Interests.

(d) Payment. Payment for the Membership Interests shall be made at a closing (the "Closing") which shall occur no later than 60 days following determination of the Purchase Price or such other date as may be agreed upon by the Selling Member and the purchaser. At the Closing, the Purchase Price Payment will be made by such arrangement as the Selling Member and the purchaser (whether the Company or the Participating Members, or both) may agree to in writing. If no agreement is reached prior to the Closing, then, at the Closing, 20% of the Purchase Price will be paid in cash and the balance will be paid by delivery of one or more promissory notes for the balance, payable in equal quarterly installments over a five-year period and bearing interest at a variable rate adjusted quarterly, such rate being equal to the prime rate quoted in the Wall Street Journal Money Market Rates plus three percent (3%) as of one business day preceding each calendar quarter. Payment of the promissory notes shall be secured by a pledge of the Membership Interests acquired.



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Section 9.6. Failure to Give Notification. If any option period hereunder commences with the giving of Notification and the Person required to give such Notification fails for any reason to do so within 30 days of the occurrence of a Purchase Event or other event requiring Notification, then the option shall be in effect for the applicable period of time commencing with the later of the end of such 30-day period or the date that the Company or the Member, as applicable, receives actual Notification from any source that a Purchase Event or other event requiring Notification has occurred.

Section 9.7. Continuation or Termination of Rights. Any Membership Interests not purchased by the Company or the Members pursuant to this Article IX will remain subject to the provisions of this Agreement. The purchase and sale of Membership Interests, if consummated pursuant to this Agreement, will be deemed to be effective as of the date of exercise of the option to purchase under this Agreement, and, except the right to receive the Purchase Price Payment, all rights and interests of the Member pertaining to the Membership Interests sold and, if all Membership Interests are sold, all rights and interests of the Member under this Agreement, will terminate and cease on the date of such exercise.

Section 9.8. Admission of Transferees as Members. Notwithstanding the other provisions of this Article IX, a transferee of Membership Interests shall merely be an assignee of a Company Interest, and shall not be admitted to the Company as a substituted Member until it has satisfied the following conditions:

(a) The Company consents to such admission, which consent may be given or withheld in the sole and absolute discretion of the Managers;

(b) The Membership Interests with respect to which the transferee is being admitted were acquired by means of a Transfer permitted under this Agreement;

(c) The transferee becomes a party to this Agreement as a Member and executes such documents and instruments as the Company may reasonably request (including, without limitation, amendments to the Certificate) as may be necessary or appropriate to confirm such transferee as a Member in the Company and such transferee's agreement to be bound by the terms and conditions of this Agreement;

(d) The transferee pays or reimburses the Company for all reasonable legal, filing, and publication costs that the Company incurs in connection with the admission of the transferee as a Member with respect to the transferred Membership Interests; and

(e) If the transferee is not an individual of legal majority, the transferee provides the Company with evidence satisfactory to counsel for the Company of the authority of the transferee to become a Member and to be bound by the terms and conditions of this Agreement.

Section 9.9. Prohibited Transfers.

(a) Any purported Transfer that is not made in accordance with this Agreement shall be null and void and of no force or effect whatever; provided that, if the Company is required to recognize a Transfer that is not made in accordance with this Agreement (or if the Company, in its sole discretion, elects to recognize a Transfer that is not made in accordance with this Agreement), the transferred Membership Interests shall be strictly limited to the transferor's rights to allocations and distributions as provided by this Agreement with respect to the transferred Membership Interests, which allocations and distributions may be applied (without limiting any other legal or equitable rights of the Company) to satisfy any debts, obligations, or liabilities for damages that the transferor or transferee of such Membership Interests may have to the Company. The transferee



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shall have no right to any information or accounting of the affairs of the Company, shall not be entitled to inspect the books or records of the Company, and shall not have any of the rights of a Member under the TBOC or this Agreement.

(b) In the case of a Transfer or attempted Transfer that is not made in accordance with this Agreement, the parties engaging or attempting to engage in such Transfer shall be liable to indemnify and hold harmless the Company and the other Members from all cost, liability, and damage that any of such indemnified Persons may incur (including, without limitation, incremental tax liability and attorneys' fees and expenses) as a result of such Transfer or attempted Transfer and efforts to enforce the indemnity granted hereby.

## ARTICLE X

## TERMINATION AND WINDING UP

Section 10.1. Events Requiring Winding Up. Winding up of the Company is required upon the first of the following events to occur:

(a) The occurrence of any event that results in the Manager ceasing to be the Manager of the Company;

(b) The vote of a Majority in Membership Interest held by the Class B Members at any time to terminate and wind up the affairs of the Company;

(c) The occurrence of any other event that causes the winding up or termination of a limited liability company under the TBOC; or

(d) A decree by a court requiring the winding up or termination of the Company, rendered under the TBOC or other law.

Section 10.2. Winding Up; Liquidator.

(a) If the Company is required to wind up pursuant to Section 10.1, the Company shall cease to carry on its business, except to the extent necessary to wind up its business as soon as reasonably practicable in the manner set forth below.

(b) The winding up of the Company's affairs shall be supervised by a Liquidator. The Liquidator shall be the Manager or, if the Manager is unable to perform such function, a liquidator or liquidating committee selected by a Majority in Membership Interests of the Class A Members.

(c) The Liquidator shall wind up the affairs of the Company and distribute its remaining assets to the Members in accordance with Section 7.4 in liquidation of the Company. Thereafter the Liquidator shall file a certificate of termination with the Secretary of State of Texas. The Manager may, in its sole discretion, cause the Company to make distributions of assets in kind.

Section 10.3. Compensation of Liquidator. The Liquidator appointed as provided herein shall be entitled to receive such reasonable compensation for its services as shall be agreed upon by the Liquidator and a Majority in Membership Interest.

Section 10.4. Final Audit. Within a reasonable time following the completion of the liquidation, the Liquidator shall supply to each of the Members a statement which shall set forth the assets and the



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liabilities of the Company as of the date of complete liquidation and each Member's pro rata portion of distributions pursuant to Section 7.4.

## ARTICLE XI

## MISCELLANEOUS

Section 11.1. Amendments.

(a) This Agreement may be amended, modified or terminated only by written agreement of a Majority in Membership Interests of the Class A Members and a Majority in Membership Interests of the Class B Members; provided however, that no amendment that materially prejudices the rights of any Member shall be made without the consent of that Member.

(b) Notwithstanding the foregoing, the Managers may amend this Agreement without the consent of any Member at any time (i) to comply with applicable laws and regulations; (ii) to make changes that do not adversely affect the rights or obligations of any Member; (iii) to cure any ambiguity or correct or supplement any conflicting provisions of the Agreement; or (iv) with respect to any other amendment, if any Member objecting to such amendment has an opportunity to withdraw from the Company as of a date that is not less than forty-five (45) days after the Managers have furnished written notice of such amendment to each Member and that is prior to the effective date of the amendment.

(c) The Manager has the absolute discretion to agree with a Member to waive or modify the application of any provision of the Agreement with respect to such Member, without obtaining the consent of any other Member (other than a Member who is materially and adversely affected by such waiver or modification).

Section 11.2. Entire Agreement. This Agreement contains the entire agreement among the Members and Manager relating to the subject matter hereof and all prior agreements relative hereto which are not contained herein are terminated.

Section 11.3. Other Activities. Any Member may engage or possess an interest in other business ventures of every nature and description, independently or with others, whether or not such other business ventures are competitive with the business of the Company (unless otherwise prohibited by court order, government regulation or other law), and neither the Company nor any of the other Members shall have any right by virtue of this Agreement in and to such other ventures or to the income or property derived therefrom.

Section 11.4. Partition. No Member shall be entitled to a partition of any property or assets of the Company, notwithstanding any provision of law to the contrary. A Membership Interest is personal property.

Section 11.5. Provisions Severable. This Agreement is intended to be performed in accordance with, and only to the extent permitted by, all applicable laws, ordinances, rules and regulations. If any provision of this Agreement or the application thereof to any Person or circumstance shall, for any reason and to any extent, be invalid or unenforceable, but the extent of such invalidity or unenforceability does not destroy the basis of the bargain among the Members and Manager as expressed herein, the remainder of this Agreement and the application of such provision to other Persons or circumstances shall not be affected thereby, but rather shall be enforced to the greatest extent permitted by law.



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Section 11.6. Headings. The headings of the various Sections are intended solely for convenience of reference, and shall not be deemed or construed to explain, modify or place any construction upon the provisions hereof.

Section 11.7. Third Party Beneficiaries. This Agreement shall be for the benefit of the undersigned parties and their permitted successors and assigns only, it being the intention of the parties that no one shall be deemed to be a third party beneficiary of this Agreement.

Section 11.8. Counterparts. This Agreement may be executed in one or more counterparts, each of which shall be an original, but all of which taken together shall constitute a single document. A photocopy or facsimile transmission of an executed counterpart of this Agreement shall be sufficient to bind the Member(s) whose signature(s) appear thereon.

Section 11.9. Applicable Law; Dispute Resolution.

(a) Mediation; Arbitration. Should any claim or controversy arise out of or relating to the terms of this Agreement (a "Dispute"), the parties shall attempt to settle such Dispute through consultation and negotiation in good faith and a spirit of mutual cooperation.

(i) The party desiring to resolve such Dispute shall deliver a written notice of the Dispute including the specific facts of the Dispute ("Dispute Notice") to the other parties to such Dispute. If any party delivers a Dispute Notice pursuant to this Section 11.9(a)(i), the parties involved in the Dispute must meet at least twice within the thirty (30) day period commencing with the date of the Dispute Notice and in good faith attempt to resolve such Dispute.

(ii) Each party agrees to keep all Disputes and negotiation, mediation, and arbitration proceedings strictly confidential, except for disclosures of information in the ordinary course of business of the parties or by applicable law or regulation.

(iii) If any Dispute is not resolved or settled by the parties as a result of negotiation pursuant to Section 11.9(a)(i) above, the parties shall submit the dispute to non-binding mediation in Austin, Texas before a retired judge of a federal District Court or state court, or some similarly qualified, mutually agreeable individual. If the parties cannot agree upon a mediator, each party to the Dispute shall appoint one mediator, and the mediators so appointed shall select a third mediator, who shall be the person to mediate the Dispute. The parties shall bear the costs of such mediation equally.

(iv) If the Dispute is not resolved by mediation pursuant to Section 11.9(a)(iii) above, or if the parties fail to agree upon a mediator, within ninety (90) days after the Dispute Notice, the Dispute shall be settled by arbitration conducted in Austin, Texas before an arbitrator agreed upon by the parties, or otherwise in accordance with the rules and procedures of the Commercial Arbitration Rules of the American Arbitration Association, and, to the maximum extent applicable, the Federal Arbitration Act (Title 9 of the United States Code) then in effect with respect to commercial disputes. The arbitration of such issues, including the determination of any amount of damages suffered by any party hereto by reason of the acts or omissions of any party, shall be final and binding upon all parties. The arbitrator shall be empowered to impose sanctions and to take such other Actions as the arbitrator deems necessary to the same extent a judge could pursuant to the Federal Rules of Civil Procedure and applicable law. Notwithstanding the foregoing, the arbitrator shall not be authorized to award punitive damages with respect to



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any such claim or controversy, nor shall any party seek punitive damages relating to any matter under, arising out of or relating to this Agreement in any other forum. The cost of any arbitration hereunder, including the cost of the record or transcripts thereof, if any, administrative fees, and all other fees involved including reasonable attorneys' fees incurred by the party determined by the arbitrator to be the prevailing party shall be paid by the party determined by the arbitrator not to be the prevailing party, or otherwise allocated in an equitable manner as determined by the arbitrator. The parties shall instruct the arbitrator to render its decision no later than ninety (90) days after the submission of the dispute.

(b) Judicial Proceedings. Nothing in this Agreement will prevent any Member from resorting to judicial proceedings for the limited purpose of seeking a preliminary injunction or to avoid the barring of the claim under the applicable statute of limitations. In addition, resort by any Member to negotiation, mediation or arbitration pursuant to this Agreement shall not be construed under the doctrines of laches, waiver or estoppel to affect adversely the rights of a Member to pursue any such judicial relief; *provided, however*, that irrespective of the filing of any such request for judicial relief all necessary parties shall continue to participate in the dispute resolution proceedings required by Section 11.9(a). Any negotiation or mediation which takes place pursuant to this Agreement shall be confidential and shall be treated as a compromise and settlement negotiation for purposes of the Federal Rules of Evidence and rules of evidence of the State of Texas.

(c) CHOICE OF LAW; FORUM. NOTWITHSTANDING THE FOREGOING, BUT SUBJECT TO THE PARTIES' AGREEMENT TO SUBMIT DISPUTES INITIALLY TO MEDIATION AND ARBITRATION, THIS AGREEMENT AND ALL MATTERS RELATED TO THIS AGREEMENT SHALL BE GOVERNED BY AND CONSTRUED IN ACCORDANCE WITH THE LAWS OF THE STATE OF TEXAS, WITHOUT GIVING EFFECT TO ITS CONFLICT OF LAWS PROVISIONS, AND ALL OBLIGATIONS OF ONE MEMBER TO ANOTHER ARE DEEMED TO BE PERFORMABLE IN TRAVIS COUNTY, TEXAS. EXCLUSIVE JURISDICTION AND VENUE FOR DISPUTES BETWEEN THE PARTIES SHALL LIE IN THE COURTS OF TRAVIS COUNTY, TEXAS.

Section 11.10. Limitation of Liability of Service Provider. Under Section 4008.061 of the Texas Government Code (the Texas Securities Act), the maximum amount that may be recovered against a person who has been engaged to provide services relating to an offer or sale of securities of a "small business issuer" (as such term is defined in Section 4008.061(a)), including an attorney, an accountant, a consultant, or the firm of the attorney, accountant, or consultant in any action or series of actions under Subchapter B, Chapter 4008 of the Texas Government Code relating to an offer of securities made by a small business issuer is an amount equal to three times (3X) the fee paid by the issuer or other seller to the person for the services related to the offer of securities, unless the trier of fact finds the person engaged in intentional wrongdoing in providing the services. The parties hereto agree and acknowledge that they have been provided the foregoing disclosure regarding the limitations on a service provider's liability pursuant to Section 4008.061 of the Texas Government Code.

*[Signature page follows.]*



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IN WITNESS WHEREOF, the Company and the Class B Member have executed this Company Agreement of Stow Stuff Storage, LLC to be effective as of [_____], 2026. The Class A Members shall execute this Agreement by their execution of the Subscription Agreement to be effective as of the date that the Member's subscription is accepted by the Company. The Members declare that they have read this Agreement in its entirety and have been afforded a reasonable opportunity to obtain the advice of their own independent counsel with respect thereto prior to signing below.

**COMPANY:**

STOW STUFF STORAGE, LLC

By: Collective Storage Partners, LLC, Its Sole Manager

_____

Douglas Chojecki, Manager

Sonja Kapavik, Manager

Dennis McQueen, Manager

[CLASS A MEMBERS SHALL EXECUTE THIS COMPANY AGREEMENT BY EXECUTION OF THE SUBSCRIPTION AGREEMENT]

**CLASS B MEMBER:**

**Collective Storage Partners, LLC**

**Douglas Chojecki, Manager**

**Sonja Kapavik, Manager**

**Dennis McQueen, Manager**



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## SCHEDULE "A"

### Identity of Members and Units Held

| Member Name and Address | Units Held | Investment Amount |
|---|---|---|
| **Class A Members** | | |
| [Investors TBD] | 1,200,000 | $1,200,000 |
| | | |
| **Class B Member** | | |
| Collective Storage Partners, LLC | 1,000,000 | * |
| | | |
| | | |
| TOTAL: | 2,200,000 | $1,200,000 |

_____

* The Class B Member obtained its Class B Units in exchange for its contribution of valuable intellectual property to the Company in the form of business plans and financial projections.



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**Exhibit "C"**

**SUBSCRIPTION AGREEMENT**

*Class A Membership Interest Units*

# STOW STUFF STORAGE, LLC

(TEXAS LIMITED LIABILITY COMPANY)

October 6, 2026

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**THE OFFER OF CLASS A MEMBERSHIP INTEREST UNITS IN STOW STUFF STORAGE, LLC (THE "COMPANY") IS MADE SOLELY BY THE COMPANY'S CONFIDENTIAL PRIVATE PLACEMENT MEMORANDUM (THE "MEMORANDUM") DATED OCTOBER 6, 2026 TO WHICH THIS SUBSCRIPTION AGREEMENT IS ATTACHED AS EXHIBIT "C".**

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# STOW STUFF STORAGE, LLC

## Subscription Instructions

Subscriptions to invest in Class A Membership Interest Units of Stow Stuff Storage, LLC (the "Company") may be made only by means of the completion, execution and delivery of this Subscription Agreement. This Subscription Agreement includes questionnaires that are designed to solicit from you information the Company is required to obtain to comply with United States federal and state securities laws.

The first section of this Subscription Agreement includes the "Subscriber Information Form", which has the following three (3) parts:

- Part I: General – This section must be completed by ALL subscribers;
- Part II: Natural Persons and Grantor Trusts – This section must be completed by subscribers who are INDIVIDUALS or Grantor Trusts;
- Part III: Entities and Non-Grantor Trusts – This section must be completed by subscribers who are BUSINESS ENTITIES, such as corporations, limited partnerships, non-grantor trusts, limited liability companies, foundations, and other investors who are NOT individuals.

After completing Part I and Part II if you are an INDIVIDUAL, or Part I and Part III if you are a BUSINESS ENTITY, please sign the Subscription Agreement on the signature page.

General Instructions:

(a) Subscriber Information Form: Complete all requested information. If you are purchasing an interest with any person other than your spouse, each of you must fill out a separate questionnaire and return both completed questionnaires to the Company in the same envelope.

(b) Signature Page: Complete, date and sign the signature page of the Subscription Agreement (the "Signature Page"). If you are purchasing an interest with your spouse, you must both sign the Signature Page. If the Subscriber is an entity, the Signature Page may be completed by a duly authorized officer or agent on behalf of a Subscriber. Any person signing the Signature Page in a representative capacity should type or print on the Signature Page the name of the Subscriber, the name of the person signing the Signature Page and the capacity in which he or she is signing.

(c) Evidence of Authorization: Individual Subscribers are requested to supply a copy of Subscriber's government-issued identification (e.g., driver's license or passport) evidencing nationality or residence and bearing a photo or similar safeguard. Subscribers that are corporations should submit certified corporate resolutions authorizing the subscription and identifying the corporate officer(s) empowered to sign the subscription documents. Partnerships should submit a certified copy of the partnership certificate (in the case of limited partnerships) or partnership agreement identifying general partners. Other business entities should submit certified copies of their organizational and authorization documents similar to those described above. Trusts must submit a copy of the trust agreement or relevant portions thereof showing appointment and authority of trustee(s). Employee benefit plans (including Individual Retirement Accounts) must submit a certificate of the trustee, custodian or an appropriate officer certifying that the subscription has been authorized and identifying the individual empowered to sign the



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basic subscription documents. (Entities may be requested to furnish other or additional documentation evidencing the authority to invest in the Company.) Additionally, please submit a list of the Subscriber's "associated persons" (meaning the Subscriber's directors, principal officers and principals (e.g., greater than five percent (5%)) shareholders and partners.)

Unless otherwise defined herein, capitalized terms shall have the same meaning given such terms in the Company Agreement of the Company dated October 6, 2026 (the "Company Agreement").

**Delivery Instructions**

Please email a copy of your executed and signed subscription documents and a copy of your Verification Information to us at the addresses set forth below, and please also forward your original subscription documents to the following address:

**Stow Stuff Storage, LLC**
Attention: Collective Storage Partners, LLC, Manager
c/o CzechMex Properties, LLC
13492 Research Blvd., Suite 120-152
Austin, Texas 78750-2254

Email: czechmexproperties@gmail.com
Ph: (512) 850-5274

Mr. Douglas Chojecki, Manager

Ms. Sonja Kapavik, Manager

Mr. Dennis McQueen, Manager

Payment in full for the Class A Membership Interest Units (the "Units") subscribed to shall be made in U.S. dollars by wire transfer or check. Please contact the Company for wire transfer instructions, which will be provided for you verbally over the phone.

Upon the Company's sale and issuance of the minimum number of Units authorized for sale under the Company Agreement and Confidential Private Placement Memorandum covering the Company's sale of the Units, amounts invested by Subscriber and wired pursuant to this Agreement for Units of the Company shall be available for the Company's immediate and unrestricted use.

To facilitate prompt and accurate crediting of subscription payments, Subscribers should notify the Company of the details of the subscription payment prior to remitting such payment, indicating (i) the name of the Subscriber, (ii) the dollar amount of the subscription, (iii) the Subscriber's address (including a fax number if available), (iv) the name and address of the financial institution remitting the subscription payment, and (v) the date as of which the payment is being wired to the above-referenced trust account.

**Acceptance of Subscriptions**

The acceptance of subscriptions is within the absolute discretion of the Company. The Company may require additional information prior to making a determination about whether to accept any subscription. The Company reserves the right to reject subscriptions in whole or in part. The Company will seek to notify the Subscriber of the acceptance or rejection of the subscription prior to the date of the proposed investment.



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If the subscription is rejected, the Company will promptly refund (without interest) to the Subscriber any subscription payments received. If the subscription is accepted, the Company will deliver to Subscriber an executed Subscription Confirmation in the form included herewith.

A properly completed and signed copy of a Subscription Agreement may be submitted to the Company by email in advance of submitting the original in order to expedite processing of the application. The signed original, however, must be submitted within seven (7) days thereafter.

**Additional Information**

For additional information concerning subscriptions, prospective investors should contact the Company's Manager:

**Stow Stuff Storage, LLC**
Attention: Collective Storage Partners, LLC, Manager
c/o CzechMex Properties, LLC
13492 Research Blvd., Suite 120-152
Austin, Texas 78750-2254

Email: czechmexproperties@gmail.com
Ph: (512) 850-5274

Mr. Douglas Chojecki, Manager

Ms. Sonja Kapavik, Manager

Mr. Dennis McQueen, Manager



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**STOW STUFF STORAGE, LLC**

**Subscriber Information Form**

**PART I: GENERAL**

**********ALL SUBSCRIBERS COMPLETE THIS PART I**********

Each Subscriber for Class A Membership Interest Units in Stow Stuff Storage, LLC (the "Company") is requested to furnish the following information (please print or type):

**A. Identity of Subscriber**

Name: _____

Mailing Address: _____

_____

Telephone: _____

Facsimile: _____

E-mail Address: _____

Indicate the manner in which Subscriber desires to receive Company updates and other Company correspondence:

Mail: ☐

E-mail: ☐

Subscriber Occupation or Primary Business: _____

What is the name of the individual completing this Questionnaire on the Subscriber's behalf (if applicable)?

_____

What is the relationship of such individual to the Subscriber?

_____

Does Subscriber authorize the Company to send copies of the Company's account statements and any other correspondence relating to this investment, as they become available, to a third party, such as Subscriber's financial consultant or adviser?

☐ Yes ☐ No



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If "Yes," please supply the name, address and facsimile number, or E-mail address, where duplicate statements and other correspondence should be delivered:

_____

_____

_____

Facsimile #: _____

E-mail address: _____

By Subscriber's execution of this agreement on the signature page set forth below, Subscriber hereby authorizes the Company to deliver copies of the Company's account statements and any other correspondence relating to this investment, as they become available, to the person named above until such time as Subscriber informs the Company in writing otherwise.

**B. Verification of Identity**

**FOR INDIVIDUAL SUBSCRIBERS**, please supply a photocopy of Subscriber's government-issued identification (e.g., driver's license or passport) evidencing nationality or residence and bearing a photo or similar safeguard.

Identification Number: _____

Type of Identification (passport, driver's license, etc.): _

Issuer (e.g., state or country): _____

**FOR ENTITY SUBSCRIBERS**, please supply photocopies of documents verifying the entity's existence, such as a trust agreement, articles of incorporation, or certificate of formation, along with authorization of Subscriber's investment. Additionally, please submit a list of the Subscriber's "associated persons" (meaning the Subscriber's directors, principal officers and principal (e.g., greater than five percent (5%)) shareholders and partners. See "Evidence of Authorization" instructions on the first page of this Subscription Booklet for further guidance regarding what information will be required.

Is the Subscriber subscribing for Class A Membership Interest Units in the Company (the "Units") with the intent to sell, distribute or transfer the Units to any other person or persons?

☐ Yes ☐ No

Is the Subscriber subscribing for the Units as agent, nominee, trustee, partner or otherwise on behalf of, for the account of, or jointly with any other person or entity?

☐ Yes ☐ No



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Will any other person or persons have a beneficial interest in the Units acquired (other than as a shareholder, partner or other beneficial owner of equity interests in the Subscriber)?

☐ Yes ☐ No

Does the Subscriber control, or is the Subscriber controlled by or under common control with, the Managers or any other existing or prospective investor in the Company?

☐ Yes ☐ No

**Note:** If any of the above questions were answered "Yes," please provide identifying information below or contact the Manager:

_____

_____

_____

**C. Amount of Capital Contribution (Investment Amount)**

- Minimum of Fifty Thousand Dollars ($50,000) for Fifty Thousand (50,000) Class A Membership Interest Units (unless otherwise approved by the Manager

US$ _____ for

_____ Class A Units

**D. Remitting Bank or Financial Institution**

All subscriptions are payable in full by wire transfer of readily available funds to the Company's bank account, effective as of the acceptance of the Subscription Agreement by the Company, or on such later date as the Company shall determine. Please identify the bank or other financial institution from which the Subscriber's funds will be wired as well as applicable account information.

Name of Financial Institution: _____

Address: _____

Telephone: _____

Account Representative: _____

ABA Routing Number: _____

Account Number: _____



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**STOW STUFF STORAGE, LLC**

**Subscriber Information Form**

**PART II: INDIVIDUALS (NATURAL PERSONS) AND GRANTOR TRUSTS**

**********FOR SUBSCRIBERS WHO ARE INDIVIDUALS OR GRANTOR TRUSTS**********

**A. Please indicate desired type of ownership of the Units:**

☐ Individual (IF MARRIED BOTH YOU AND YOUR SPOUSE WILL BE REQUIRED TO SIGN IF YOU LIVE IN A COMMUNITY PROPERTY STATE*); or

☐ Trust; or

☐ Joint Tenants (rights of survivorship); or

☐ Tenants in common (no rights of survivorship); or

* Community Property (Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Puerto Rico, Texas, Washington or Wisconsin).

Note: If you are married and live in a community property state, both you and your spouse must sign the Signature Page of the Subscription Agreement.

**B. Subscriber Qualification**

*Unless otherwise indicated, responses should be given by reference to the specific person for whose account the Units are being acquired. In the case of a trust that is considered a "grantor trust" for income tax purposes, the response should be given with respect to the grantor.*

*Accredited Investor.*

☐ The Subscriber (or the grantor, in the case of a grantor trust) is a natural person whose individual net worth, or joint net worth with that person's spouse, at the time of subscription exceeds $1,000,000. (In calculating net worth, **you may not include the value of your principal residence**, but you may include equity in personal property, cash, short term investments, stock and securities. Equity in personal property and real estate **(excluding principal residence)** should be based on the fair market value of such property minus debt secured by such property. You should also exclude any mortgage on your principal residence in an amount up to its estimated fair market value, as long as the mortgage was incurred more than sixty (60) days before the date you sign this Subscription Agreement, but include any mortgage amount in excess of the principal residence's fair market value or that was borrowed during the sixty (60)-day period before signing this Subscription Agreement.)

☐ The Subscriber (or the grantor, in the case of a grantor trust) is a natural person who had an individual income in excess of $200,000 in each of the two most recent years or joint income with that person's spouse in excess of $300,000 in each of those years and has a reasonable expectation of reaching the same income level in the current year.



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☐ Subscriber is a director or executive officer of the Company.

☐ Subscriber holds one of the following licenses in good standing: General Securities Representative license (Series 7), Private Securities Offerings Representative license (Series 82), or Investment Adviser Representative license (Series 65).

If the Subscriber does not qualify as an accredited investor category listed above, please so indicate in the space provided below.

☐ The Subscriber does not satisfy any definition of "accredited investor" listed above. (If the Subscriber is not an "accredited investor", the Subscriber may only invest if the Company determines that the Subscriber is a "sophisticated investor", that is, Subscriber possesses sufficient knowledge and experience in financial and business matters that Subscriber can evaluate the relative risks and merits of an investment in the Class A Units.) By checking this box, Subscriber represents and warrants that Subscriber is a "sophisticated investor" according to the foregoing definition.

**C. Tax Information**

(i) Please provide your U.S. Social Security number:

_____

If you are purchasing the Units with your spouse, please provide your spouse's U.S. Social Security number:

_____

(ii) Is the Subscriber or trust grantor a United States citizen or permanent resident of the United States?

☐ Yes ☐ No

If you are purchasing the Units with your spouse, is your spouse a United States citizen or permanent resident of the United States?

☐ Yes ☐ No

* * * * *



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PLEASE RETURN THIS COMPLETED SUBSCRIPTION INFORMATION FORM WITH A DATED AND SIGNED COPY OF THE SIGNATURE PAGE THAT FOLLOWS THE SUBSCRIPTION AGREEMENT TO:

**Stow Stuff Storage, LLC**
Attention: Collective Storage Partners, LLC, Manager
c/o CzechMex Properties, LLC
13492 Research Blvd., Suite 120-152
Austin, Texas 78750-2254

Email: czechmexproperties@gmail.com
Ph: (512) 850-5274

Mr. Douglas Chojecki, Manager

Ms. Sonja Kapavik, Manager

Mr. Dennis McQueen, Manager



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**STOW STUFF STORAGE, LLC**

**Subscriber Information Form**

**PART III: ENTITIES AND NON-GRANTOR TRUSTS**

**A. Subscriber Qualification:**

*Accredited Investor*. Each Subscriber other than a natural person must indicate whether it qualifies as an "accredited investor" pursuant to at least one of the following tests. (Please check all that apply, or, if none applies, consult the Manager.)

☐ The Subscriber is a corporation, partnership, limited liability company, business trust or tax-exempt organization described in Section 501(c)(3) of the Internal Revenue Code of 1986, as amended, with total assets in excess of $5,000,000 that was not formed for the purpose of investing in the Company.

☐ The Subscriber is a personal (non-business) trust, other than an employee benefit trust, with total assets in excess of $5,000,000 that was not formed for the purpose of investing in the Company and whose decision to invest in the Company has been directed by a person who has such knowledge and experience in financial and business matters that he is capable of evaluating the merits and risks of the investment.

☐ The Subscriber is an employee benefit plan within the meaning of Title I of the Employee Retirement Income Security Act of 1974, as amended, (including an Individual Retirement Plan) that satisfies at least one of the following conditions:

- ☐ it has total assets in excess of $5,000,000; or
- ☐ the investment decision is being made by a plan fiduciary that is a bank, savings and loan association, insurance company or federally registered investment adviser; or
- ☐ it is a self-directed plan (i.e., a tax-qualified defined contribution plan in which a participant may exercise control over the investment of assets credited to his or her account), and the decision to invest is made by those participants investing in such plan, and each such participant qualifies as an "accredited investor."

☐ The Subscriber is an employee benefit plan established and maintained by a state, its political subdivisions or any agency or instrumentality of a state or its political subdivisions that has total assets in excess of $5,000,000.

☐ The Subscriber is licensed, or subject to supervision, by U.S. Federal or state examining authorities as a "bank", "savings and loan association", "insurance company", or "small business investment company" (as such terms are used and defined in 17 CFR §230.501(a)) or is an account for which a bank or savings and loan association is subscribing in a fiduciary capacity.

☐ The Subscriber is registered with the United States Securities and Exchange Commission as a broker or dealer or an investment company; or has elected to be treated or qualifies as a "business development company" (within the meaning of Section 2(a)(48) of the



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Investment Company Act of 1940, as amended, or Section 202(a)(22) of the Investment Advisers Act of 1940, as amended).

☐ The Subscriber is an entity in which all of the equity owners are (a) either natural persons that have, or grantor trusts whose grantor has, either (X) a net worth (individually or jointly with spouse) exceeding $1,000,000 or (Y) had an individual income in excess of $200,000 in each of the two most recent years or joint income with that person's spouse in excess of $300,000 in each of those years and has a reasonable expectation of reaching the same income level in the current year and/or (b) non-natural persons described above.

If the Subscriber does not qualify as an accredited investor pursuant to a category listed above, please so indicate in the space provided below.

☐ The Subscriber does not satisfy any definition of "accredited investor" listed above. (If the Subscriber is not an "accredited investor", the Subscriber may only invest if the Company determines that the Subscriber is a "sophisticated investor", that is, Subscriber possesses sufficient knowledge and experience in financial and business matters that Subscriber can evaluate the relative risks and merits of an investment in the Class A Units.) By checking this box, Subscriber represents and warrants that Subscriber is a "sophisticated investor" according to the foregoing definition.

**B. Organizational Data**

(i) Legal form of entity: _____

(ii) Jurisdiction of organization: _____

(iii) Year of organization: _____

(iv) Total number of shareholders, partners or other holders of equity or beneficial interests or other securities (including any debt securities other than short-term paper of the Subscriber): (If the number is more than 100, it is sufficient to respond "more than 100".)

_____

(v) Is the Subscriber a wholly-owned or majority-owned subsidiary of another entity?

☐ Yes ☐ No

(vi) Was the Subscriber organized for the specific purpose of acquiring interests in the Company?

☐ Yes ☐ No

(vii) Is the Subscriber an entity engaged primarily in investing or trading securities?

☐ Yes ☐ No

(viii) Does the Subscriber have shareholders, partners or other holders of equity or beneficial interests in the Subscriber that have been provided the opportunity to decide individually whether or not to participate, or the extent of their participation, in the Subscriber's investment in the Company (i.e., have investors in the Subscriber been permitted to



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determine whether their capital will form part of the specific capital invested by the Subscriber in the Company)?

☐ Yes ☐ No

(ix) Does the current value of the amount of the Subscriber's subscription to the Company exceed 40% of the value of the Subscriber's total assets?

☐ Yes ☐ No

(x) Benefit Plan Matters.

(a) Is the Subscriber a pension, profit-sharing, annuity or employee benefit plan (a "Plan") described in the Employee Retirement Income Security Act of 1974, as amended ("ERISA"), whether or not subject to ERISA, or is the Subscriber an entity whose underlying assets are deemed Plan assets by reason of significant investment in the Subscriber by Plans?

☐ Yes ☐ No

(b) Is the Subscriber a Plan which is both voluntary and contributory?

☐ Yes ☐ No

(c) If the Subscriber is subscribing as a trustee or custodian for an Individual Retirement Account ("IRA"), is the Subscriber a qualified IRA custodian or trustee?

☐ Yes ☐ No

(d) Is the Subscriber, or the person on whose behalf the Subscriber is investing, an insurance company investing assets that represent "plan assets" within the meaning of U.S. Department of Labor Regulations Section 2510.3-101?

☐ Yes ☐ No

(e) List below (and on a supplemental sheet if required) the name of each employer whose employees participate in each ERISA Plan that is, directly or indirectly, making an investment in the Company and each affiliate of such an employer as defined in Section 407(d)(7) of ERISA. Indicate next to each name the maximum dollar amount which the Company are permitted to invest in any class of publicly traded securities issued by such employer or affiliate.

_____ $_____

_____ $_____



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**C. Tax Information**

(i) Please provide the Subscriber's U.S. employer identification number (federal tax identification number):

_____

(ii) Please indicate the last day of the Subscriber's taxable year:

_____

(iii) Is the Subscriber exempt from Federal income tax (e.g., a qualified employee benefit plan or trust, retirement account, charitable remainder trust, or a charitable foundation or other tax-exempt organization described in Section 501(c)(3) of the Internal Revenue Code of 1986)?

☐ Yes ☐ No

If the answer is "yes," please provide documentary evidence demonstrating the basis for claiming such exemption.

* * * * * *

PLEASE RETURN THIS COMPLETED SUBSCRIPTION INFORMATION FORM WITH A DATED AND SIGNED COPY OF THE SIGNATURE PAGE THAT FOLLOWS THE SUBSCRIPTION AGREEMENT TO:

**Stow Stuff Storage, LLC**
Attention: Collective Storage Partners, LLC, Manager
c/o CzechMex Properties, LLC
13492 Research Blvd., Suite 120-152
Austin, Texas 78750-2254

Email: czechmexproperties@gmail.com
Ph: (512) 850-5274

Mr. Douglas Chojecki, Manager

Ms. Sonja Kapavik, Manager

Mr. Dennis McQueen, Manager



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**STOW STUFF STORAGE, LLC**

**SUBSCRIPTION AGREEMENT**

The undersigned (the "Subscriber") hereby acknowledges having received, read and understood the current Confidential Private Placement Memorandum dated October 6, 2026 (the "Memorandum") of Stow Stuff Storage, LLC, a limited liability company organized under the laws of the State of Texas (the "Company") and the Company Agreement of the Company (the "Company Agreement"), a copy of which is attached to the Memorandum as Exhibit "B". Capitalized terms not herein defined are used as defined in the Company Agreement. The Subscriber hereby agrees with the Company as follows:

**Capital Contribution**

The Subscriber hereby subscribes for Class A Membership Interest Units (the "Units") in the Company, and, as full payment therefor, agrees to pay to Stow Stuff Storage, LLC the amount set forth in the accompanying Subscriber Information Form completed and signed by the Subscriber, and otherwise in accordance with the terms set forth in this Subscription Agreement. Such capital contribution ("Capital Contribution") shall be payable by wire transfer or in the manner directed by the Company. The Capital Contribution shall be payable in one installment as of the proposed acceptance date of the Subscription Agreement specified by the Company or on such later date as the Company shall determine. In exchange for Subscriber's Capital Contribution, the Company will issue to the Subscriber Class A Membership Interest Units in the Company as indicated on the Subscription Confirmation to be returned to the Subscriber upon its acceptance as a Member of the Company.

The Subscriber understands that this subscription is not binding on the Company until accepted by the Company and may be rejected by the Company in whole or in part in its absolute discretion. If so rejected, Stow Stuff Storage, LLC shall return to the Subscriber, without interest or deduction, any Capital Contribution tendered by the Subscriber, and the Company and the Subscriber shall have no further obligation to each other hereunder. Unless and until the earlier of the rejection of this subscription by the Company or the effective date of the Subscriber's investment, Subscriber's subscription to the Company shall be irrevocable by the Subscriber.

**Representations, Warranties and Covenants**

To induce the Company to accept this subscription, the Subscriber hereby makes the following representations, warranties and covenants to the Company and to the Manager and Members:

(a) The information set forth in the accompanying Subscriber Information Form, as well as any information regarding Subscriber's identity and status as an accredited investor (i.e., the Verification Information), is accurate and complete as of the date hereof, and the Subscriber will promptly notify the Company of any change in such information. The Subscriber consents to the disclosure of any such information, and any other information furnished to the Company, to any governmental authority, self-regulatory organization or, to the extent required by law, to any other person.

(b) The undersigned is not acting as agent, representative or nominee for, and will not enter into any participation agreement, swap, structured note or other derivative instrument, the return from which is based in whole or in part on the return of the Units, with any third party (a "Third Party").

(c) The Subscriber is not acquiring the Units of the Company with a view to or for sale in connection with any distribution of the Units. The Subscriber (i) will not transfer or deliver all or any part of its Units except in accordance with the restrictions set forth in the Memorandum and the Company



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Agreement and (ii) will notify the Company immediately if it becomes a non-United States Person at any time during which it holds or owns any Units.

(d) To the full satisfaction of the Subscriber, the Subscriber has been furnished any materials the Subscriber has requested relating to the Company and the offering of Units, and the Subscriber has been afforded the opportunity to ask questions of representatives of the Company concerning the terms and conditions of the offering and to obtain any additional information as it may require, and all such questions have been answered to the full satisfaction of the undersigned. Other than the Memorandum, the Subscriber is not relying upon any representation or other information purported to be given on behalf of the Company or the Manager in determining to invest in the Company (it being understood that no person has been authorized by the Company or the Manager to furnish any representations or other information).

(e) The Subscriber or an advisor or consultant relied upon by the Subscriber in reaching a decision to subscribe has such knowledge and experience in financial, tax and business matters as to enable the Subscriber or such advisor or consultant to evaluate the merits and risks of an investment in the Company and to make an informed investment decision with respect thereto.

(f) The Subscriber acknowledges that an investment in the Company includes significant risks as described in the Memorandum including, without limitation, that (i) the Units involve a substantial degree of risk of loss of the Subscriber's entire investment and (ii) there is no assurance of any income from such investment.

(g) The Subscriber is satisfied that it has received adequate disclosure from the Manager in the Memorandum to enable it to understand and evaluate the compensation arrangements of the Company with the Manager and other terms of the Company Agreement and the risks associated therewith.

(h) The Subscriber understands that the Units have not been and will not be registered under the Securities Act of 1933, as amended, or any state law, and nor is the Company registered under the Investment Company Act of 1940, as amended. Subject to the limitations on the transferability of Units as set forth in the Company Agreement, the Subscriber agrees to notify the Company prior to any proposed sale, transfer, distribution or other disposition of any Units or any beneficial interest therein, and will not sell, transfer, distribute or otherwise dispose of any Units without the consent of the Company, which may be granted or withheld in the Manager's sole discretion, and unless the Units are registered or such sale, transfer, distribution or other disposition is exempt from registration. The Subscriber understands that the Company has no intention to register the Company or the Units with the United States Securities and Exchange Commission or any State of the United States and is under no obligation to assist the Subscriber in obtaining or complying with any exemption from registration. The Company may require that a proposed transferee of Units meets appropriate financial suitability standards and that the transferor furnish a legal opinion satisfactory to the Company and its counsel that the proposed transfer complies with applicable federal, state and any other applicable securities laws. An appropriate legend evidencing such restrictions may be placed on any certificates issued representing the Units, and appropriate stop transfer instructions may be placed with respect to the Units. The Company will not certificate any Unit.

(i) The Subscriber recognizes that there is not now any public market for Units of the Company and that such a market is not expected to develop; accordingly, it may not be possible for the Subscriber to liquidate readily the Subscriber's investment in the Company. The total amount of Subscriber's Capital Commitment to the Company and its other investments that are not readily marketable are not disproportionate to the Subscriber's net worth and the Subscriber has no need for immediate liquidity in the Subscriber's interest in the Units.



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(j) If the Subscriber is a natural person, the Subscriber has the legal capacity to execute, deliver and perform all obligations under this Subscription Agreement and the Company Agreement.

(k) The Subscriber represents and warrants that no party which either (i) has had any of its assets blocked under U.S. sanctions laws, or (ii) has been identified by the U.S. Government as a person whose assets are to be blocked under such laws, has any beneficial interest in the Units.

(l) If the Subscriber is a corporation, limited liability company, partnership, trust or other entity, it is authorized and qualified to become a member of, and authorized to make its Capital Contribution to the Company and otherwise to comply with its obligations under the Company Agreement; the person signing this Subscription Agreement on behalf of such entity has been duly authorized by such entity to do so; and this Subscription Agreement has been duly executed and delivered on behalf of the Subscriber and is the valid and binding agreement of the Subscriber, enforceable against the Subscriber in accordance with its terms. In addition, such Subscriber will, upon request of the Company, deliver any documents, including an opinion of counsel to the Subscriber, evidencing the existence of the Subscriber, the legality of an investment in Units of the Company and the authority of the person executing this Subscription Agreement on behalf of the Subscriber.

(m) If the Subscriber is, or is acting on behalf of, an employee benefit plan (a "Plan") which is subject to Title I of ERISA or Section 4975 of the Code, to induce the Company to accept this subscription, the Subscriber hereby makes the following additional representations, warranties and covenants to the Company and to the Company's Manager:

(i) The person executing this Subscription Agreement on behalf of the Subscriber either is a "named fiduciary" (within the meaning of ERISA) of the Subscriber, or is acting on behalf of a named fiduciary of the Subscriber pursuant to a proper delegation of authority, and in such capacity and in accordance with the constituent documents of the Subscriber, in the event that the assets of the Company at any time may constitute "Plan Assets" of the Subscriber within the meaning of the Department of Labor Regulation 2510.3-101 or Department of Labor Regulations issued pursuant to ERISA Section 401(c)(1)(A), such person hereby appoints the Manager, as the "investment manager"(within the meaning of ERISA) with authority to manage the assets of the Company.

(ii) The person executing this Subscription Agreement on behalf of the Subscriber represents and warrants on behalf of such person or the Subscriber, as applicable, as follows:

(A) The Subscriber is (x) an employee benefit plan within the meaning of Section 3(3) of Title I of ERISA, (y) a plan as defined in Section 4975(e)(1) of the Internal Revenue Code of 1986, as amended (the "Code") that is subject to Section 4975 of the Code, including individual retirement accounts or Keogh plans, or (z) any entity whose underlying assets include plan assets by reason of plans investing in such entity.

(B) The execution and delivery of this Subscription Agreement and the consummation of the transactions contemplated hereunder, and in the Memorandum and the Company Agreement will not result in a breach or violation of any charter or organizational documents pursuant to which the Subscriber was formed, or any statute, rule, regulation or order of any court or governmental agency or body having jurisdiction over the Subscriber or any of its assets, or in any material respect, any mortgage, indenture, contract, agreement or instrument to which the Subscriber is a party or otherwise subject.



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(C) The investment in the Company is permitted by the documents of the Subscriber and such documents permit the Subscriber to invest in Company which will engage in the investment program described in the Memorandum.

(iii) The Subscriber is not in any way affiliated with (i.e., does not own or control, is not owned or controlled by, nor is under common ownership or control with) any person or entity which will receive compensation, directly or indirectly, from the Company, as specifically identified and described in the Memorandum or otherwise.

(iv) The Subscriber acknowledges and agrees that the decision to invest in the Company and the review of the terms of the Company must be made solely and independently by a fiduciary of the Subscriber who has no affiliation with the Manager or any of their affiliates or employees, without relying on any recommendation of the Manager or any of their affiliates or employees as a primary basis for its decision.

(v) The appropriate fiduciaries of the Subscriber have considered the investment in light of the risks relating thereto and fiduciary responsibility provisions of ERISA applicable to the Subscriber and have determined that, in view of such considerations, the investment is appropriate for the Subscriber and is consistent with such fiduciaries' responsibilities under ERISA, and the appropriate fiduciaries (i) are responsible for the Subscriber's decision to invest in the Company, including the determination that such investment is consistent with the requirement imposed by Section 404 of ERISA that employee benefit plan investments be diversified so as to minimize the risk of large losses; (ii) are independent of the Manager and any of their affiliates and employees and of any person or entity which will receive compensation, whether directly or indirectly, from the Company, as specifically identified and described in the Memorandum or otherwise; (iii) are qualified and authorized to make such investment decision; and (iv) in making such decision, have not relied on the recommendation of the Manager or any of their affiliates or employees.

(vi) The Subscriber through the appropriate fiduciaries has been given the opportunity to discuss the Subscriber's investment in the Company, and the structure and operation of the Company with the Manager and has been given all information that the Subscriber or the appropriate fiduciaries have requested and which the Subscriber or the appropriate fiduciaries deemed relevant to the Subscriber's decision to participate in the Company.

(n) In the event the Subscriber makes any subsequent capital contributions to the Company, the Subscriber acknowledges that the representations and warranties contained herein will be deemed to be made again as of the date of such subsequent capital contribution.

**Indemnification**

The Subscriber understands the meaning and legal consequences of the representations, warranties, agreements, covenants and confirmations set forth above and agrees that the subscription made hereby may be accepted in reliance thereon. The Subscriber agrees to indemnify and hold harmless the Company and the Manager (including for this purpose each of their directors, officers, shareholders, affiliates, partners, members, managers, employees, attorneys and agents, and each person who controls the Company and each of such entities within the meaning of Section 20 of the Securities Exchange Act of 1934, as amended), and any placement or selling agent engaged by the Subscriber and the Company and/or the Manager, from and against any and all loss, damage, liability or expense, including reasonable costs and attorneys' fees and disbursements, which the Company may incur by reason of, or in connection with, any representation or warranty made herein (or in the accompanying Subscriber Information Form) not having been true when made, any misrepresentation made by the Subscriber or any failure by the Subscriber to fulfill any of the



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covenants or agreements set forth herein, in the Subscriber Information Form or in any other document provided by the Subscriber to the Company.

**Regulation S for Foreign Investment**

In connection with the Subscriber's purchase of the Units of the Company in this private offering exempt from the registration requirements of United States federal securities laws and those of the State of Texas, the Subscriber agrees to the following provisions specific to non-United States investors, which provisions are required by Regulation S promulgated by the Securities and Exchange Commission under the Securities Act:

(a) The Units have not been registered under the Securities Act and may not be offered or sold in the United States or to United States persons unless the securities are registered under the Securities Act or exempt from its registration requirements; and

(b) The Subscriber agrees not to engage in any hedging transactions involving the Units.

**Liability of Service Providers**

The Subscriber has been advised that the Company is a "small business issuer" for purposes of Section 4008.061 of the Texas Government Code (the Texas Securities Act) and that, under Section 4008.061, the maximum amount, if any, that may be recovered against any person who has been engaged to provide services relating to the offering of Units hereunder, including attorneys, accountants and consultants, is an amount equal to three times the fee paid by the Company to the person for the services related to the offer of securities, unless the finder of fact finds the person engaged in intentional wrongdoing in providing the services. By its signature below, the Subscriber acknowledges that it is aware of the limitation set forth in this paragraph.

**Miscellaneous**

(a) The Subscriber agrees that neither this Subscription Agreement nor any of the Subscriber's rights or interest herein or hereunder is transferable or assignable by the Subscriber and further agrees that the transfer or assignment of any Units acquired pursuant hereto shall be made only in accordance with the provisions hereof, the Company Agreement, and all applicable laws.

(b) The Subscriber agrees that, except as permitted by applicable law, it may not cancel, terminate or revoke this Subscription Agreement or any agreement of the Subscriber made hereunder and that this Subscription Agreement shall survive the death or legal disability of the Subscriber and shall be binding upon the Subscriber's heirs, executors, administrators, successors and assigns.

(c) All of the representations, warranties, covenants, agreements and confirmations set out above and in the Subscriber Information Form shall survive the acceptance of the subscription made herein and the issuance of any Units of the Company.

(d) This Subscription Agreement, together with the Subscriber Information Form and the Company Agreement constitute the entire agreement between the parties hereto with respect to the subject matter hereof and may be amended only by a writing executed by both parties.

(e) The Subscriber acknowledges that due to anti-money laundering laws and regulations and the USA Patriot Act, the Company may require further identification of the Subscriber before the



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subscription can be accepted and the Company shall be held harmless and indemnified against any loss arising as a result of a failure to process the application if such has not been provided by the Subscriber.

(f) Within ten (10) days after receipt of a written request therefor from the Company, the Subscriber agrees to provide such information and to execute and deliver such documents as the Company may deem reasonably necessary to comply with any and all laws and ordinances to which the Company are or may be subject.

(g) To the extent that the Subscriber has provided the Company with identification information regarding Subscriber's third-party financial advisor or consultant satisfactory to the Company in its sole discretion, the Subscriber hereby acknowledges that the Subscriber has authorized their financial consultant or adviser to wire initial or additional Capital Contributions from the Subscriber into the account provided by the Company.

(h) The Company may not assign this Agreement or its rights and obligations hereunder to any person without the express written consent of Subscriber.

**Power of Attorney**

Subject only to the acceptance of this Subscription Agreement by the Company, the Subscriber hereby (a) requests to be admitted to the Company as a Member thereof and requests that the Company reflect such admission in the Company's register of members; (b) joins in and agrees to be bound by the Company Agreement as a member; and (c) makes, constitutes and appoints the Manager, acting through any of its authorized members, directors, managers, members, partners and officers and with power of substitution, the Subscriber's true and lawful agent and attorney, with full power and authority in such Subscriber's name, place and stead, to make, execute, acknowledge, record and/or file (I) the Company Agreement, (ii) any certificate or other document required to effect the formation, continuation, qualification or dissolution of the Company in accordance with the terms of the Company Agreement or which legal counsel to the Company deems necessary or desirable to comply with any federal, state or other law applicable to the Company, and (iii) any amendments to any of the foregoing adopted or otherwise made in accordance with the provisions of the Company Agreement. The power of attorney granted hereby is a special power of attorney coupled with an interest and shall be irrevocable to the fullest extent permitted by law.

**Notices**

Any notice required or permitted to be given to the Subscriber in relation to the Company shall be sent to the address specified in the Subscriber Information Form accompanying this Subscription Agreement or to such other address as the Subscriber designates by written notice received by the Manager.

**Dispute Resolution**

(a) Any and all disputes (a "Dispute") between or among the Members and/or the Company arising (i) out of or relating to this Agreement or any alleged breach thereof, or (ii) with respect to any of the transactions, activities, purposes, management, or events related in any way to this Agreement, the Company, or the business will be resolved in accordance with the following provisions.

(b) The party desiring to resolve such Dispute shall deliver a written notice of the Dispute including the specific facts of the Dispute ("Dispute Notice") to the other parties to such Dispute. If any party delivers a Dispute Notice pursuant to this paragraph (b), the parties involved in the Dispute must meet



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at least twice within the thirty (30) day period commencing with the date of the Dispute Notice and in good faith attempt to resolve such Dispute.

(c) Each party agrees to keep all Disputes and negotiation, mediation, and arbitration proceedings strictly confidential, except for disclosures of information in the ordinary course of business of the parties or by applicable law or regulation.

(d) If any Dispute is not resolved or settled by the parties as a result of negotiation pursuant to paragraph (b) above, the parties shall submit the dispute to non-binding mediation in Dallas, Texas, before a retired judge of a federal District Court or state court, or some similarly qualified, mutually agreeable individual. The parties shall bear the costs of such mediation equally.

(e) If the Dispute is not resolved by mediation pursuant to paragraph (d) above, or if the parties fail to agree upon a mediator, within ninety (90) days after the Dispute Notice, the Dispute shall be settled by arbitration conducted in Dallas, Texas, with an arbitrator agreed upon by and between the parties, or if no agreement can be obtained, in accordance with the rules and procedures of the Commercial Arbitration Rules of the American Arbitration Association, and, to the maximum extent applicable, the Federal Arbitration Act (Title 9 of the United States Code) then in effect with respect to commercial disputes. The arbitration of such issues, including the determination of any amount of damages suffered by any party hereto by reason of the acts or omissions of any party, shall be final and binding upon all parties. The arbitrator shall be empowered to impose sanctions and to take such other Actions as the arbitrator deems necessary to the same extent a judge could pursuant to the Federal Rules of Civil Procedure and applicable law. Notwithstanding the foregoing, the arbitrator shall not be authorized to award punitive damages with respect to any such claim or controversy, nor shall any party seek punitive damages relating to any matter under, arising out of or relating to this Agreement in any other forum. Except as otherwise set forth in the Agreement, the cost of any arbitration hereunder, including the cost of the record or transcripts thereof, if any, administrative fees, and all other fees involved including reasonable attorneys' fees incurred by the party determined by the arbitrator to be the prevailing party shall be paid by the party determined by the arbitrator not to be the prevailing party, or otherwise allocated in an equitable manner as determined by the arbitrator. The parties shall instruct the arbitrator to render its decision no later than ninety (90) days after the submission of the dispute.

**Governing Law; Venue**

SUBJECT IN ALL RESPECTS TO THE DISPUTE RESOLUTION PROVISIONS SET FORTH ABOVE, THIS AGREEMENT AND THE RIGHTS OF THE MEMBERS HEREUNDER ARE GOVERNED BY AND CONSTRUED IN ACCORDANCE WITH THE LAWS OF THE STATE OF TEXAS WITHOUT REGARD TO THE CONFLICT OF LAWS RULES THEREOF. EXCLUSIVE VENUE FOR DISPUTES LIES IN THE COURTS LOCATED IN TRAVIS COUNTY, TEXAS. EACH MEMBER CONSENTS TO SERVICE OF PROCESS IN ANY ACTION OR PROCEEDING INVOLVING THE COMPANY BY THE MAILING THEREOF BY REGISTERED OR CERTIFIED MAIL, POSTAGE PREPAID, TO SUCH MEMBER'S MAILING ADDRESS SET FORTH IN THE REGISTER OF MEMBERS MAINTAINED BY THE COMPANY.

**Attorney's Fees**

If, with respect to a Dispute, a lawsuit, other judicial, or other dispute resolution action is filed in a court of law or submitted to arbitration, the prevailing party shall be entitled to reasonable attorney's fees, or arbitration expenses, and court costs.



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**STOW STUFF STORAGE, LLC**

**SUBSCRIPTION AGREEMENT**

**COMPANY AGREEMENT**

**SIGNATURE PAGE**

This Signature Page shall serve as the signature page of both the Subscription Agreement and the Company Agreement (the "Company Agreement") of STOW STUFF STORAGE, LLC (the "Company"). By Subscriber's execution of this Signature Page in the space indicated below, the Subscriber agrees and acknowledges that it has received a copy of the Company's Company Agreement and understands that the Class A Membership Interest Units subscribed for pursuant to this Subscription Agreement shall be subject in all respect to the terms and conditions of such Company Agreement. Subscriber agrees to be bound by all of the provisions of the Company Agreement as a Member of the Company. Subscriber will be admitted as a Member holding Class A Membership Interest Units upon its receipt of a Subscription Confirmation executed by the Company. The effective date of the Subscriber's admission to the Company as a Member shall be the Effective Date set forth in the Subscription Confirmation.

IN WITNESS WHEREOF, the undersigned has executed this Signature Page as of the date set forth below.

_____

Name of Subscriber

_____

Signature

_____

Name and title or representative capacity, if applicable

_____

Name of Spouse
*(if a natural person and purchasing jointly)*

_____

Signature of Spouse
*(if a natural person and purchasing jointly)*

_____

Date



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**STOW STUFF STORAGE, LLC**

**SUBSCRIPTION CONFIRMATION**

STOW STUFF STORAGE, LLC (the "Company") hereby accepts the above application of

_____ *[insert name of Subscriber]* for a subscription of Class A Membership Interest Units in the Company and admits the Subscriber as a Member of the Company as of the Effective Date written below.

Subscription Amount Accepted:

$_____

Class A Membership Interest Units Issued to Subscriber by STOW STUFF STORAGE, LLC:

_____ (_____) ($1.00 per Unit)

Effective Date: _____, 2026

**COMPANY:**

STOW STUFF STORAGE, LLC

By: Collective Storage Partners, LLC, Its Sole Manager

_____
Douglas Chojecki, Manager

OR

_____
Sonja Kapavik, Manager

OR

_____
Dennis McQueen, Manager

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******PLEASE NOTE: This page is to be completed only by the Company following its acceptance of a Subscriber's subscription for Membership Interests of the Company.**

Form **W-9**
(Rev. March 2024)
Department of the Treasury
Internal Revenue Service

# Request for Taxpayer Identification Number and Certification

**Go to *www.irs.gov/FormW9* for instructions and the latest information.**

**Give form to the requester. Do not send to the IRS.**

**Before you begin.** For guidance related to the purpose of Form W-9, see *Purpose of Form*, below.

**Print or type.** See ***Specific Instructions*** on page 3.

**1** Name of entity/individual. An entry is required. (For a sole proprietor or disregarded entity, enter the owner's name on line 1, and enter the business/disregarded entity's name on line 2.)

Chinmayee S

**2** Business name/disregarded entity name, if different from above.

**3a** Check the appropriate box for federal tax classification of the entity/individual whose name is entered on line 1. Check only **one** of the following seven boxes.

☐ Individual/sole proprietor ☐ C corporation ☐ S corporation ☐ Partnership ☐ Trust/estate

☐ LLC. Enter the tax classification (C = C corporation, S = S corporation, P = Partnership) . . . . .

**Note:** Check the "LLC" box above and, in the entry space, enter the appropriate code (C, S, or P) for the tax classification of the LLC, unless it is a disregarded entity. A disregarded entity should instead check the appropriate box for the tax classification of its owner.

☐ Other (see instructions)

**3b** If on line 3a you checked "Partnership" or "Trust/estate," or checked "LLC" and entered "P" as its tax classification, and you are providing this form to a partnership, trust, or estate in which you have an ownership interest, check this box if you have any foreign partners, owners, or beneficiaries. See instructions . . . . . ☐

**4** Exemptions (codes apply only to certain entities, not individuals; see instructions on page 3):

Exempt payee code (if any)

Exemption from Foreign Account Tax Compliance Act (FATCA) reporting code (if any)

*(Applies to accounts maintained outside the United States.)*

**5** Address (number, street, and apt. or suite no.). See instructions.

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**6** City, state, and ZIP code

Abbeville, AL 21312

Requester's name and address (optional)

**7** List account number(s) here (optional)

## Part I Taxpayer Identification Number (TIN)

Enter your TIN in the appropriate box. The TIN provided must match the name given on line 1 to avoid backup withholding. For individuals, this is generally your social security number (SSN). However, for a resident alien, sole proprietor, or disregarded entity, see the instructions for Part I, later. For other entities, it is your employer identification number (EIN). If you do not have a number, see *How to get a TIN*, later.

**Note:** If the account is in more than one name, see the instructions for line 1. See also *What Name and Number To Give the Requester* for guidelines on whose number to enter.

**Social security number**

X X X – X X – 3 1 2 3

**or**

**Employer identification number**

– 

## Part II Certification

Under penalties of perjury, I certify that:

1. The number shown on this form is my correct taxpayer identification number (or I am waiting for a number to be issued to me); and
2. I am not subject to backup withholding because (a) I am exempt from backup withholding, or (b) I have not been notified by the Internal Revenue Service (IRS) that I am subject to backup withholding as a result of a failure to report all interest or dividends, or (c) the IRS has notified me that I am no longer subject to backup withholding; and
3. I am a U.S. citizen or other U.S. person (defined below); and
4. The FATCA code(s) entered on this form (if any) indicating that I am exempt from FATCA reporting is correct.

**Certification instructions.** You must cross out item 2 above if you have been notified by the IRS that you are currently subject to backup withholding because you have failed to report all interest and dividends on your tax return. For real estate transactions, item 2 does not apply. For mortgage interest paid, acquisition or abandonment of secured property, cancellation of debt, contributions to an individual retirement arrangement (IRA), and, generally, payments other than interest and dividends, you are not required to sign the certification, but you must provide your correct TIN. See the instructions for Part II, later.

**Sign Here** **Signature of U.S. person** **Date**

# General Instructions

Section references are to the Internal Revenue Code unless otherwise noted.

**Future developments**. For the latest information about developments related to Form W-9 and its instructions, such as legislation enacted after they were published, go to *www.irs.gov/FormW9*.

## What's New

Line 3a has been modified to clarify how a disregarded entity completes this line. An LLC that is a disregarded entity should check the appropriate box for the tax classification of its owner. Otherwise, it should check the "LLC" box and enter its appropriate tax classification.

New line 3b has been added to this form. A flow-through entity is required to complete this line to indicate that it has direct or indirect foreign partners, owners, or beneficiaries when it provides the Form W-9 to another flow-through entity in which it has an ownership interest. This change is intended to provide a flow-through entity with information regarding the status of its indirect foreign partners, owners, or beneficiaries, so that it can satisfy any applicable reporting requirements. For example, a partnership that has any indirect foreign partners may be required to complete Schedules K-2 and K-3. See the Partnership Instructions for Schedules K-2 and K-3 (Form 1065).

## Purpose of Form

An individual or entity (Form W-9 requester) who is required to file an information return with the IRS is giving you this form because they



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must obtain your correct taxpayer identification number (TIN), which may be your social security number (SSN), individual taxpayer identification number (ITIN), adoption taxpayer identification number (ATIN), or employer identification number (EIN), to report on an information return the amount paid to you, or other amount reportable on an information return. Examples of information returns include, but are not limited to, the following.

- Form 1099-INT (interest earned or paid).
- Form 1099-DIV (dividends, including those from stocks or mutual funds).
- Form 1099-MISC (various types of income, prizes, awards, or gross proceeds).
- Form 1099-NEC (nonemployee compensation).
- Form 1099-B (stock or mutual fund sales and certain other transactions by brokers).
- Form 1099-S (proceeds from real estate transactions).
- Form 1099-K (merchant card and third-party network transactions).
- Form 1098 (home mortgage interest), 1098-E (student loan interest), and 1098-T (tuition).
- Form 1099-C (canceled debt).
- Form 1099-A (acquisition or abandonment of secured property).

Use Form W-9 only if you are a U.S. person (including a resident alien), to provide your correct TIN.

**Caution:** If you don't return Form W-9 to the requester with a TIN, you might be subject to backup withholding. See *What is backup withholding*, later.

**By signing the filled-out form**, you:

1. Certify that the TIN you are giving is correct (or you are waiting for a number to be issued);

2. Certify that you are not subject to backup withholding; or

3. Claim exemption from backup withholding if you are a U.S. exempt payee; and

4. Certify to your non-foreign status for purposes of withholding under chapter 3 or 4 of the Code (if applicable); and

5. Certify that FATCA code(s) entered on this form (if any) indicating that you are exempt from the FATCA reporting is correct. See *What Is FATCA Reporting*, later, for further information.

**Note:** If you are a U.S. person and a requester gives you a form other than Form W-9 to request your TIN, you must use the requester's form if it is substantially similar to this Form W-9.

**Definition of a U.S. person.** For federal tax purposes, you are considered a U.S. person if you are:

- An individual who is a U.S. citizen or U.S. resident alien;
- A partnership, corporation, company, or association created or organized in the United States or under the laws of the United States;
- An estate (other than a foreign estate); or
- A domestic trust (as defined in Regulations section 301.7701-7).

**Establishing U.S. status for purposes of chapter 3 and chapter 4 withholding.** Payments made to foreign persons, including certain distributions, allocations of income, or transfers of sales proceeds, may be subject to withholding under chapter 3 or chapter 4 of the Code (sections 1441–1474). Under those rules, if a Form W-9 or other certification of non-foreign status has not been received, a withholding agent, transferee, or partnership (payor) generally applies presumption rules that may require the payor to withhold applicable tax from the recipient, owner, transferor, or partner (payee). See Pub. 515, Withholding of Tax on Nonresident Aliens and Foreign Entities.

The following persons must provide Form W-9 to the payor for purposes of establishing its non-foreign status.

- In the case of a disregarded entity with a U.S. owner, the U.S. owner of the disregarded entity and not the disregarded entity.
- In the case of a grantor trust with a U.S. grantor or other U.S. owner, generally, the U.S. grantor or other U.S. owner of the grantor trust and not the grantor trust.
- In the case of a U.S. trust (other than a grantor trust), the U.S. trust and not the beneficiaries of the trust.

See Pub. 515 for more information on providing a Form W-9 or a certification of non-foreign status to avoid withholding.

**Foreign person.** If you are a foreign person or the U.S. branch of a foreign bank that has elected to be treated as a U.S. person (under Regulations section 1.1441-1(b)(2)(iv) or other applicable section for chapter 3 or 4 purposes), do not use Form W-9. Instead, use the appropriate Form W-8 or Form 8233 (see Pub. 515). If you are a qualified foreign pension fund under Regulations section 1.897(l)-1(d), or a partnership that is wholly owned by qualified foreign pension funds, that is treated as a non-foreign person for purposes of section 1445 withholding, do not use Form W-9. Instead, use Form W-8EXP (or other certification of non-foreign status).

**Nonresident alien who becomes a resident alien.** Generally, only a nonresident alien individual may use the terms of a tax treaty to reduce or eliminate U.S. tax on certain types of income. However, most tax treaties contain a provision known as a saving clause. Exceptions specified in the saving clause may permit an exemption from tax to continue for certain types of income even after the payee has otherwise become a U.S. resident alien for tax purposes.

If you are a U.S. resident alien who is relying on an exception contained in the saving clause of a tax treaty to claim an exemption from U.S. tax on certain types of income, you must attach a statement to Form W-9 that specifies the following five items.

1. The treaty country. Generally, this must be the same treaty under which you claimed exemption from tax as a nonresident alien.

2. The treaty article addressing the income.

3. The article number (or location) in the tax treaty that contains the saving clause and its exceptions.

4. The type and amount of income that qualifies for the exemption from tax.

5. Sufficient facts to justify the exemption from tax under the terms of the treaty article.

***Example.*** Article 20 of the U.S.-China income tax treaty allows an exemption from tax for scholarship income received by a Chinese student temporarily present in the United States. Under U.S. law, this student will become a resident alien for tax purposes if their stay in the United States exceeds 5 calendar years. However, paragraph 2 of the first Protocol to the U.S.-China treaty (dated April 30, 1984) allows the provisions of Article 20 to continue to apply even after the Chinese student becomes a resident alien of the United States. A Chinese student who qualifies for this exception (under paragraph 2 of the first Protocol) and is relying on this exception to claim an exemption from tax on their scholarship or fellowship income would attach to Form W-9 a statement that includes the information described above to support that exemption.

If you are a nonresident alien or a foreign entity, give the requester the appropriate completed Form W-8 or Form 8233.

## Backup Withholding

**What is backup withholding?** Persons making certain payments to you must under certain conditions withhold and pay to the IRS 24% of such payments. This is called "backup withholding." Payments that may be subject to backup withholding include, but are not limited to, interest, tax-exempt interest, dividends, broker and barter exchange transactions, rents, royalties, nonemployee pay, payments made in settlement of payment card and third-party network transactions, and certain payments from fishing boat operators. Real estate transactions are not subject to backup withholding.

You will not be subject to backup withholding on payments you receive if you give the requester your correct TIN, make the proper certifications, and report all your taxable interest and dividends on your tax return.

**Payments you receive will be subject to backup withholding if:**

1. You do not furnish your TIN to the requester;

2. You do not certify your TIN when required (see the instructions for Part II for details);

3. The IRS tells the requester that you furnished an incorrect TIN;

4. The IRS tells you that you are subject to backup withholding because you did not report all your interest and dividends on your tax return (for reportable interest and dividends only); or

5. You do not certify to the requester that you are not subject to backup withholding, as described in item 4 under "*By signing the filled-out form*" above (for reportable interest and dividend accounts opened after 1983 only).

Certain payees and payments are exempt from backup withholding. See *Exempt payee code*, later, and the separate Instructions for the Requester of Form W-9 for more information.

See also *Establishing U.S. status for purposes of chapter 3 and chapter 4 withholding*, earlier.

## What Is FATCA Reporting?

The Foreign Account Tax Compliance Act (FATCA) requires a participating foreign financial institution to report all U.S. account holders that are specified U.S. persons. Certain payees are exempt from FATCA reporting. See *Exemption from FATCA reporting code*, later, and the Instructions for the Requester of Form W-9 for more information.

## Updating Your Information

You must provide updated information to any person to whom you claimed to be an exempt payee if you are no longer an exempt payee and anticipate receiving reportable payments in the future from this person. For example, you may need to provide updated information if you are a C corporation that elects to be an S corporation, or if you are no longer tax exempt. In addition, you must furnish a new Form W-9 if the name or TIN changes for the account, for example, if the grantor of a grantor trust dies.

## Penalties

**Failure to furnish TIN.** If you fail to furnish your correct TIN to a requester, you are subject to a penalty of $50 for each such failure unless your failure is due to reasonable cause and not to willful neglect.

**Civil penalty for false information with respect to withholding.** If you make a false statement with no reasonable basis that results in no backup withholding, you are subject to a $500 penalty.

**Criminal penalty for falsifying information.** Willfully falsifying certifications or affirmations may subject you to criminal penalties including fines and/or imprisonment.

**Misuse of TINs.** If the requester discloses or uses TINs in violation of federal law, the requester may be subject to civil and criminal penalties.

# Specific Instructions

### Line 1

You must enter one of the following on this line; **do not** leave this line blank. The name should match the name on your tax return.

If this Form W-9 is for a joint account (other than an account maintained by a foreign financial institution (FFI)), list first, and then circle, the name of the person or entity whose number you entered in Part I of Form W-9. If you are providing Form W-9 to an FFI to document a joint account, each holder of the account that is a U.S. person must provide a Form W-9.

• **Individual.** Generally, enter the name shown on your tax return. If you have changed your last name without informing the Social Security Administration (SSA) of the name change, enter your first name, the last name as shown on your social security card, and your new last name.

**Note for ITIN applicant:** Enter your individual name as it was entered on your Form W-7 application, line 1a. This should also be the same as the name you entered on the Form 1040 you filed with your application.

• **Sole proprietor.** Enter your individual name as shown on your Form 1040 on line 1. Enter your business, trade, or "doing business as" (DBA) name on line 2.

• **Partnership, C corporation, S corporation, or LLC, other than a disregarded entity.** Enter the entity's name as shown on the entity's tax return on line 1 and any business, trade, or DBA name on line 2.

• **Other entities.** Enter your name as shown on required U.S. federal tax documents on line 1. This name should match the name shown on the charter or other legal document creating the entity. Enter any business, trade, or DBA name on line 2.

• **Disregarded entity.** In general, a business entity that has a single owner, including an LLC, and is not a corporation, is disregarded as an entity separate from its owner (a disregarded entity). See Regulations section 301.7701-2(c)(2). A disregarded entity should check the appropriate box for the tax classification of its owner. Enter the owner's name on line 1. The name of the owner entered on line 1 should never be a disregarded entity. The name on line 1 should be the name shown on the income tax return on which the income should be reported. For example, if a foreign LLC that is treated as a disregarded entity for U.S. federal tax purposes has a single owner that is a U.S. person, the U.S. owner's name is required to be provided on line 1. If the direct owner of the entity is also a disregarded entity, enter the first owner that is not disregarded for federal tax purposes. Enter the disregarded entity's name on line 2. If the owner of the disregarded entity is a foreign person, the owner must complete an appropriate Form W-8 instead of a Form W-9. This is the case even if the foreign person has a U.S. TIN.

### Line 2

If you have a business name, trade name, DBA name, or disregarded entity name, enter it on line 2.

### Line 3a

Check the appropriate box on line 3a for the U.S. federal tax classification of the person whose name is entered on line 1. Check only one box on line 3a.

| IF the entity/individual on line 1 is a(n) . . . | THEN check the box for . . . |
|---|---|
| • Corporation | Corporation. |
| • Individual or<br>• Sole proprietorship | Individual/sole proprietor. |
| • LLC classified as a partnership for U.S. federal tax purposes or<br>• LLC that has filed Form 8832 or 2553 electing to be taxed as a corporation | Limited liability company and enter the appropriate tax classification:<br>P = Partnership,<br>C = C corporation, or<br>S = S corporation. |
| • Partnership | Partnership. |
| • Trust/estate | Trust/estate. |

### Line 3b

Check this box if you are a partnership (including an LLC classified as a partnership for U.S. federal tax purposes), trust, or estate that has any foreign partners, owners, or beneficiaries, and you are providing this form to a partnership, trust, or estate, in which you have an ownership interest. You must check the box on line 3b if you receive a Form W-8 (or documentary evidence) from any partner, owner, or beneficiary establishing foreign status or if you receive a Form W-9 from any partner, owner, or beneficiary that has checked the box on line 3b.

**Note:** A partnership that provides a Form W-9 and checks box 3b may be required to complete Schedules K-2 and K-3 (Form 1065). For more information, see the Partnership Instructions for Schedules K-2 and K-3 (Form 1065).

If you are required to complete line 3b but fail to do so, you may not receive the information necessary to file a correct information return with the IRS or furnish a correct payee statement to your partners or beneficiaries. See, for example, sections 6698, 6722, and 6724 for penalties that may apply.

### Line 4 Exemptions

If you are exempt from backup withholding and/or FATCA reporting, enter in the appropriate space on line 4 any code(s) that may apply to you.

**Exempt payee code.**

• Generally, individuals (including sole proprietors) are not exempt from backup withholding.

• Except as provided below, corporations are exempt from backup withholding for certain payments, including interest and dividends.

• Corporations are not exempt from backup withholding for payments made in settlement of payment card or third-party network transactions.

• Corporations are not exempt from backup withholding with respect to attorneys' fees or gross proceeds paid to attorneys, and corporations that provide medical or health care services are not exempt with respect to payments reportable on Form 1099-MISC.

The following codes identify payees that are exempt from backup withholding. Enter the appropriate code in the space on line 4.

1—An organization exempt from tax under section 501(a), any IRA, or a custodial account under section 403(b)(7) if the account satisfies the requirements of section 401(f)(2).

2—The United States or any of its agencies or instrumentalities.

3—A state, the District of Columbia, a U.S. commonwealth or territory, or any of their political subdivisions or instrumentalities.

4—A foreign government or any of its political subdivisions, agencies, or instrumentalities.

5—A corporation.

6—A dealer in securities or commodities required to register in the United States, the District of Columbia, or a U.S. commonwealth or territory.

7—A futures commission merchant registered with the Commodity Futures Trading Commission.

8—A real estate investment trust.

9—An entity registered at all times during the tax year under the Investment Company Act of 1940.

10—A common trust fund operated by a bank under section 584(a).

11—A financial institution as defined under section 581.

12—A middleman known in the investment community as a nominee or custodian.

13—A trust exempt from tax under section 664 or described in section 4947.

The following chart shows types of payments that may be exempt from backup withholding. The chart applies to the exempt payees listed above, 1 through 13.

| IF the payment is for . . . | THEN the payment is exempt for . . . |
|---|---|
| • Interest and dividend payments | All exempt payees except for 7. |
| • Broker transactions | Exempt payees 1 through 4 and 6 through 11 and all C corporations. S corporations must not enter an exempt payee code because they are exempt only for sales of noncovered securities acquired prior to 2012. |
| • Barter exchange transactions and patronage dividends | Exempt payees 1 through 4. |
| • Payments over $600 required to be reported and direct sales over $5,000[1] | Generally, exempt payees 1 through 5.[2] |
| • Payments made in settlement of payment card or third-party network transactions | Exempt payees 1 through 4. |

[1] See Form 1099-MISC, Miscellaneous Information, and its instructions.

[2] However, the following payments made to a corporation and reportable on Form 1099-MISC are not exempt from backup withholding: medical and health care payments, attorneys' fees, gross proceeds paid to an attorney reportable under section 6045(f), and payments for services paid by a federal executive agency.

**Exemption from FATCA reporting code.** The following codes identify payees that are exempt from reporting under FATCA. These codes apply to persons submitting this form for accounts maintained outside of the United States by certain foreign financial institutions. Therefore, if you are only submitting this form for an account you hold in the United States, you may leave this field blank. Consult with the person requesting this form if you are uncertain if the financial institution is subject to these requirements. A requester may indicate that a code is not required by providing you with a Form W-9 with "Not Applicable" (or any similar indication) entered on the line for a FATCA exemption code.

A—An organization exempt from tax under section 501(a) or any individual retirement plan as defined in section 7701(a)(37).

B—The United States or any of its agencies or instrumentalities.

C—A state, the District of Columbia, a U.S. commonwealth or territory, or any of their political subdivisions or instrumentalities.

D—A corporation the stock of which is regularly traded on one or more established securities markets, as described in Regulations section 1.1472-1(c)(1)(i).

E—A corporation that is a member of the same expanded affiliated group as a corporation described in Regulations section 1.1472-1(c)(1)(i).

F—A dealer in securities, commodities, or derivative financial instruments (including notional principal contracts, futures, forwards, and options) that is registered as such under the laws of the United States or any state.

G—A real estate investment trust.

H—A regulated investment company as defined in section 851 or an entity registered at all times during the tax year under the Investment Company Act of 1940.

I—A common trust fund as defined in section 584(a).

J—A bank as defined in section 581.

K—A broker.

L—A trust exempt from tax under section 664 or described in section 4947(a)(1).

M—A tax-exempt trust under a section 403(b) plan or section 457(g) plan.

**Note:** You may wish to consult with the financial institution requesting this form to determine whether the FATCA code and/or exempt payee code should be completed.

### Line 5

Enter your address (number, street, and apartment or suite number). This is where the requester of this Form W-9 will mail your information returns. If this address differs from the one the requester already has on file, enter "NEW" at the top. If a new address is provided, there is still a chance the old address will be used until the payor changes your address in their records.

### Line 6

Enter your city, state, and ZIP code.

## Part I. Taxpayer Identification Number (TIN)

**Enter your TIN in the appropriate box.** If you are a resident alien and you do not have, and are not eligible to get, an SSN, your TIN is your IRS ITIN. Enter it in the entry space for the Social security number. If you do not have an ITIN, see *How to get a TIN* below.

If you are a sole proprietor and you have an EIN, you may enter either your SSN or EIN.

If you are a single-member LLC that is disregarded as an entity separate from its owner, enter the owner's SSN (or EIN, if the owner has one). If the LLC is classified as a corporation or partnership, enter the entity's EIN.

**Note:** See *What Name and Number To Give the Requester*, later, for further clarification of name and TIN combinations.

**How to get a TIN.** If you do not have a TIN, apply for one immediately. To apply for an SSN, get Form SS-5, Application for a Social Security Card, from your local SSA office or get this form online at *www.SSA.gov*. You may also get this form by calling 800-772-1213. Use Form W-7, Application for IRS Individual Taxpayer Identification Number, to apply for an ITIN, or Form SS-4, Application for Employer Identification Number, to apply for an EIN. You can apply for an EIN online by accessing the IRS website at *www.irs.gov/EIN*. Go to *www.irs.gov/Forms* to view, download, or print Form W-7 and/or Form SS-4. Or, you can go to *www.irs.gov/OrderForms* to place an order and have Form W-7 and/or Form SS-4 mailed to you within 15 business days.

If you are asked to complete Form W-9 but do not have a TIN, apply for a TIN and enter "Applied For" in the space for the TIN, sign and date the form, and give it to the requester. For interest and dividend payments, and certain payments made with respect to readily tradable instruments, you will generally have 60 days to get a TIN and give it to the requester before you are subject to backup withholding on payments. The 60-day rule does not apply to other types of payments. You will be subject to backup withholding on all such payments until you provide your TIN to the requester.

**Note:** Entering "Applied For" means that you have already applied for a TIN or that you intend to apply for one soon. See also *Establishing U.S. status for purposes of chapter 3 and chapter 4 withholding*, earlier, for when you may instead be subject to withholding under chapter 3 or 4 of the Code.

**Caution:** A disregarded U.S. entity that has a foreign owner must use the appropriate Form W-8.

## Part II. Certification

To establish to the withholding agent that you are a U.S. person, or resident alien, sign Form W-9. You may be requested to sign by the withholding agent even if item 1, 4, or 5 below indicates otherwise.

For a joint account, only the person whose TIN is shown in Part I should sign (when required). In the case of a disregarded entity, the person identified on line 1 must sign. Exempt payees, see *Exempt payee code*, earlier.

**Signature requirements.** Complete the certification as indicated in items 1 through 5 below.

**1. Interest, dividend, and barter exchange accounts opened before 1984 and broker accounts considered active during 1983.** You must give your correct TIN, but you do not have to sign the certification.

**2. Interest, dividend, broker, and barter exchange accounts opened after 1983 and broker accounts considered inactive during 1983.** You must sign the certification or backup withholding will apply. If you are subject to backup withholding and you are merely providing your correct TIN to the requester, you must cross out item 2 in the certification before signing the form.

**3. Real estate transactions.** You must sign the certification. You may cross out item 2 of the certification.

**4. Other payments.** You must give your correct TIN, but you do not have to sign the certification unless you have been notified that you have previously given an incorrect TIN. "Other payments" include payments made in the course of the requester's trade or business for rents, royalties, goods (other than bills for merchandise), medical and health care services (including payments to corporations), payments to a nonemployee for services, payments made in settlement of payment card and third-party network transactions, payments to certain fishing boat crew members and fishermen, and gross proceeds paid to attorneys (including payments to corporations).

**5. Mortgage interest paid by you, acquisition or abandonment of secured property, cancellation of debt, qualified tuition program payments (under section 529), ABLE accounts (under section 529A), IRA, Coverdell ESA, Archer MSA or HSA contributions or distributions, and pension distributions.** You must give your correct TIN, but you do not have to sign the certification.

## What Name and Number To Give the Requester

| For this type of account: | Give name and SSN of: |
|---|---|
| 1. Individual | The individual |
| 2. Two or more individuals (joint account) other than an account maintained by an FFI | The actual owner of the account or, if combined funds, the first individual on the account[1] |
| 3. Two or more U.S. persons (joint account maintained by an FFI) | Each holder of the account |
| 4. Custodial account of a minor (Uniform Gift to Minors Act) | The minor[2] |
| 5. a. The usual revocable savings trust (grantor is also trustee) | The grantor-trustee[1] |
| b. So-called trust account that is not a legal or valid trust under state law | The actual owner[1] |
| 6. Sole proprietorship or disregarded entity owned by an individual | The owner[3] |
| 7. Grantor trust filing under Optional Filing Method 1 (see Regulations section 1.671-4(b)(2)(i)(A))** | The grantor* |
| 8. Disregarded entity not owned by an individual | The owner |
| 9. A valid trust, estate, or pension trust | Legal entity[4] |
| 10. Corporation or LLC electing corporate status on Form 8832 or Form 2553 | The corporation |
| 11. Association, club, religious, charitable, educational, or other tax-exempt organization | The organization |
| 12. Partnership or multi-member LLC | The partnership |
| 13. A broker or registered nominee | The broker or nominee |
| 14. Account with the Department of Agriculture in the name of a public entity (such as a state or local government, school district, or prison) that receives agricultural program payments | The public entity |
| 15. Grantor trust filing Form 1041 or under the Optional Filing Method 2, requiring Form 1099 (see Regulations section 1.671-4(b)(2)(i)(B))** | The trust |

[1] List first and circle the name of the person whose number you furnish. If only one person on a joint account has an SSN, that person's number must be furnished.

[2] Circle the minor's name and furnish the minor's SSN.

[3] You must show your individual name on line 1, and enter your business or DBA name, if any, on line 2. You may use either your SSN or EIN (if you have one), but the IRS encourages you to use your SSN.

[4] List first and circle the name of the trust, estate, or pension trust. (Do not furnish the TIN of the personal representative or trustee unless the legal entity itself is not designated in the account title.)

* **Note:** The grantor must also provide a Form W-9 to the trustee of the trust.

** For more information on optional filing methods for grantor trusts, see the Instructions for Form 1041.

**Note:** If no name is circled when more than one name is listed, the number will be considered to be that of the first name listed.

## Secure Your Tax Records From Identity Theft

Identity theft occurs when someone uses your personal information, such as your name, SSN, or other identifying information, without your permission to commit fraud or other crimes. An identity thief may use your SSN to get a job or may file a tax return using your SSN to receive a refund.

To reduce your risk:

- Protect your SSN,
- Ensure your employer is protecting your SSN, and
- Be careful when choosing a tax return preparer.

If your tax records are affected by identity theft and you receive a notice from the IRS, respond right away to the name and phone number printed on the IRS notice or letter.

If your tax records are not currently affected by identity theft but you think you are at risk due to a lost or stolen purse or wallet, questionable credit card activity, or a questionable credit report, contact the IRS Identity Theft Hotline at 800-908-4490 or submit Form 14039.

For more information, see Pub. 5027, Identity Theft Information for Taxpayers.

Victims of identity theft who are experiencing economic harm or a systemic problem, or are seeking help in resolving tax problems that have not been resolved through normal channels, may be eligible for Taxpayer Advocate Service (TAS) assistance. You can reach TAS by calling the TAS toll-free case intake line at 877-777-4778 or TTY/TDD 800-829-4059.

**Protect yourself from suspicious emails or phishing schemes.** Phishing is the creation and use of email and websites designed to mimic legitimate business emails and websites. The most common act is sending an email to a user falsely claiming to be an established legitimate enterprise in an attempt to scam the user into surrendering private information that will be used for identity theft.

The IRS does not initiate contacts with taxpayers via emails. Also, the IRS does not request personal detailed information through email or ask taxpayers for the PIN numbers, passwords, or similar secret access information for their credit card, bank, or other financial accounts.

If you receive an unsolicited email claiming to be from the IRS, forward this message to *phishing@irs.gov*. You may also report misuse of the IRS name, logo, or other IRS property to the Treasury Inspector General for Tax Administration (TIGTA) at 800-366-4484. You can forward suspicious emails to the Federal Trade Commission at *spam@uce.gov* or report them at *www.ftc.gov/complaint*. You can contact the FTC at *www.ftc.gov/idtheft* or 877-IDTHEFT (877-438-4338). If you have been the victim of identity theft, see *www.IdentityTheft.gov* and Pub. 5027.

Go to *www.irs.gov/IdentityTheft* to learn more about identity theft and how to reduce your risk.

## Privacy Act Notice

Section 6109 of the Internal Revenue Code requires you to provide your correct TIN to persons (including federal agencies) who are required to file information returns with the IRS to report interest, dividends, or certain other income paid to you; mortgage interest you paid; the acquisition or abandonment of secured property; the cancellation of debt; or contributions you made to an IRA, Archer MSA, or HSA. The person collecting this form uses the information on the form to file information returns with the IRS, reporting the above information. Routine uses of this information include giving it to the Department of Justice for civil and criminal litigation and to cities, states, the District of Columbia, and U.S. commonwealths and territories for use in administering their laws. The information may also be disclosed to other countries under a treaty, to federal and state agencies to enforce civil and criminal laws, or to federal law enforcement and intelligence agencies to combat terrorism. You must provide your TIN whether or not you are required to file a tax return. Under section 3406, payors must generally withhold a percentage of taxable interest, dividends, and certain other payments to a payee who does not give a TIN to the payor. Certain penalties may also apply for providing false or fraudulent information.

# Certificate of Completion

Electronic signature audit trail · Tamper-evident record

**ENVELOPE ID**
E55E1865 5287400A 9C809EE1 C1558A74

**SUBJECT**
__sx_portal_signing__

**DOCUMENT PAGES**
112

**CERTIFICATE PAGES**
1

**SIGNATURES**
2

**INITIALS**
0

**AUTONAV**
Enabled

**ENVELOPE ID STAMPING**
Enabled

**STATUS**
Completed

**ORIGINATOR**
Admin Workspace

**TIME ZONE**
Coordinated Universal Time (UTC)

## RECORD TRACKING

| EVENT | PARTY | IP / LOCATION |
|---|---|---|
| **Original · 27-Oct-2026, 10:02 AM (UTC+00:00) Coordinated Universal Time** | Admin Workspace | SignFlow Platform |
| **Sent · 27-Oct-2026, 10:02 AM (UTC+00:00) Coordinated Universal Time** | Local SyndicationX | — |

## SENDER DETAILS

**SENDER**

NAME
Local SyndicationX

EMAIL
API Integration

ORGANIZATION
Admin Workspace

**DELIVERY**

METHOD
Email invitation

PLATFORM
SignFlow

SECURITY
Encrypted in transit

**TIMESTAMPS**

SENT
27-Oct-2026, 10:02 AM
(UTC+00:00) Coordinated Universal Time
IP —

## SIGNER EVENTS

**SIGNER**

Signer 1 of 2

**chinmayee.s@qualesce.com**

chinmayee.s@qualesce.com

ROLE
Investor (Buyer)

PROFILE
Individual

SECURITY
Email

DISCLOSURE
Accepted

**SIGNATURE**

Signed by



ID A86E667A 54F84C4A
6C4B7DDE 4D0EE197

**TIMESTAMPS**

SENT
27-Oct-2026, 10:04 AM
(UTC+00:00) Coordinated Universal Time
IP —

VIEWED
27-Oct-2026, 10:04 AM
(UTC+00:00) Coordinated Universal Time
IP —

SIGNED
27-Oct-2026, 10:04 AM
(UTC+00:00) Coordinated Universal Time
IP —

SIGNER

Signer 2 of 2

**Anyone can sign**

sponsor@embed.local

ROLE
Sponsor (Seller)

PROFILE
—

SECURITY
Email

DISCLOSURE
Accepted

SIGNATURE

Signed by



ID CB212312 5226580D ACAB9D63 60EE5C4A

TIMESTAMPS

SENT
27-Oct-2026, 10:04 AM
(UTC+00:00) Coordinated Universal Time
IP —

VIEWED
27-Oct-2026, 10:04 AM
(UTC+00:00) Coordinated Universal Time
IP —

SIGNED
27-Oct-2026, 10:05 AM
(UTC+00:00) Coordinated Universal Time
IP —

## ENVELOPE SUMMARY

| EVENT | STATUS | TIMESTAMP |
|---|---|---|
| **Envelope Sent** | Hashed / Encrypted | 27-Oct-2026, 10:04 AM (UTC+00:00) Coordinated Universal Time |
| **Certified Delivered** | Security Checked | 27-Oct-2026, 10:04 AM (UTC+00:00) Coordinated Universal Time |
| **Signing Complete** | Security Checked | 27-Oct-2026, 10:05 AM (UTC+00:00) Coordinated Universal Time |
| **Completed** | Security Checked | 27-Oct-2026, 10:05 AM (UTC+00:00) Coordinated Universal Time |